



THE REPUBLIC OF KENYA

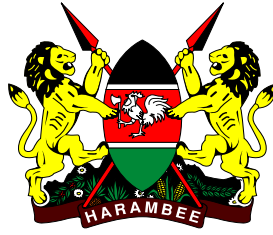
OFFICE OF THE CONTROLLER OF BUDGET

**NATIONAL GOVERNMENT
BUDGET IMPLEMENTATION
REVIEW REPORT**

**THIRD QUARTER
FY 2015/16**



MAY, 2016



REPUBLIC OF KENYA

OFFICE OF THE CONTROLLER OF BUDGET

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BUDGET IMPLEMENTATION
REVIEW REPORT**

THIRD QUARTER

FY 2015/16

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FOREWORD

It is with great pleasure that the Office of the Controller of Budget (OCOB) presents the Budget Implementation Review Report (BIRR) for the first nine months of 2015/16 Financial Year (FY). This report has been prepared in accordance with Article 228(6) of the Constitution of Kenya, 2010 which requires the Controller of Budget to submit to each House of Parliament a report on the implementation of the budgets of the National and County Governments every four months.

The report presents the progress made in implementing the FY 2015/16 Budget in the period July 2015 to March 2016. It reviews performance on revenue collection, exchequer issues released and expenditure by Ministries, Departments and Agencies (MDAs). The BIRR is based on the analysis of expenditure reports submitted by the MDAs, financial reports generated from the Integrated Financial Management Information System (IFMIS), continuous management of exchequer issues, monitoring of revenue receipts and appraisal of budget implementation for the nine months' period of FY 2015/16.

The report also provides an overview of the macroeconomic environment under which the budget was implemented. While key macroeconomic indicators remained relatively stable during the reporting period, low revenue collection was reported by the Kenya Revenue Authority (KRA). The report also highlights other challenges that affected implementation of planned activities by MDAs during the reporting period and makes appropriate recommendations.

This report is part of the quarterly BIRR series by the OCOB and is aimed at providing information on budget implementation to the public and key stakeholders in order to promote accountability in the use of public funds. As such, the quarterly BIRR series are widely disseminated to Parliament, the Executive, stakeholders and the general public. The office will continuously endeavour to ensure that information on budget implementation is made available on a timely basis.

Finally, I urge members of the public to actively participate in the budget making process and to oversee budget implementation in order to enhance proper use of public funds for the benefit of all Kenyans.



Mrs. Agnes Odhiambo
Controller of Budget

TABLE OF CONTENTS

1	INTRODUCTION	1
2	MACRO-ECONOMIC HIGHLIGHTS	2
2.1	Introduction	2
2.2	Economic Growth.....	2
2.3	Inflation.....	3
2.4	Exchange Rate	3
2.5	Interest Rates	4
3	ANALYSIS OF REVENUE PERFORMANCE AND DONOR RELEASES	6
3.1	Introduction	6
3.2	Analysis of Revenue Estimates	6
3.3	Exchequer Issues to the MDAs and County Governments	8
3.4	Donor Releases	12
4	NATIONAL GOVERNMENT OVERALL EXPENDITURE ANALYSIS	14
4.1	Introduction	14
4.2	Overall Government Budget Performance	14
4.3	Consolidated Fund Services (CFS).....	16
4.4	MDAs Expenditure Analysis	18
5	DEVELOPMENT AND RECURRENT EXPENDITURE ANALYSIS BY SECTOR	32
5.1	Introduction	32
5.2	Agricultural, Rural and Urban Development (AR&UD) Sector	32
5.3	Education Sector.....	35
5.4	Energy, Infrastructure and Information Communications Technology (EI & ICT) Sector ..	37
5.5	Environmental Protection, Water and Natural Resource Sector.....	40
5.6	General Economic and Commercial Affairs (GECA) Sector	43
5.7	Governance, Justice, Law and Order Sector (GJLOS).....	46
5.8	Health Sector	50
5.9	The Public Administration and International Relations (PAIR) Sector.....	52
5.10	National Security Sector.....	55
5.11	Social Protection, Culture and Recreation Sector	56
6	BUDGET PERFORMANCE BY PROGRAMMES FOR THE FIRST NINE MONTHS OF FY 2015/16.....	59

6.1	Introduction	59
6.2	Agricultural, Rural and Urban Development (AR&UD) Sector	59
6.3	Education Sector	61
6.4	The Energy, Infrastructure and Information Communications Technology (EI & ICT) Sector	62
6.5	Environment Protection, Water and Natural Resources Sector	64
6.6	General Economic and Commercial Affairs (GECA) Sector	65
6.7	Governance, Justice, Law and Order (GJLOS) Sector	66
6.8	Health Sector	68
6.9	Public Administration and International Relations (PAIR) Sector	69
6.10	National Security Sector	72
6.11	Social Protection, Culture and Recreation Sector	73
7	KEY ISSUES, RECOMMENDATIONS	75
7.1	Introduction	75
7.2	Issues and Recommendations	75
8	CONCLUSION	76
	ANNEXES	77

LIST OF TABLES

Table 3.1:	Statement of Actual Revenue received by the National Treasury for the period July 2015 to March 2016 in Kshs. billions	7
Table 3.2:	Revenue Performance for July 2015 – March 2016 (Kshs. Millions)	8
Table 3.3:	Summary of exchequer issues as at March 31, 2016	9
Table 3.4:	Annual Net Estimates and Exchequer Issues, for the Period July 2015 to March 2016 in Kshs. Billion.	10
Table 3.5:	Sectoral Recurrent Estimates and Exchequer issues, July 2015 to March 2016 (Kshs. Billions)	11
Table 3.6:	Sectoral Development Estimates and Exchequer Issues for July 2015 to March 2016 in Kshs. Billions	12
Table 3.7:	Summary of Grants and Loans Disbursement, Third Quarter of FY 2015/16 in Kshs. Billion.....	13
Table 4.1:	Overall Government Budget Performance July 2015 to March 2016 (Kshs. Billion).....	14
Table 4.2:	Cumulative Expenditure for CFS, July 2015 – March 2016 (Kshs. Millions)	16
Table 4.3:	Guaranteed Loans Repayment (Millions) July 2015 to March 2016.....	17
Table 4.4:	Breakdown of Recurrent Expenditure, by MDAs, July 2015 – March 2016 (Kshs. Million).....	20
Table 4.5:	Development Expenditure by MDA Breakdown, July 2015 – March 2016 (Kshs. millions)	27
Table 5.1:	AR &UD Sector-Analysis of Exchequer Issues and Expenditure for the period July 2015 to March 2016 (Kshs. Billions).....	33
Table 5.2:	Education Sector- Analysis of Exchequer Issues and Expenditure for the Period from July 2015 to March 2016(Kshs. Billions).....	36
Table 5.3:	EI & ICT Sector - Analysis of Exchequer Issues and Expenditure for the Period July 2015 to March 2016 (Kshs. Billions).....	39
Table 5.4:	Environmental Protection, Water and Natural Resources Sector - Analysis of Exchequer Issues and Expenditure for the Period July 2015 to March 2016 (Kshs. Billions).....	42
Table 5.5:	GECA Sector - Analysis of Exchequer Issues and Expenditure for the Period July 2015 to March 2016 (Kshs. Billions).....	45
Table 5.6:	GJLOS – Analysis of Exchequer Issues and Expenditure, for the Period July 2015 to March 2016 (Kshs. Billions).....	47
Table 5.7:	Health Sector - Analysis of Exchequer Issues and Expenditure for the Period July 2015 to March 2016 (Kshs. Billions).....	51
Table 5.8:	PAIR Sector - Analysis of Exchequer Issues and Expenditure for the Period July 2015 to March 2016 (Kshs. Billions).....	54
Table 5.9:	National Security Sector - Analysis of Exchequer Issues and Expenditure for the Period July 2015 to March 2016 (Kshs. Billions).....	56

Table 5.10:	Social Protection, Culture and Recreation Sector - Analysis of Exchequer Issues and Expenditure for the Period July 2015 to March 2016 (Kshs. Billions)	58
Table 6.1:	AR &UD Sector's Programme Performance for July 2015 to March 2016 (Kshs. Billions)	59
Table 6.2:	Education Sector's Programme Performance for July 2015 to March 2016 (Kshs. Billions)	61
Table 6.3:	EI & ICT Sector's Programme Performance for July to March 2016 (Kshs. Billions)	62
Table 6.4:	Environmental Protection, Water and Natural Resources Sector's Programme Performance for July 2015 to March 2016 (Kshs. Billions)	64
Table 6.5:	GECA Sector's Programme Performance for July 2015 to March 2016 (Kshs. Billions)	65
Table 6.6:	GJLOs Sector's Programme Performance for July 2015 to March 2016 (Kshs. Billions)	66
Table 6.7:	Health Sector's Programme Performance for July 2015 to March 2016 (Kshs. Billions)	68
Table 6.8:	PAIR Sector's Programme Performance for July 2015 to March 2016 (Kshs. Billions)	69
Table 6.9:	National Security Sector's Programme Performance for July 2015 to March 2016 (Kshs. Billions)	72
Table 6.10:	Social Protection, Culture and Recreation Sector's Programme Performance for July 2015 – March 2016 (Kshs. Billions)	73

LIST OF FIGURES

Figure 2.1:	Quarterly GDP Growth Rates for the period 2012-2015	2
Figure 2.2:	Monthly Inflation Rates movement for the Period January 2015 – March 2016.....	3
Figure 2.3:	Kenya shilling exchange rate movement for the period January 2015 – March 2016.....	4
Figure 2.4:	Monthly movement in interest rates for the period January 2015 – March 2016.....	5
Figure 4.1:	Comparison of Sector Gross Budget Allocations and Expenditure for the First Nine Months of FY 2015/16	15
Figure 4.2:	Budget Allocation and Expenditure for the First Nine Months of FY 2015/16	15
Figure 4.3:	Public Debt Stock March 2013 to March 2016 (Kshs. Billions)	17
Figure 4.4:	Composition of MDA Recurrent Expenditure, July 2015 to March 2016 (Kshs. Millions).....	26
Figure 4.5:	Composition of Development Expenditure July 2015 – March 2016 (Kshs. million)	31
Figure 5.1:	Budgetary Allocation Trend for the AR &UD Sector from FY 2012/13 to FY 2015/16 (Kshs. Billion)	32
Figure 5.2:	AR&UD Sector Exchequer Issues for the Period July 2015 to March 2016 (Kshs. Billions).....	34
Figure 5.3:	Budgetary Allocation Trend for the Education Sector from FY 2012/13 to FY 2015/16 (Kshs. Billion)....	35
Figure 5.4:	Education Sector Exchequer Issues for the Period July 2015 to March 2016 (Kshs. Billions).....	37
Figure 5.5:	Budgetary Allocation Trend for the EI & ICT Sector for the Period FY 2012/13 to FY 2015/16 (Kshs. Billion)	38
Figure 5.6:	EI & ICT Sector Exchequer Issues for the Period July 2015 to March 2016 (Kshs. Billions).....	38
Figure 5.7:	Budgetary Allocation Trend - Environmental Protection, Water and Natural Resources Sector FY 2012/13 – FY 2015/16 (Kshs. Billion).....	40
Figure 5.8:	Environmental Protection, Water and Natural Resources Sector Exchequer Issues for the Period July 2015 to March 2016 (Kshs. Billions).....	41
Figure 5.9:	Budgetary Allocation Trend to the GECA Sector from FY 2012/13 to FY	43
Figure 5.10:	GECA Sector Exchequer Issues from July 2015 to March 2016 (Kshs. Billions).....	44
Figure 5.11:	Budgetary Allocation Trend -- GJLOS Sector for FY 2012/13 to FY 2015/16 (Kshs. Billion).....	47
Figure 5.12:	Governance, Justice, Law and Order Sector (GJLOS) Exchequer Issues for the period July 2015 to March 2016 (Kshs. Billions).....	49
Figure 5.13:	Budgetary Allocation Trend for the Health Sector for FY 2012/13 to FY 2015/16 (Kshs. Billion).....	50
Figure 5.14:	Health Sector Exchequer Issues for the period July 2015 to March 2016 (Kshs. Billion)	51
Figure 5.15:	Trend in Budgetary Allocation for the PAIR Sector for the period FY 2012/13 to FY 2015/16 (Kshs. Billions)	52
Figure 5.16:	The PAIR Sector Exchequer Issues – July 2015 to March 2016 (Kshs. Billions)	53
Figure 5.17:	Budgetary Allocation Trend of the National Security Sector from FY 2012/13 to FY 2015/16 (Kshs. Billion)	55
Figure 5.18:	Budgetary Allocation Trend for the Social Protection, Culture and Recreation Sector from FY 2012/13 to FY 2015/16 (Kshs. Billion).....	57
Figure 5.19:	Social Protection, Culture and Recreation Sector Exchequer Issues for the period July 2015 to March 2016 (Kshs. Billions)	57

LIST OF ABBREVIATIONS AND ACRONYMS

A-I-A	Appropriations in Aid
AIDS	Acquired Immune Deficiency Syndrome
AMISOM	Africa Union Mission in Somali
AR & UD	Agricultural Rural and Urban Development
Bn	Billion
BIRR	Budget Implementation Review Report
BPS	Budget Policy Statement
CBK	Central Bank of Kenya
CFS	Consolidated Fund Services
CBR	Central Bank Rate
CIC	Commission for Implementation of the Constitution
COB	Controller of Budget
COFOG	Classification of Functions of Government
CPI	Consumer Price Index
CRF	County Revenue Fund
DANIDA	Danish International Development Agency
DPP	Directorate of Public Prosecutions
EACC	Ethics and Anti-Corruption Commission
EI & ICT	Energy Infrastructure and Information Communication Technology
ERC	Energy Regulatory Commission
FY	Financial Year
GBP	Great Britain Pound
GDP	Gross Domestic Product
GECA	General Economic and Commercial Affairs
GJLOS	Governance, Justice, Law and Order Sector
HELB	Higher Education Loans Board
HIV	Human Immunodeficiency Virus
IEBC	Independent Electoral and Boundaries Commission
IFMIS	Integrated Financial Management Information System
IPOA	Independent Police Oversight Authority
IPPD	Integrated Personnel Payment Data
JSC	Judicial Service Commission
KBC	Kenya Broadcasting Cooperation
KEMRI	Kenya Medical Research Institute

KEMSA	Kenya Medical Supplies Agency
KMTC	Kenya Medical Training College
KIHBS	Kenya Integrated Household Budget Survey
KNBS	Kenya National Bureau of Statistics
KNCHR	Kenya National Commission for Human Rights
KRA	Kenya Revenue Authority
Kshs.	Kenya Shillings
MDA(s)	Ministries Departments and Agencies
Mn	Million
MOEST	Ministry of Education Science and Technology
MTP	Medium Term Plan
NACC	National Aids Control Council
NBK	National Bank of Kenya
NGEC	National Gender and Equality Commission
NHIF	National Hospital Insurance Fund
NIS	National Intelligence Service
NLC	National Land Commission
NPSC	National Police Service Commission
NT	National Treasury
OCOB	Office of the Controller of Budget
O&M	Operations and Maintenance
PAIR	Public Administration and International Relations
PAYE	Pay As You Earn
PFM Act	Public Finance Management Act
PSASB	Public Sector Accounting Standard Board
QTR	Quarter
RDL	Railway Development Levy
RPP	Registrar of Political Parties
SAGAs	Semi-Autonomous Government Agencies
TARDA	Tana and Athi River Development Authority
TSC	Teachers Service Commission
UNDP	United Nations Development Programme
US	United States
VAT	Value Added Tax
WPA	Witness Protection Agency

EXECUTIVE SUMMARY

This Budget Implementation Review Report covers the first nine months of FY 2015/16. The report is prepared in line with Article 228 of the Constitution of Kenya 2010, which requires the office of the Controller of Budget to oversee and report on the implementation of the budgets of both the National Government and the County Governments. It highlights revenue and expenditure performance for the reporting period and compares the performance against targets contained in the FY 2015/16 Approved Budget.

The report covers the period July 2015 to March 2016 and evaluates budget performance by Government Ministries, Departments and Agencies (MDAs) against targets set in the annual budget and the objectives stated in the 2015 Budget Policy Statement (BPS). The report also highlights challenges that affected budget implementation by the MDAs and makes recommendations to address the challenges.

During the period under review, the macro-economic environment underlying budget implementation was generally stable. The overall month on month inflation rate eased to 6.45 per cent in March 2016 while Gross Domestic Product (GDP) grew by 5.6 per cent in the year 2015.

According to data released by the Kenya National Bureau of Statistics (KNBS) in May 2016, the country's economy expanded by 5.6 per cent during the period January to December 2015. This is a slight improvement compared to a growth of 5.3 per cent realized in similar period of the year 2014. The overall 12-month inflation rate declined from 6.9 per cent in December, 2014 to 6.6 per cent in December, 2015 and is mainly attributed to reduction in the cost of petroleum products, electricity and tightening of monetary policy by the Central Bank of Kenya (CBK).

According to the CBK, the Kenyan shilling fluctuated against major world currencies during the period under review to exchange at Ksh.105.27 in September 2015 against the US Dollar from Ksh.101.20 in July 2015 then strengthened to exchange at Ksh.102.20 in December 2015 and Ksh.101.49 in March 2016. This is attributed to increased demand for the US Dollar in the local market and strengthening of the US dollar in the global markets. The local currency also fluctuated against the Sterling Pound and the Euro.

During the first nine months of FY 2015/16, the total revenue received by the National Treasury was Kshs.1,239.0 billion, representing 68.4 per cent of the annual target. This is a 5.4 per cent growth in revenue compared to Ksh.1,175.5 billion collected in the same period of FY 2014/15.

The total exchequer issues to MDAs and County Governments amounted to Kshs.1,189.02 billion and comprised of Kshs.500.50 billion for recurrent expenditure, Kshs.174.63 billion for development expenditure, Kshs.352.30 billion for the Consolidated Fund Services (CFS) and Kshs.161.60 billion to County Governments.

Total expenditure by the MDAs amounted to Kshs.1,078.4 billion which translates to 55.4 per cent of the annual estimates, a decline compared to 62.3 per cent realized in a similar period of FY 2014/15. This expenditure comprised of Kshs.831.0 billion for recurrent activities that included CFS expenditure, translating to 67.9 per cent of the annual estimates, and Kshs.247.4 billion on development activities translating to an absorption rate of 34.3 per cent. This is a decline compared to 69.5 per cent of annual estimates for recurrent expenditure and an absorption of 47.0 per cent of development expenditure realized in the first nine months of FY 2014/15.

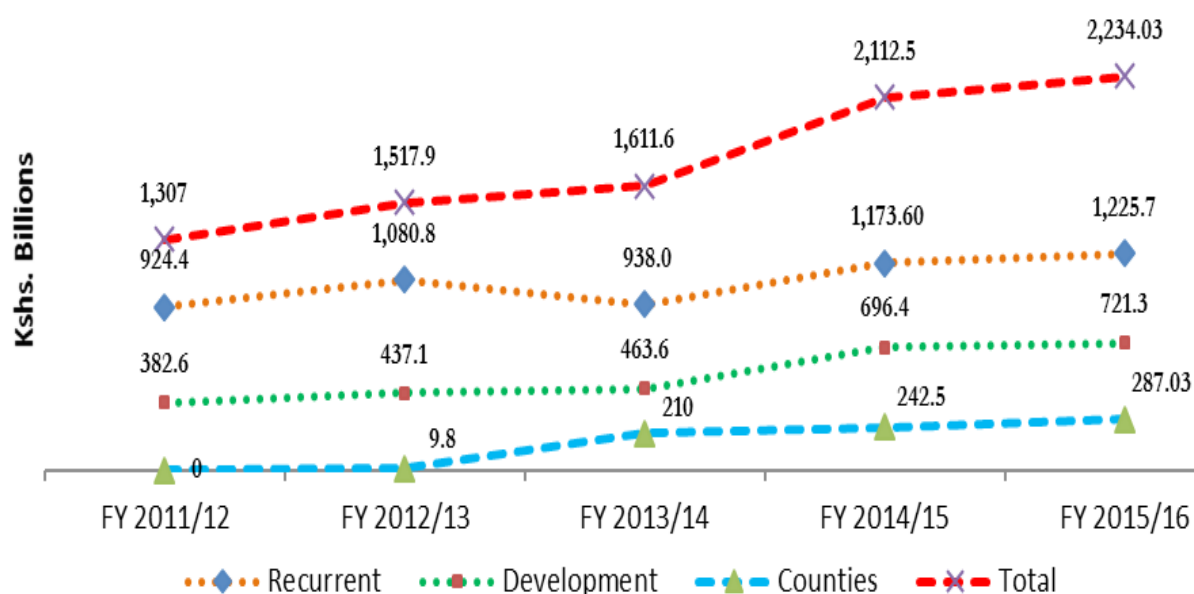
Analysis of recurrent expenditure by the MDAs shows that, Kshs.479.8 billion was spent on recurrent programmes representing 61.2 per cent of the annual recurrent estimates, which is a decline from 69.6 per cent recorded in the same period of FY 2014/15. Kshs.184.9 billion (43.9 per cent) was spent on Personnel Emoluments (PE) while transfers to Semi-Autonomous Government Agencies (SAGAs) amounted to Kshs.110.4 billion, representing 27.6 per cent of the total recurrent expenditure and a decline from Kshs.112.9 billion reported in a similar period of FY 2014/15. Further analysis of the recurrent expenditure shows that the Teachers Service Commission (TSC) reported the highest expenditure on personnel emoluments at Kshs.103.2 billion which translated to 55.8 per cent of the total PE expenditure by the MDAs. The State Department for Higher Education, Science and Technology, and the State Department for Education had the highest transfers to their SAGAs at Kshs.25.9 billion and Kshs.20.5 billion respectively.

The National Assembly incurred the highest expenditure on domestic travel at Kshs.2.1 billion accounting for 40.0 per cent of the total domestic travel expenditure by all MDAs, while the Ministry of Foreign Affairs and International Trade reported the highest foreign travel expenditure at Kshs.902.9 million, which was equivalent to 33.5 per cent of the total expenditure on foreign travel. Other Operations and Maintenance (O&M) expenditure amounted to Kshs.107.9 billion and accounted for 26.9 per cent of the total recurrent expenditure.

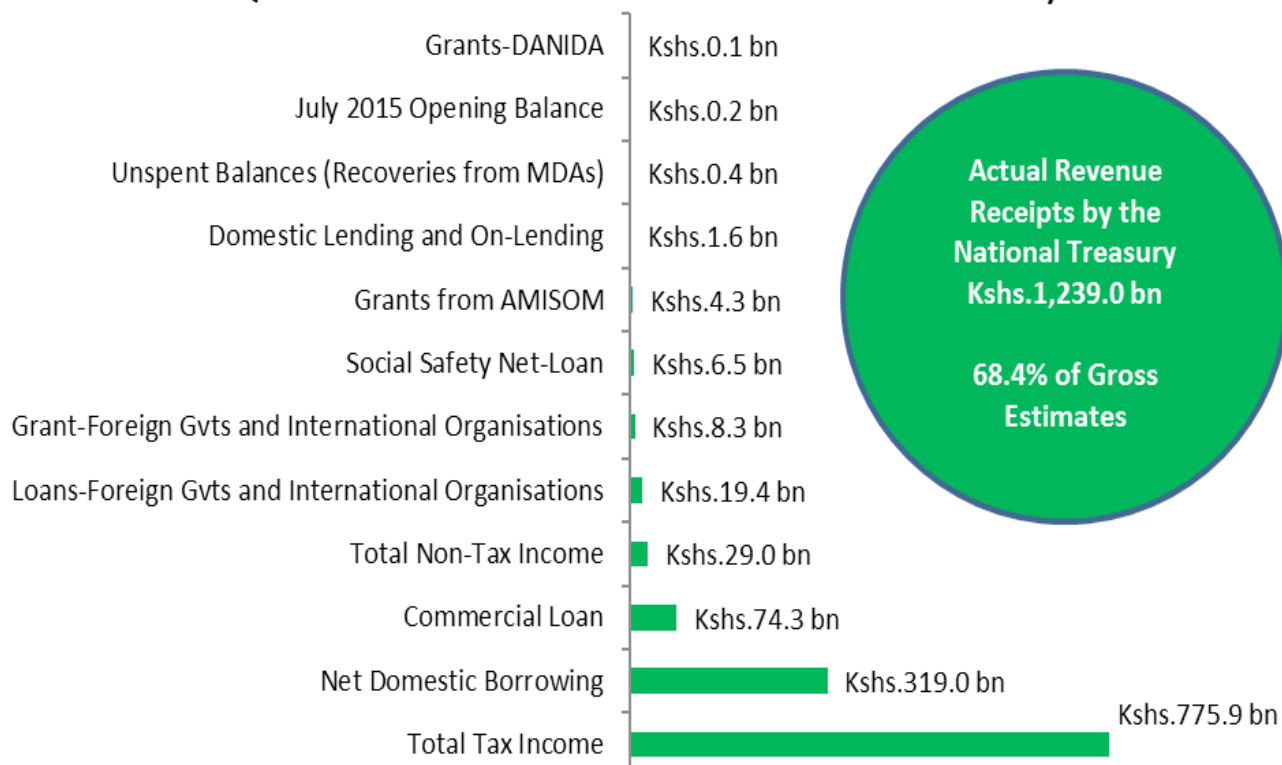
During the period under review, budget implementation faced a number of challenges such as; delay in release of development funds by the National Treasury. There is need for the National Treasury to release development funds to MDAs to ensure their work plans are implemented in time.

KEY HIGHLIGHTS

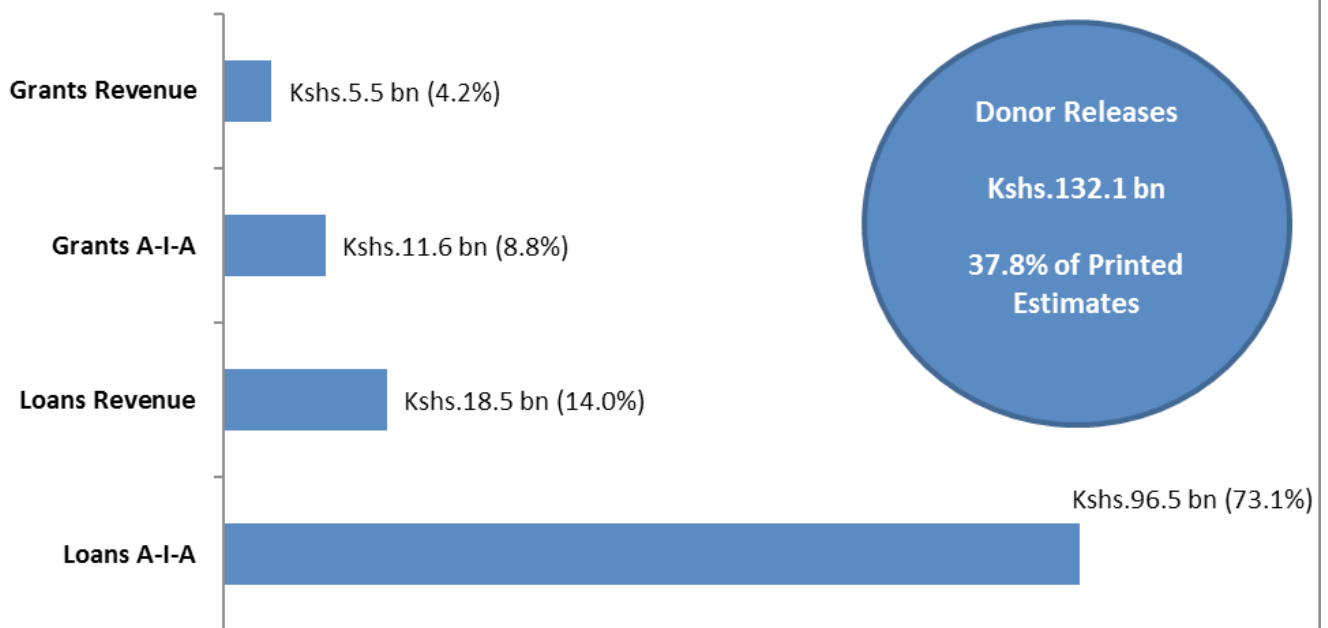
ANNUAL BUDGET TREND BETWEEN FY 2011/12 AND FY 2015/16



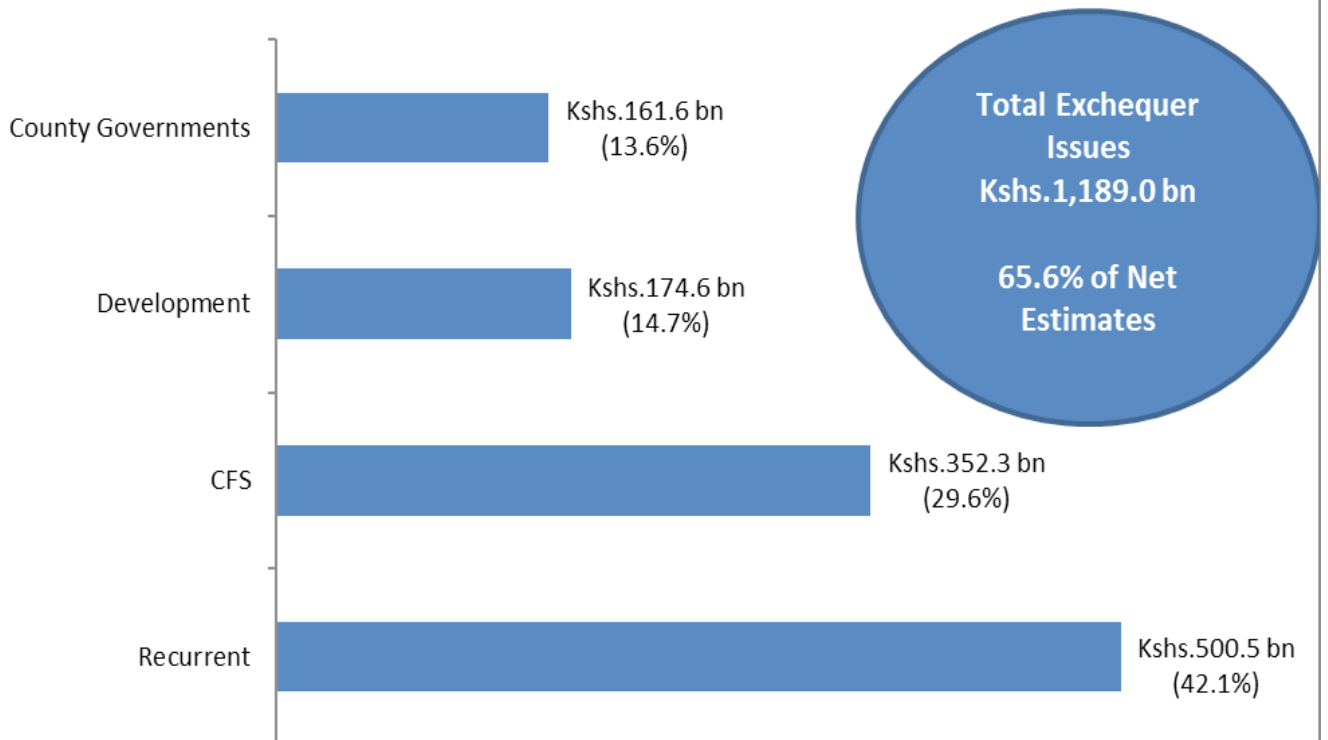
EXCHEQUER RECEIPTS FOR THE FIRST NINE MONTHS OF FY 2015/16



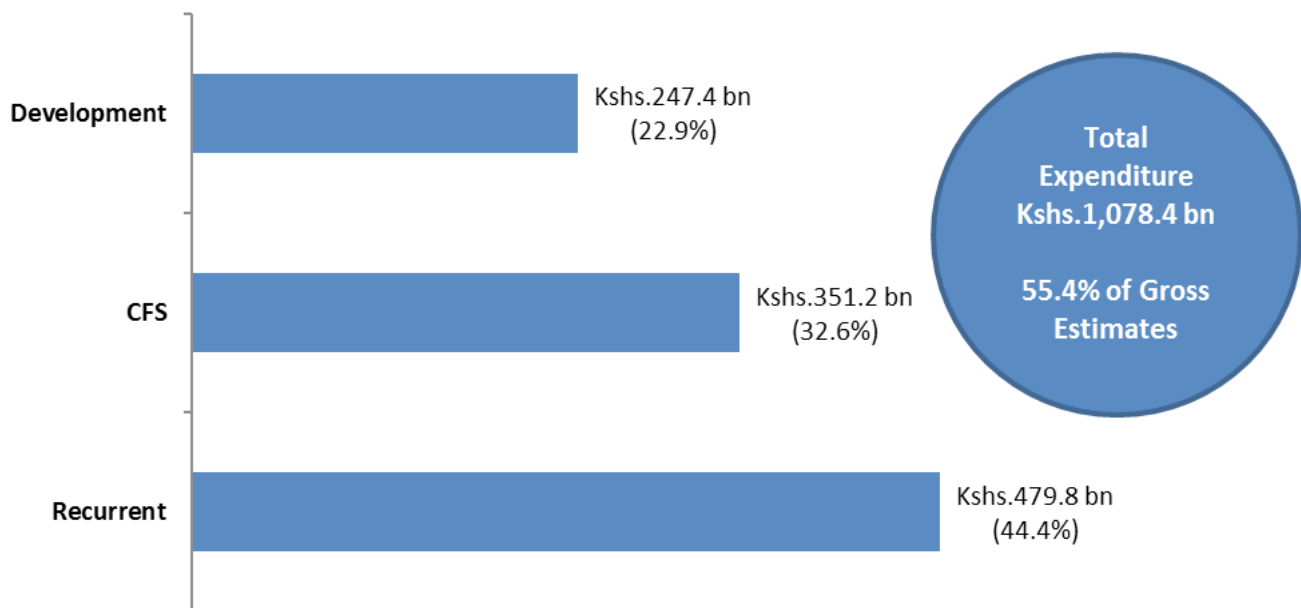
DONOR DISBURSEMENTS FOR THE FIRST NINE MONTHS OF FY 2015/16



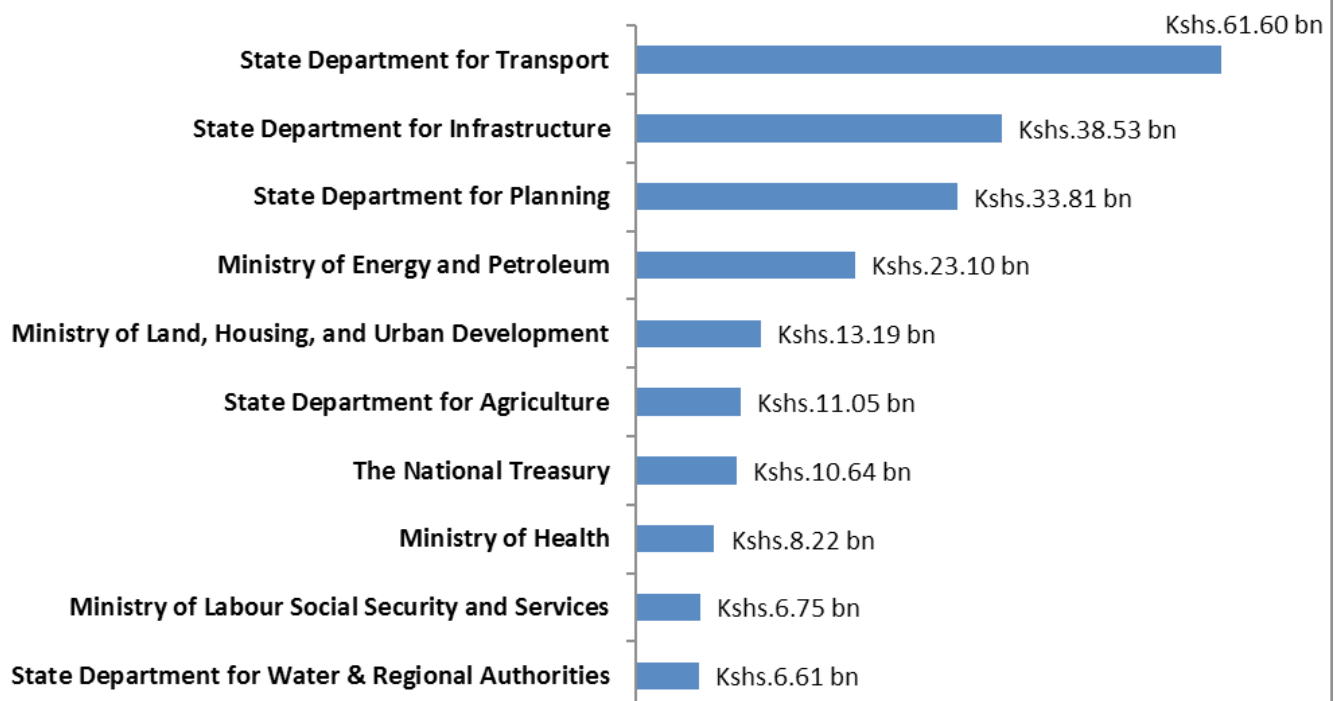
EXCHEQUER ISSUES FOR THE FIRST NINE MONTHS OF FY 2015/16



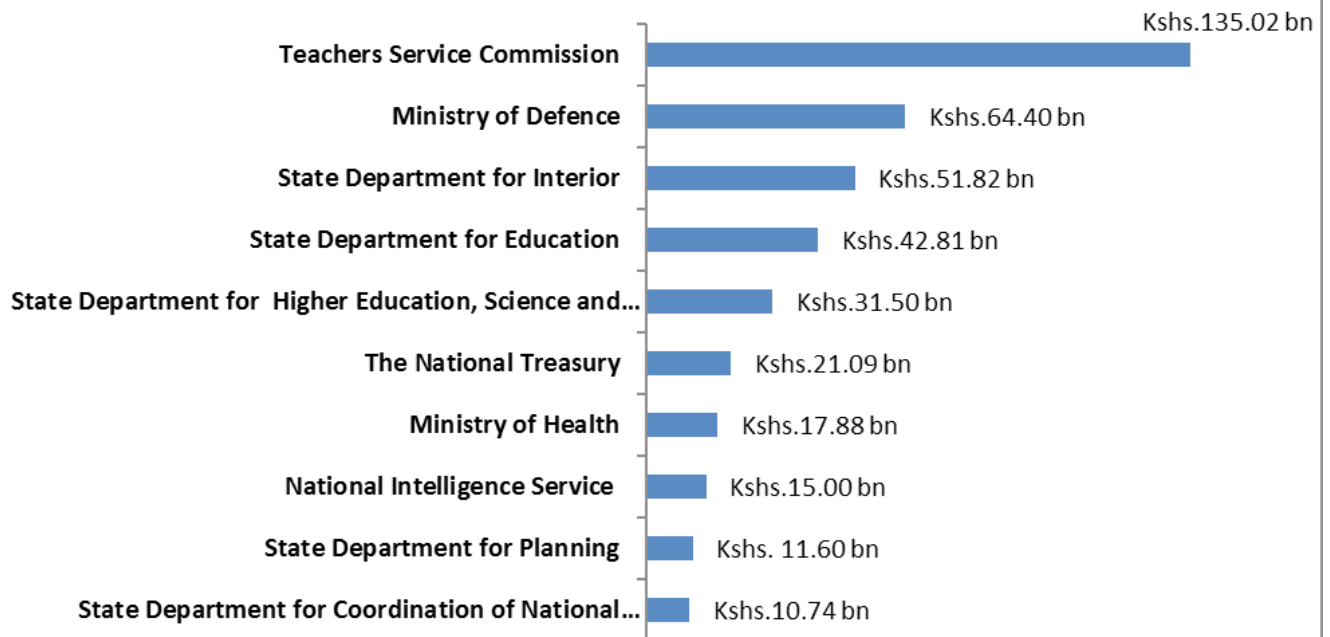
TOTAL EXPENDITURE FOR THE FIRST NINE MONTHS OF FY 2015/16



TOP 10 SPENDING MDAs - DEVELOPMENT EXPENDITURE



TOP 10 SPENDING MDAs - RECURRENT EXPENDITURE





1 INTRODUCTION

This is the third quarter National Government Budget Implementation Review Report (BIRR) for FY 2015/16, which covers the period July, 2015 to March, 2016. It is prepared by the Office of the Controller of Budget (OCOB) in fulfilment of Article 228(6) of the Constitution of Kenya, 2010 which requires the Controller of Budget to submit to each House of Parliament a report on the implementation of the budgets by the National and County Governments.

The primary objective of this report is to provide information on budget performance in terms of revenue and expenditure outturn by the Ministries, Departments and Agencies (MDAs). The report also highlights challenges that negatively affected effective budget execution during the reporting period and recommends ways of addressing the challenges to improve budget implementation and realise the budget objectives as set out in the Budget Policy Statement, 2015. The report also provides useful information to other stakeholders and members of the public on budget implementation by the National Government in line with Section 39(8) of the Public Finance Management (PFM) Act, 2012.

In preparing this report, OCOB relied on revenue and expenditure data submitted by the MDAs as well as expenditure reports generated from the Integrated Financial Management Information System (IFMIS). The report compares budget performance in the reporting period to a similar period of FY 2014/15. Some of the performance indicators used include; expression of exchequer releases as percentages of the net budget estimates and expression of expenditure as a percentage of gross budget estimates.

The report is arranged as follows; Chapter two provides an overview of the macro-economic indicators during the period under review. The key macroeconomic indicators highlighted include economic growth, Gross Domestic Product (GDP), Interest rate, inflation rate and exchange rate. Chapter three provides an in-depth analysis of revenue performance against set targets, exchequer issues to MDAs and County Governments, Consolidated Fund Services (CFS) and donor disbursements from development partners. Chapter four presents both development and recurrent expenditure performance by the MDAs. Recurrent expenditure is further broken down into CFS and other categories such as compensation to employees and operations and maintenance costs.

Chapter five presents detailed development and recurrent expenditure by sectors while Chapter six presents detailed budget performance by programme for each of the sector. Chapter seven highlights issues that affected budget implementation in the period under review and suggests recommendations to address them. Finally Chapter eight provides the conclusion of the report.

2 MACRO-ECONOMIC HIGHLIGHTS

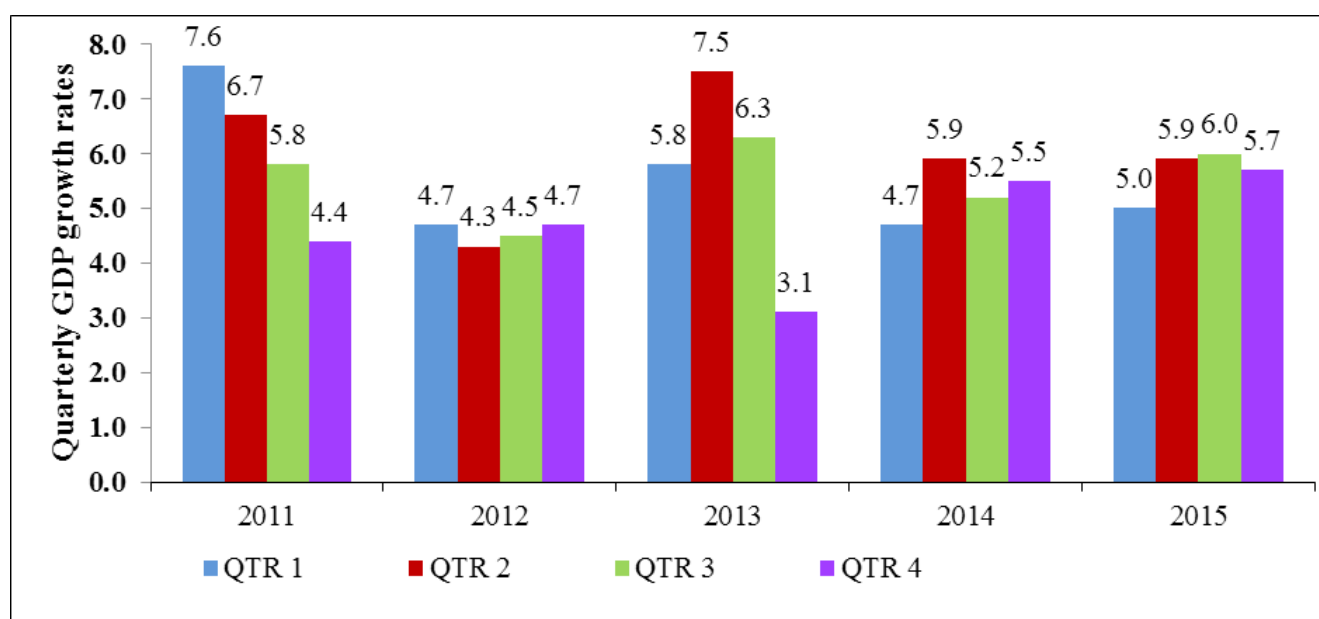
2.1 Introduction

The FY 2015/16 Budget was formulated under the second Medium Term Plan (MTP) for the period 2013 to 2017 whose theme is *Transforming Kenya: Pathway to Devolution, Socio-Economic Development, Equity and National Unity*. The budget reflected the Government's policy priority of attaining sustained economic growth in order to create employment and improve the living standards of Kenyans through delivery of better services. Sustained economic growth is to be achieved through continuous investment in infrastructure, access to affordable energy, improvement of the security and business environment, healthcare and educational system, reduction on the dependence on rain-fed agriculture, and facilitating devolution.

2.2 Economic Growth

According to the 2015 Budget Policy Statement (BPS), the economy was expected to expand by between 6.5 – 7.0 per cent in 2015. Figure 2.1 below presents the quarterly gross domestic product (GDP) growth rates for the period 2011 to 2015.

Figure 2.1: Quarterly GDP Growth Rates for the period 2012-2015



Source: Economic Survey, 2016 – Kenya National Bureau of Statistics

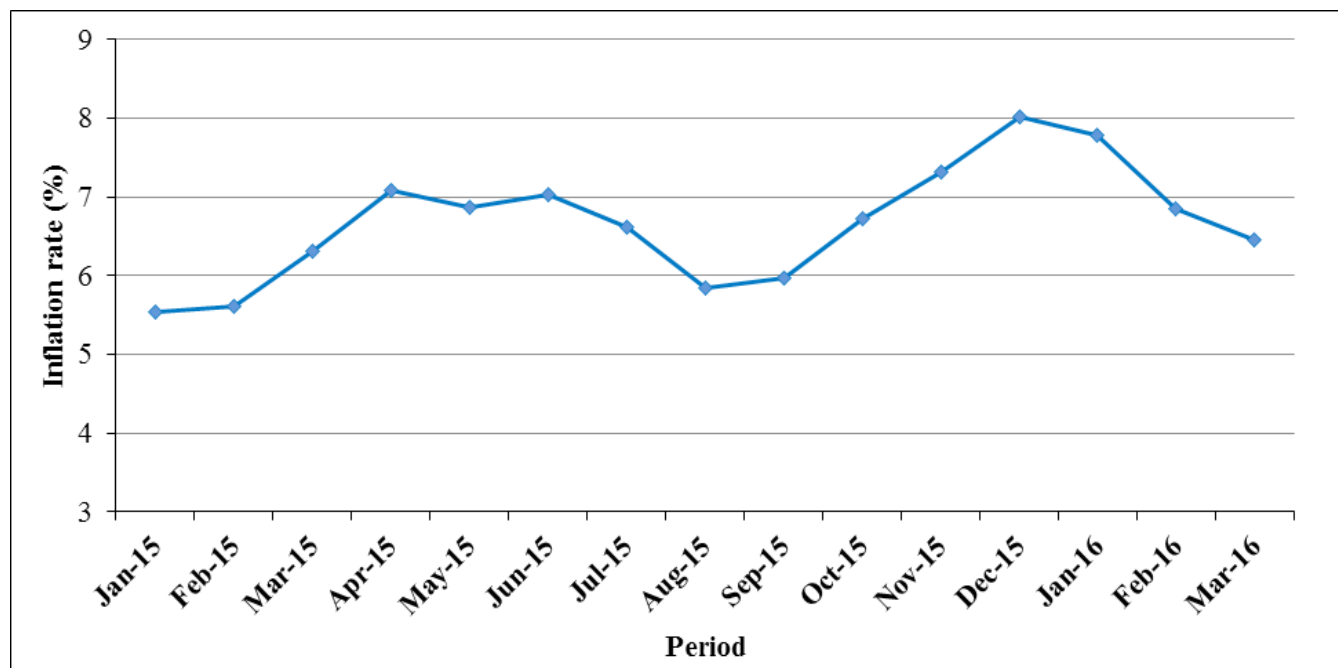
According to the KNBS *Economic Survey 2016* released in May 2016, the GDP grew by 5.6 per cent in 2015 compared to 5.3 per cent growth in 2014. This expansion was a result of growth in some key sectors such as agriculture, construction, real estate and the financial sector.

2.3 Inflation

In the FY 2015/16, the National Treasury projected an average inflation rate of 5 per cent, with

a lower band of 2.5 per cent and an upper band of 7.5 per cent. Figure 2.2 shows the monthly inflation rate for the period January 2015 to March 2016.

Figure 2.2: Monthly Inflation Rates movement for the Period January 2015 – March 2016



Source: Kenya National Bureau of Statistics

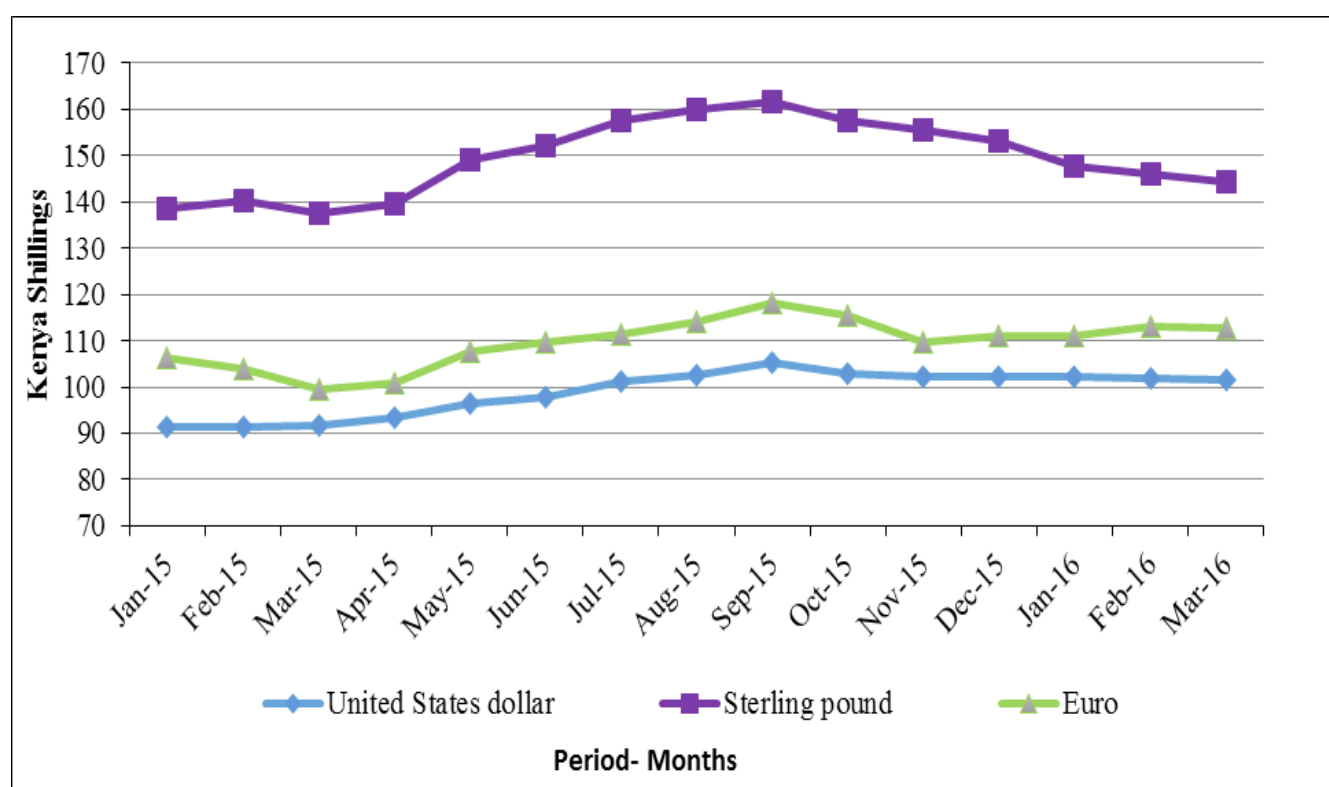
During the period under review, the overall month on month inflation rate averaged at 6.8 per cent, recording the highest inflation rate of 8.01 per cent in December 2015 and the lowest rate of 6.45 per cent in March 2016. However, the inflation rate of 6.45 per cent recorded in March 2016 was a slight increase compared to 6.31 per cent recorded in March 2015. According to KNBS, the rise in inflation rate in March 2016 compared to March 2015 was mainly occasioned by increase in prices of food and non-alcoholic drinks, increase in the cost of house rents, water services and kerosene which outweighed the decreases in the transport costs as a result of reduction in the costs of petrol and diesel.

2.4 Exchange Rate

In the period July 2015 to March 2016, the Kenya Shilling exchange rate against major world currencies such as the US Dollar, the Euro, and the Sterling Pound. The Kenya Shilling depreciated against the US Dollar in September 2015 to exchange at Kshs.105.27 from Kshs.101.20 in July 2015 before strengthening to exchange at Kshs.102.20 in December 2015 and Kshs.101.49 in March 2016. This was a decline compared to December 2014 and March 2015 when the US Dollar traded at Kshs.90.44 and Kshs.91.73 respectively. This is attributed to the strengthening of the US Dollar in the global markets as well as increased demand for the US Dollar in the domestic market.

The local currency depreciated against the Sterling Pound to exchange at Kshs.161.54 in September 2015 up from Kshs.157.53 in July 2015 and steadily appreciated to exchange at Kshs.153.28 in December 2015 and Kshs.144.24 in March 2016. The local currency also depreciated against the Euro to exchange at Kshs.118.22 in September 2015 from Kshs.111.36 in July 2015 and appreciated to exchange at Kshs.111.11 in December 2015 before depreciating in March 2016 to trade at Kshs.112.60. Figure 2.3 shows the Kenya shilling exchange rate movement for the period January 2015 to March 2016.

Figure 2.3: Kenya shilling exchange rate movement for the period January 2015 – March 2016

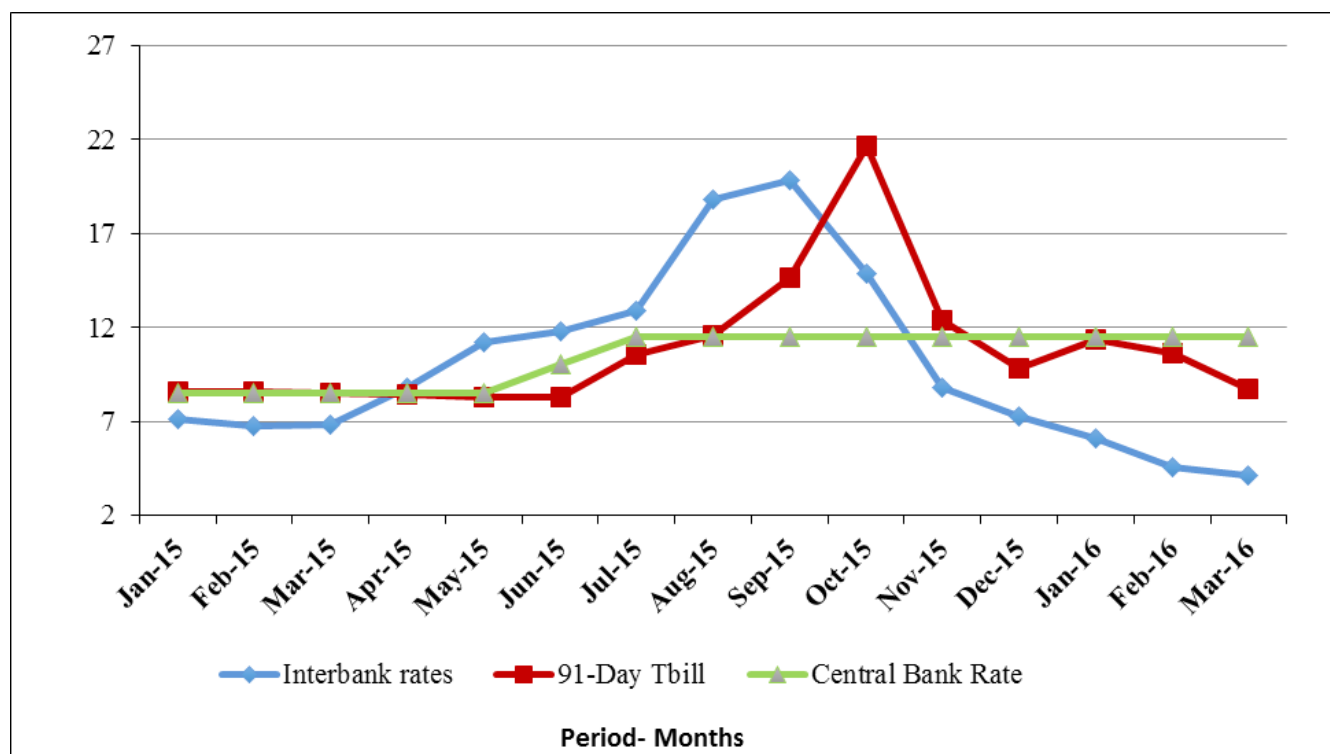


Source: Central Bank of Kenya

2.5 Interest Rates

This section reviews interest rate movements during the reporting period. The key indicators used are the 91-day Treasury Bill, interbank rate and the Central Bank Rate (CBR), which are the main determinants of the cost of money. Figure 2.4 presents the monthly movement in interest rates for the period January 2015 – March 2016.

Figure 2.4: Monthly movement in interest rates for the period January 2015 – March 2016



Source: Central Bank of Kenya

The yield rate for the 91-day Treasury Bills averaged 10.79 per cent in the period July 2015 to March 2016 compared to an average of 8.67 per cent attained in a similar period of FY 2014/15. The 91-day Treasury Bills registered high yield rates of 14.61 per cent and 21.65 per cent in September 2015 and October 2015 respectively; the yield rate however declined to 8.72 per cent in March 2016. The interbank rates declined from 19.85 per cent in September 2015 to 7.27 per cent in December 2015 before declining further to 4.09 per cent in March 2016 due to improved liquidity in the money market. The Central Bank Rate was at 11.50 per cent throughout the period July 2015 to March 2016.

3 ANALYSIS OF REVENUE PERFORMANCE AND DONOR RELEASES

3.1 Introduction

This chapter presents the overview of revenue performance and donor releases for the first nine months of FY 2015/16.

3.2 Analysis of Revenue Estimates

The overall Government Budget Estimates for the FY 2015/16 was Kshs.2.23 trillion. The National Treasury projected to finance the budget through ordinary revenue, grants, and loans from both domestic and foreign market.

The National Treasury estimated to raise Kshs.1,811.9 billion to finance the budget from the following revenue categories; Tax income (Kshs.1,215.3 billion), Non-tax income (Kshs.39.6 billion), Net Domestic Borrowing (Kshs.397.4 billion), Commercial Loan (Kshs.71.8 billion), Loans from Foreign Governments and International Organisations (Kshs.37.9 billion) and Social Safety Net Loan (Kshs.8.2 billion). Other sources of national exchequer revenue include Grants from Foreign Governments and International Organisations (Kshs.15.2 billion), Grants from AMISOM (Kshs.6.4 billion), export credit (Kshs.11.5 billion) and Domestic Lending (Kshs.2.2 billion) and Kshs.6.3 billion which comprise of Kshs.5.0 billion, Kshs.0.8 billion and Kshs.0.5 billion from National Bank of Kenya rights issue, grants from DANIDA and debt swap respectively.

3.2.1 Revenue Receipts by the National Treasury

During the first nine months of FY 2015/16, actual revenue receipts by the National Treasury amounted to Kshs.1,239.0 billion which was 68.4 per cent of the gross estimates and represented a 5.4 per cent growth compared to the Kshs.1,175.5 billion received in the same period of FY 2014/15. Table 3.1 shows how the various revenue categories performed over the nine months' period.

Table 3.1: Statement of Actual Revenue received by the National Treasury for the period July 2015 to March 2016 in Kshs. billions

Source of Funds	FY 2015/16 Printed Estimates	Actual Receipts March 2016	Performance Against Annual Target (%)	Contribution by Category (%)	Actual Receipts by March 2015	Growth Over FY 2014/15 %
July 2014 and 2015 Opening Balance	-	0.2	-	0.02	140.7	(99.9)
Total Tax Income	1,215.3	775.9	63.8	62.62	699.8	10.9
Total Non-Tax Income	39.6	29.0	73.4	2.34	23.7	22.4
Net Domestic Borrowing	397.4	319.0	80.3	25.75	203.0	57.1
Loans-Foreign Governments and International Organisations	37.9	19.4	51.1	1.57	21.9	(11.4)
Social Safety Net-Loan	8.2	6.5	79.3	0.52	3.5	85.7
Domestic Lending and On-Lending	2.2	1.6	72.7	0.13	-	-
Grant-Foreign Governments and International Organisations	15.2	8.3	54.6	0.67	4.4	88.6
Grants-DANIDA	0.8	0.1	12.5	0.01	-	-
Grants-Debt Swap	0.5	-	-	-	-	-
Grants from AMISOM	6.4	4.3	67.2	0.35	3.5	22.9
NBK Rights Issue	5.0	-	-	-	-	-
Commercial Loan	71.8	74.3	103.5	6.00	73.8	0.7
Commercial Loan (Exchange Gain)	-	-	-	-	1.2	-
Export Credit	11.5	-	-	-	-	-
Unspent Balances (Recovered from MDAs)	-	0.4	-	0.03	-	-
Total	1,811.9	1239.0	68.4	100	1,175.5	5.4

Source: National Treasury Statement of Actual Revenue and Net Exchequer Issues –March 2016

A review of performance by the various revenue categories shows that tax income was the leading category with a contribution of Kshs.775.9 billion, which was 62.6 per cent of the total revenue receipts. Net domestic borrowing was the second highest contributor at Kshs.319.0 billion, representing 25.8 per cent of the total revenue received.

3.2.2 Revenue Collection by the Kenya Revenue Authority

The Kenya Revenue Authority (KRA) targeted to collect Kshs.911.6 billion during the first nine months of FY 2015/16 out of which, Kshs.895.7 billion was exchequer revenue. The actual revenue collection as at 31st March 2016 stood at Kshs.842.5 billion, or 92.4 per cent of the target. The total revenue collection for the reporting period represented an 11.7 per cent growth over the similar period of FY 2014/15. Table 3.2 provides a summary of cumulative performance by KRA over the nine months period of FY 2015/16 (July 2015 to March 2016).

Table 3.2: Revenue Performance for July 2015 – March 2016 (Kshs. Millions)

Department	Target Revenue July 2015 to March 2016	Actual Revenue July 2015 to March 2016	Variance	Performance Rate	Actual Revenue July 2014 to March 2015	Revenue Growth Over FY 2014/15
Custom & Border Control	313,228	284,420	(28,807)	90.8	263,267	8.0
Domestic Taxes	594,793	555,147	(39,646)	93.3	487,800	13.8
Transport Revenue	3,564	2,951	(613)	82.8	2,876	2.6
Total	911,584	842,518	(69,066)	92.4	753,942	11.7

Source: Kenya Revenue Authority, FY 2015/16 Revenue Report

Analysis of the revenue by category shows that the Domestic Taxes category is the biggest contributor of revenue at Kshs.555.1 billion, or 65.9 per cent of the total revenue collected. Notably, the KRA recorded growth in all the revenue categories in FY 2015/16 compared to a similar period in FY 2014/15. According to KRA, the enhanced performance is attributed to improvement in Pay As You Earn (PAYE) and continued strong consumption tax performance.

3.3 Exchequer Issues to the MDAs and County Governments

The total budget for the FY 2015/16 was Kshs.2,234 billion, comprising of Kshs.784.2 billion and 721.3 billion for MDAs recurrent and development expenditure respectively, Kshs.441.5 billion for CFS, and Kshs.287.0 billion towards County Governments. Table 3.3 shows a summary of exchequer issues and annual net estimates for the period July 2015 to March 2016.

Table 3.3: Summary of exchequer issues as at March 31, 2016

VOTE	Net Estimates FY 2015/16	Exchequer Issues	% of Exch. Issues to Net Estimates	% of Exchequer issues to total Issues
Recurrent (MDAs)	717.02	500.50	69.8	42.1
Development (MDAs)	389.08	174.63	44.9	14.7
CFS	441.54	352.30	79.8	29.6
County Governments	264.22	161.60	61.2	13.6
Total	1,811.86	1,189.02	65.6	100.0

Source: National Treasury & OCOB

The total exchequer issues amounting to Kshs.1,189.02 billion was released to MDAs, County governments and for the CFS. The MDAs received Kshs.675.13 billion representing 61.0 cent of the total net budget estimates and a decline from 68.7 per cent recorded in a similar period of FY 2014/15. Exchequer issues amounting to Kshs.352.30 billion was released for Consolidated Fund Services in the period under review, representing 79.8 per cent of the net estimates for Consolidated Fund Services, which was an increase from 68.7 per cent recorded in a similar period of FY 2014/15.

In the reporting period, Kshs.161.60 billion was transferred from the Consolidated Fund to the various County Governments' County Revenue Funds. This represented 61.2 per cent of the total transfers¹ earmarked for Counties in FY 2015/16 and an increase from 56.9 per cent registered in a similar period of FY 2014/15.

During the period under review, the Health sector received the highest percentage of total exchequer issues to total net estimates at 69.2 per cent while the Environmental Protection, Water and Natural Resources sector received the lowest percentage at 41.9 per cent as shown in Table 3.4.

¹ Transfers to Counties comprise of equitable share of revenue raised nationally, conditional allocations for Level Five Hospitals and conditional allocations from DANIDA but EXCLUDES conditional allocation from Road Maintenance Fuel Levy Fund which are disbursed through the Kenya Roads Board (KRB), conditional allocations for Free Maternity Healthcare which are disbursed through the Ministry of Health and conditional allocations from the World Bank grant to supplement financing of county health facilities.

Table 3.4: Annual Net Estimates and Exchequer Issues, for the Period July 2015 to March 2016 in Kshs. Billion.

Sector	Third Quarter, FY 2015/16				Third Quarter, FY 2014/15			
	Gross Est.	Net Est.	Exch. Issues	% of Exch. To N. Est.	Gross Est.	Net Est.	Exch. Issues	% of Exch. To N. Est.
Agriculture, Rural & Urban Development	79.7	66.6	35.66	53.5	60.2	53.4	39.84	74.6
Education	336.3	313.2	214.35	68.4	308.4	282.8	201.83	71.4
Energy, Infrastructure and Information Communications Technology (EI & ICT)	404.7	109.6	65.73	60.0	256.9	102.3	75.33	73.6
Environmental Protection, Water and Natural Resources	63	34.9	14.62	41.9	50.8	35.2	20.51	58.3
General Economic & Commercial Affairs (GECA)	21.3	20.8	9.64	46.3	16.2	15.6	9.26	59.3
Governance, Justice, Law and Order (GJLOS)	154	152.9	101.67	66.5	130.5	129.2	91.36	70.5
Health	59.2	44.2	30.59	69.2	47.4	36.1	23.35	64.7
Public Administration and International Relations	243.4	220.1	113.91	51.7	196.9	177.3	105.60	59.5
Social Protection, Culture and Recreation	31.5	31.2	13.38	42.8	24.1	23.7	15.18	64.1
National Security	112.5	112.5	75.66	67.3	90.7	90.7	67.90	74.8
Sub -Total for MDAs	1,505.50	1,106.10	675.13	61.0	1,182.10	946.7	650.14	68.7
Sub -Total Consolidated Fund Services	441.5	441.5	352.30	79.5	415.6	415.6	285.33	68.7
County Governments	287	264.2	161.60	61.2	242.4	228.5	138.06	60.4
Grand Total	2,234.00	1,811.80	1,189.02	65.6	1,840.10	1,590.80	1,073.55	67.5

Source: National Treasury & OCOB

3.3.1 Recurrent Exchequer Issues by Sector

During the period under review, the total exchequer issues to MDAs for recurrent expenditure amounted to Kshs.500.50 billion, representing 69.8 per cent of the annual net recurrent estimates, a decline when compared to the 74.2 per cent recorded in the same period of FY 2014/15 where a total of Kshs.464.39 billion was issued. Table 3.5 shows the Sectoral Recurrent Estimates and Exchequer Issues for the period July 2015 to March 2016.

Table 3.5: Sectoral Recurrent Estimates and Exchequer issues, July 2015 to March 2016 (Kshs. Billions)

Sector	Third Quarter, FY 2015/16				Third Quarter, FY 2014/15			
	Gross Est.	Net Est.	Exch. Issues	% of Exch. to N. Est.	Gross Est.	Net Est.	Exch. Issues	% of Exch. to N. Est.
Agriculture, Rural & Urban Development	16.7	16.2	9.40	58.0	16.0	15.5	12.31	79.6
Education	299.6	280.6	210.66	75.1	273.4	252.4	189.84	75.2
Energy, Infrastructure and Information Communications Technology (EI & ICT)	40.8	7.9	5.28	66.8	35.6	6.5	5.49	84.6
Environmental Protection, Water and Natural Resources	17.8	9.4	6.83	72.6	14.7	9.7	8.0	82.4
General Economic and Commercial Affairs (GECA)	7.1	7	5.12	72.6	6.7	6.6	5.68	86.1
Governance, Justice, Law and Order (GJLOS)	133.5	132.7	91.99	69.3	119.2	118.4	87.34	73.7
Health	28.5	24.5	19.32	78.7	26.1	22.2	16.26	73.2
Public Administration and International Relations	115.5	114.1	69.28	60.7	94.2	92.8	62.88	67.7
Social Protection, Culture and Recreation	12.3	12.1	6.97	57.6	11.1	10.9	8.70	79.4
National Security	112.5	112.5	75.66	67.3	90.7	90.7	67.90	74.8
Total	784.2	717.0	500.50	69.8	687.5	625.8	464.39	74.2

Source: National Treasury & OCOB

Analysis of funds released towards MDAs recurrent activities indicated that the Health sector received the highest percentage of recurrent exchequer releases to its net recurrent estimates at 78.7 per cent, representing an increase from 73.2 per cent registered in a similar period of FY 2014/15. On the other hand, the Social Protection, Culture and Recreation sector recorded the lowest recurrent exchequer issues to its annual net recurrent estimates at 57.6 per cent which was a decline from 79.4 per cent recorded in a similar period of FY 2014/15

3.3.2 Development Exchequer Issues by Sector

The total exchequer issues released to MDAs towards development activities in the first nine months of FY 2015/16 amounted to Kshs.174.63 billion, representing 44.9 per cent of the total net development estimates compared to Kshs.185.75 billion released to the MDAs in a similar period of FY 2014/15, which accounted for 57.9 per cent of the total net development estimates. The Sectoral Development Estimates and Exchequer Issues for the period July 2015 to March 2016 is presented in Table 3.6.

Table 3.6: Sectoral Development Estimates and Exchequer Issues for July 2015 to March 2016 in Kshs. Billions

Sector	Third Quarter, FY 2015/16				Third Quarter, FY 2014/15			
	Gross Est.	Net Est.	Exch. Issues	% of Exch. to N. Est.	Gross Est.	Net Est.	Exch. Issues	% of Exch. to N. Est.
Agriculture, Rural & Urban Development	63.0	50.4	26.27	52.1	44.3	38.0	27.53	72.5
Education	36.7	32.6	3.69	11.3	35.0	30.4	11.98	39.5
Energy, Infrastructure and Information Communications Technology (EI & ICT)	363.8	101.7	60.45	59.4	221.3	95.8	69.84	72.9
Environmental Protection, Water and Natural Resources	45.2	25.5	7.79	30.5	36.1	25.5	12.51	49.2
General Economic and Commercial Affairs (GECA)	14.2	13.8	4.52	32.8	9.6	9.0	3.57	39.7
The Governance, Justice, Law and Order (GJLOS)	20.6	20.2	9.69	48.0	11.7	11.1	4.02	36.2
Health	30.7	19.6	11.27	57.4	21.3	13.9	7.09	51.0
Public Administration and International Relations	127.9	106.1	44.64	42.1	102.7	84.5	42.71	50.5
Social Protection, Culture and Recreation	19.2	19.1	6.41	33.5	13.0	12.7	6.48	50.9
Total	721.3	389.1	174.63	44.9	494.9	320.9	185.75	57.9

Source: National Treasury & OCOB

The Energy, Infrastructure and Information Communications Technology (EI & ICT) sector received the highest development exchequer issues to net development estimates at 59.4 per cent, which was a decline compared to 72.9 per cent recorded in a similar period of FY 2014/15. The Education sector received the least percentage of development exchequer release to net development estimates at 11.3 per cent which was a decline from 39.5 per cent recorded in a similar period of FY 2014/15.

3.4 Donor Releases

In the FY 2015/16, the Government targeted to mobilize external resources amounting to Kshs.349.32 billion from development partners to finance development projects and programmes. These resources comprised of Loans Appropriation in Aid (A-I-A) amounting to Kshs.245.79 billion; Grants A-I-A amounting to Kshs.50.42 billion; Loans Revenue amounting to Kshs.37.91 billion and Grants Revenue amounting to Kshs.15.20 billion. Table 3.7 shows a summary of grants and loans disbursement in the first nine months of FY 2015/16.

Table 3.7: Summary of Grants and Loans Disbursement, Third Quarter of FY 2015/16 in Kshs. Billion

Funding Type	Gross Estimates FY 2015/2016	Cumulative Disbursement for Third Quarter, FY 2015/16	% Disbursed against Gross Estimates	Gross Estimates FY 2014/2015	Cumulative Disbursement for Third Quarter, FY 2014/15	% Disbursed against Printed Estimates	Growth over FY 2014/15
Loans Revenue	37.9	18.5	48.8	36.2	20.29	56.1	-8.8
Grants Revenue	15.2	5.5	36.2	10.0	4.62	46.1	19.0
Loans A-I-A	245.8	96.5	39.3	100.2	38.75	38.7	149.0
Grants A-I-A	50.4	11.6	23.0	41.4	10.86	26.2	6.8
Total	349.3	132.1	37.8	187.8	74.52	39.7	77.3

Source: The National Treasury

During the reporting period, the Development Partners disbursed Kshs.132.1 billion to various projects implemented by the MDAs. The disbursed funds accounted for 37.8 per cent of the gross estimates and a decline compared to a disbursement rate of 39.7 per cent attained in a similar period of FY 2014/15. The disbursed Loans revenue amounted to Kshs.18.5 billion, representing the highest performance of 48.8 per cent of the gross estimates, even though it was a decline of 8.8 per cent from Kshs.20.29 billion disbursed in a similar period of FY 2014/15. The disbursed Grants A-I-A amounted to Kshs.11.6 billion, representing the lowest performance of 23.0 per cent of the gross estimates and an increase of 6.8 per cent from Kshs.10.86 billion disbursed in a similar period of FY 2014/15.

4 NATIONAL GOVERNMENT OVERALL EXPENDITURE ANALYSIS

4.1 Introduction

This chapter presents expenditure analysis for the first nine months of FY 2015/16 for both development and recurrent expenditure by the MDAs. The Consolidated Fund Services (CFS) is discussed under recurrent expenditure.

4.2 Overall Government Budget Performance

The overall national budget for FY 2015/16 was Kshs.2.23 trillion representing a 21.4 per cent increase compared to a budget of Kshs.1.840 trillion in the FY 2014/15. Table 4.1 shows the overall government budget performance for the period July 2015 to March 2016..

Table 4.1: Overall Government Budget Performance July 2015 to March 2016 (Kshs. Billion)

Third Quarter FY 2015/16							Third Quarter FY 2014/15					
Allocation	Gross Estimate	Net Estimate	Cumulative Ex-chequer	Expenditure	% of Ex-chequer to Net Est.	Absorption Rate (%)	Gross Estimates	Net Estimates	Ex-chequer Issues	Half Year Expenditure	% Ex-chequer to Net Est.	Absorption rate (%)
Recurrent	1,225.7	1158.5	852.8	831.0	73.6	67.9	1103.1	1041.4	749.7	766.3	72.0	69.5
Development	721.3	389.1	174.6	247.4	44.9	34.3	494.9	320.9	185.7	229.8	57.9	46.4
County Governments	287.0	264.2	161.6*	183.8	61.2	63.9	242.4	229.3	138.1*	168.7	60.4	69.6
Total	2,234.0	1,811.8	1,189.0	1,262.2	65.6	56.5	1840.4	1,591.6	1,073.5	1,164.8	67.5	63.3

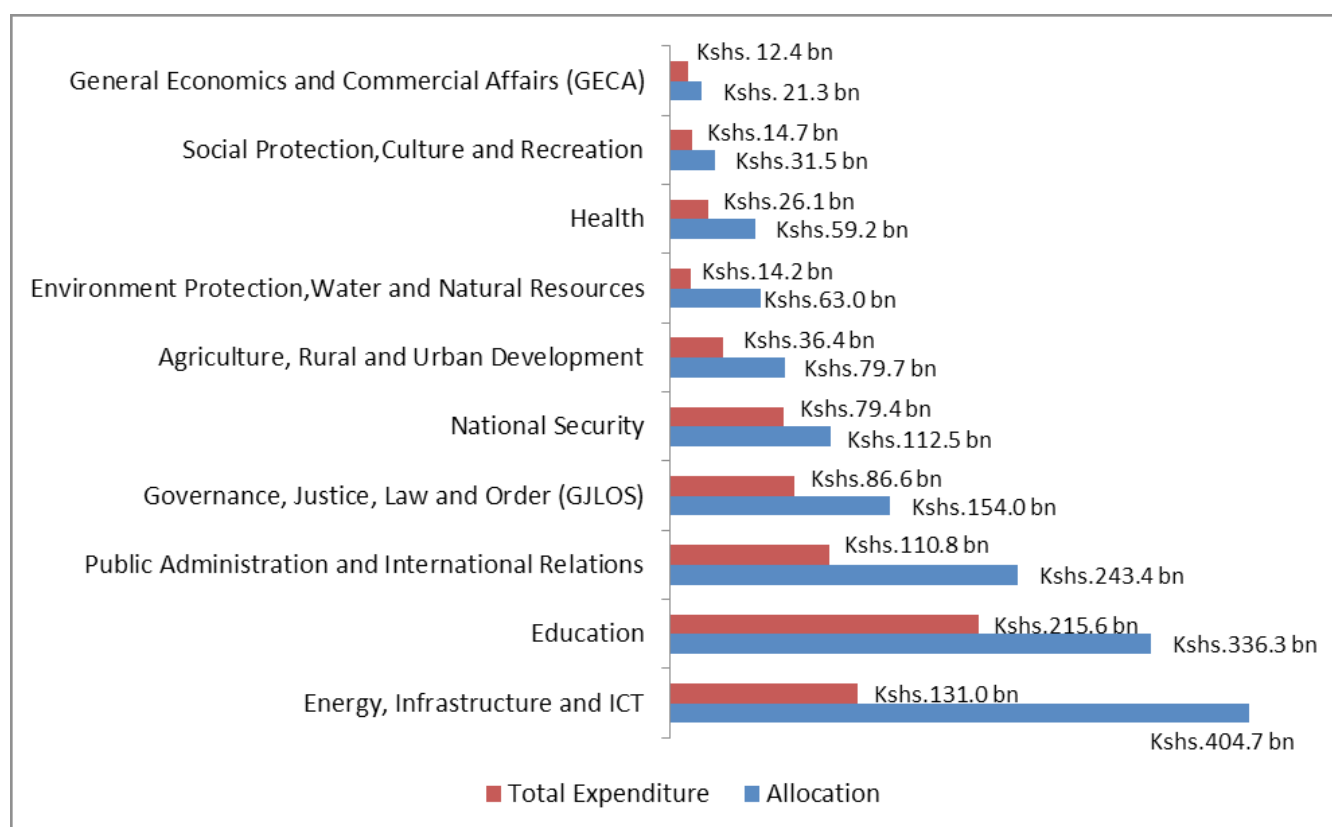
Source: NT, OCOB, MDAs & County Governments

*Refers to the shareable revenue exchequer issues.

The total exchequer issues in the first nine months of FY 2015/16 amounted to Kshs.1,189.0 billion, representing 65.6 per cent of the net estimates. This consisted of Kshs.852.8 billion for recurrent expenditure, Kshs.174.6 billion for development expenditure, and Kshs.161.6 billion to county governments. The overall expenditure for both the national and county governments was Kshs.1,262.2 (Kshs.831.0 billion on recurrent, Kshs.247.4 billion on development and Kshs.183.8 to County Governments) representing an overall absorption rate of 56.5, a slight decline 63.3 per cent recorded in the same period in FY 2014/15. From the analysis, development expenditure exceeded exchequer issues. This is attributed to A-I-A spent in funding some of the development projects.

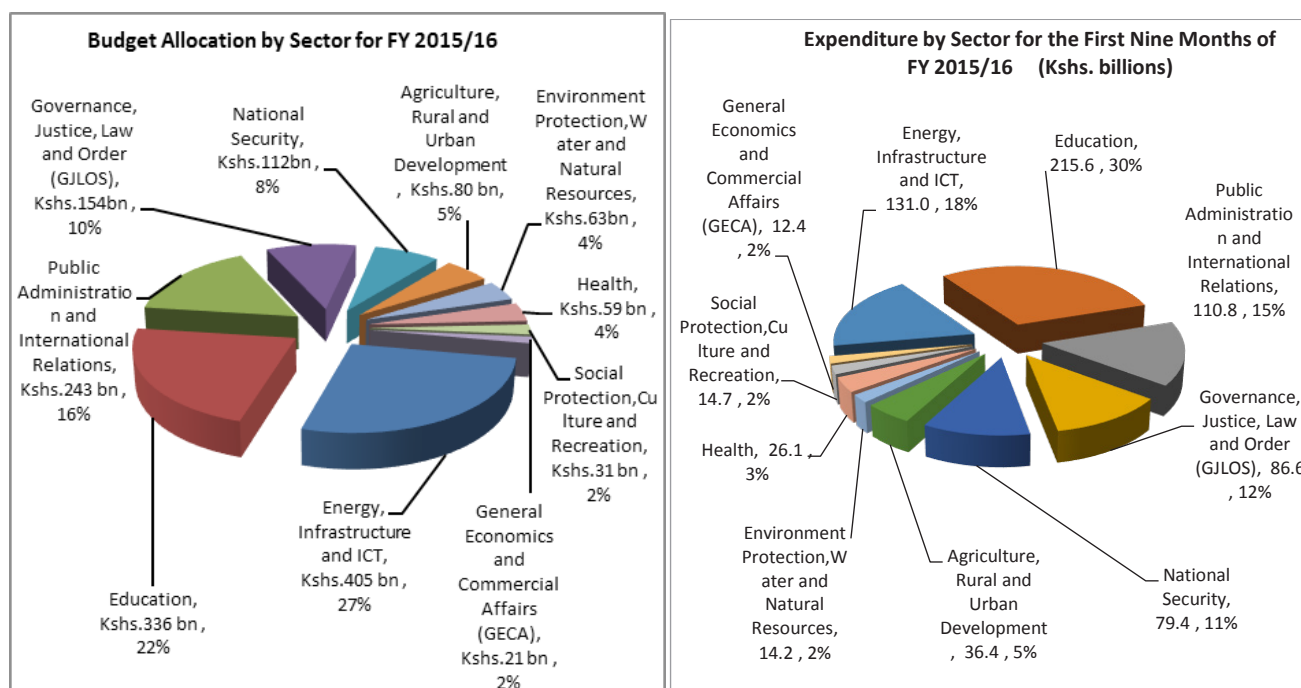
Figures 4.1 and 4.2 give a comparison of sector budget allocations and expenditure for FY 2015/16.

Figure 4.1: Comparison of Sector Gross Budget Allocations and Expenditure for the First Nine Months of FY 2015/16



Source: National Treasury and MDAs

Figure 4.2: Budget Allocation and Expenditure for the First Nine Months of FY 2015/16



Source: National Treasury and MDAs

4.3 Consolidated Fund Services (CFS)

The CFS comprises of funds allocated towards: (i) Repayment of public debt (domestic debt, foreign debt, and government guaranteed loans to parastatals), (ii) Pensions and gratuities, and, (iii) Salaries and allowances to Constitutional Office holders, and (iv) subscriptions to International Organizations. Table 4.2 presents a summary of cumulative expenditure for the period July 2015 to March 2016.

Table 4.2: Cumulative Expenditure for CFS, July 2015 – March 2016 (Kshs. Millions)

Consolidated Fund Services (CFS)	FY 2015/16 Annual Gross Estimates	FY 2015/16 Annual Net Estimates	Nine Months of FY 2015/16 Exchequer Issues	Nine Months of FY 2015/16 Actual Expenditure	Expenditure as a % of Gross Estimates	
					FY 2015/16 (%)	FY 2014/2015 (%)
Public Debt	397,035	397,035	317,052	316,043	79.6	72.9
Pensions and Gratuities	38,991	38,991	32,307	32,307	82.9	73.5
Salaries and Allowances	4,438	4,438	2,235	2,164	48.8	43.7
Miscellaneous Services	128	128	-	-	-	-
Subscriptions to International Organizations	0.5	0.5	1.8	1.8	369	-
Guaranteed Loans	945	945	702	653	69.1	66.7
Total	441,538	441,538	352,298	351,169	79.5	72.7

Source: National Treasury & OCOB

4.3.1 Public Debt

The cumulative exchequer issues authorised by the Controller of Budget for servicing public debt obligations in the first nine months of FY 2015/16 amounted to Kshs.317.75 billion comprising of Kshs.317.05 billion for public debt obligations and Kshs.0.702 billion for public guaranteed loans. A total of Kshs.317.05 billion was spent on servicing public debt obligations and public guaranteed loans, representing 79.6 per cent of the gross estimates.

4.3.2 Domestic Debt

The actual expenditure incurred on domestic debt in the first nine months of FY 2015/16 amounted to Kshs.264.05 billion, of which Kshs.210.42 billion was spent on redemption of Treasury bonds and bills while Kshs.53.63 billion was spent on interest payments.

4.3.3 Foreign Debt

The total exchequer issues released for foreign debt servicing in the period under review amounted to Kshs.53.0 billion. The actual expenditure incurred on foreign debt in the reporting period amounted to Kshs.52.0 billion, out of which Kshs.25.7 billion was spent on principal repayment while Kshs.26.3 billion was spent on interest payments.

4.3.4 Guaranteed Debt to State Parastatals

In FY 2015/16, Kshs.945 million was allocated towards settlement of guaranteed debts by the National Government for two projects, namely: Kenya Broadcasting Corporation's (KBC) modernization project and Tana and Athi River Development Authority (TARDA) for the Tana Delta irrigation project.

In the first nine months of FY 2015/16, the Controller of Budget authorised exchequer issues amounting to Kshs.701.8 million for servicing guaranteed debts for the above projects. The actual payments made by National Government in respect of the loans guaranteed to TARDA and KBC amounted to Kshs.652.50 million, out of which Kshs.588.5 million was spent on principal repayment and Kshs.63.99 million on interest payments. Table 4.3 below shows guaranteed loans repayment in the nine months period of FY 2015/16.

Table 4.3: Guaranteed Loans Repayment (Millions) July 2015 to March 2016.

Loan Title	Year Loan Contracted	Currency	Guaranteed Loans (Amounts in Foreign Currency in Millions)			Loan Repayments for the period July 2015 – March 2016 (Amounts in Kshs. millions)		
			Principal Amount	Cumulative Amount Paid as of March 2016	Outstanding Balance at March 2016	Principal	Interest	Total
TARDA	1990	YEN	6,031.0	3,679.96	1,175.52	265.18	31.57	296.75
KBC	1989	YEN	16,198.0	10,168.98	2,259.76	323.33	32.42	355.75
Total						588.51	63.99	652.50

Source: National Treasury

4.3.5 Salaries and Allowances for Constitutional Office Holders

The annual budgetary allocation for salaries and allowances for constitutional office holders in FY 2015/16 was Kshs.4.43 billion, a marginal increase compared to Kshs.4.1 billion allocated in FY 2014/15.

The total exchequer issues released in the period under review for the payment of salaries and allowances for Constitutional Office holders amounted to Kshs.2.23 billion, representing 50.4 per cent of the annual estimates. The actual expenditure for this category in the reporting period amounted to Kshs.2.16 billion, accounting for 48.8 per cent of the annual estimates and 21.3 per cent increase in expenditure from Kshs.1.78 billion incurred in a similar period of FY 2014/15.

4.3.6 Pensions and Gratuities

The annual budgetary allocation for pensions and gratuities was Kshs.38.99 billion representing 8.8 per cent of the total CFS allocation and a 20.5 per cent increase compared to Kshs.32.35 billion allocated in the FY 2014/15.

In the reporting period, the total exchequer issues released for pensions and gratuities amounted to Kshs.32.31 billion, representing 82.9 per cent of the pension and gratuities annual net estimates. The total expenditure for the period for this category in the period amounted to Kshs.32.31 billion, representing 82.9 per cent of the annual estimates and 35.8 per cent increase in expenditure from Kshs.23.80 billion incurred in a similar period of FY 2014/15.

4.3.7 Subscriptions to International Organizations

The annual budgetary allocations towards subscriptions to International Organizations was Kshs.0.5 million mainly for the International Monetary Fund (IMF). In the reporting period, the total exchequer issues released to cater for the payment was Kshs.1.8 million, exceeding the annual estimates by 369 per cent. The Office recommends that the National Treasury should ratify this in the supplementary budget.

4.4 MDAs Expenditure Analysis

This section presents a breakdown of expenditure categories by the MDAs for both recurrent and development expenditure. The analysis for recurrent expenditure includes Personnel Emoluments (PE), recurrent transfers to Semi-Autonomous Government Agencies (SAGAs) and Operations and Maintenance (O&M) while development expenditure includes capital transfers to SAGAs, civil works and construction of major buildings.

4.4.1 Recurrent Expenditure Analysis

Analysis of the expenditure by MDAs for the first nine months of FY 2015/16 indicates that Kshs.479.8 billion was spent on recurrent programmes translating to an expenditure of 61.2 per cent of the recurrent gross estimates. This is a decline from the 69.6 per cent recorded in the same period of FY 2014/15.

Table 4.4 shows the breakdown of recurrent expenditure by various categories for the period July 2015 to March 2016.

Table 4.4: Breakdown of Recurrent Expenditure, by MDAs, July 2015 – March 2016 (Kshs. Million)

MINISTRY/STATE DEPARTMENT	AIA	Personnel Emoluments	Domestic Travel	Foreign Travel	Printing and Advertising	Rentals and Rates-Non Residential	Training	Hospitality	Maintenance Expenses-Motor Vehicles	Maintenance Expenses-Other Assets	Current Transfers	Other	Total
The Presidency	2.3	1,050.7	359.6	167.2	149.0	187.8	22.0	1,045.5	100.1	25.1	184.2	1,205.3	4498.8
State Department for Interior	0.0	37,273.1	482.7	14.2	10.8	517.4	372.8	70.7	358.8	105.0	431.7	12,179.8	51,816.9
State Department for Coordination of National Government	0.0	7,249.5	57.2	10.7	0.5	50.8	92.1	27.0	5.6	0.8	0.0	3,241.4	10,735.6
State Department for Planning	0.0	917.2	79.2	36.8	21.3	120.7	276.9	115.1	15.6	131.9	2,925.9	6,960.9	11,601.4
State Department for Devolution	0.0	335.9	15.8	4.3	1.5	104.0	4.2	11.5	2.0	2.3	743.7	233.6	1,458.8
Ministry of Foreign Affairs and International Trade	311.3	1,727.4	87.5	902.9	35.9	452.7	5.4	183.9	15.4	10.8	0.0	914.0	4647.2
State Department for Education	39.8	1,591.5	46.8	16.6	5.1	51.1	36.4	23.6	14.6	13.2	13,229.4	27,740.2	42,808.5
State Department for Higher Education, Science and Technology	0.0	167.5	29.0	12.3	2.3	94.6	6.3	5.7	0.1	4.5	25,905.0	5,274.7	31,502.0
The National Treasury	0.0	1,173.8	17.0	32.2	0.5	6.4	28.3	249.4	8.7	15.2	12,974.9	6,579.5	21,085.8
Ministry of Health	0.4	3,008.6	29.0	2.9	2.8	0.0	151.0	27.9	10.7	38.8	13,634.5	970.4	17877.1
State Department for Infrastructure	20,399.3	479.3	9.0	1.6	1.9	0.0	8.0	8.2	3.6	4.8	20,496.6	41.1	41453.4
State Department for Transport	11.9	82.7	3.8	2.8	0.1	0.6	3.2	3.0	2.6	17.9	723.7	194.5	1046.8
State Department for Environment & Natural Resources	3.6	874.5	13.8	25.4	0.4	62.5	6.8	15.9	2.3	1.7	3,140.9	342.8	4490.6

MINISTRY/STATE DEPARTMENT	AIA	Personnel Emoluments	Domestic Travel	Foreign Travel	Printing and Advertising	Rentals and Rates-Non Residential	Training	Hospitality	Maintenance Expenses-Motor Vehicles	Maintenance Expenses-Other Assets	Current Transfers	Other	Total
State Department for Water & Regional Authorities	1.9	425.9	16.9	5.0	0.6	21.0	5.7	2.7	3.6	1.2	775.6	62.4	1322.5
Ministry of Lands Housing, and Urban Development	0.0	2,074.7	27.1	4.6	4.2	73.4	11.2	12.3	12.1	23.7	105.9	177.9	2,527.2
Ministry of Information & Communication and Technology	60.0	214.4	34.1	15.8	168.5	61.2	115.3	38.6	10.1	3.2	851.9	156.3	1729.4
Ministry of Sports Culture and Arts	13.7	246.8	98.1	325.8	121.0	32.0	3.6	66.6	5.8	2.5	1,360.4	113.7	2390
Ministry of Labor Social Security and Services	0.0	1,094.0	160.1	8.2	11.3	151.0	31.8	125.3	34.4	32.9	2,512.6	335.5	4,496.9
Ministry of Energy and Petroleum	94.0	141.5	11.5	2.9	1.1	3.7	11.7	6.3	2.2	1.8	1,104.8	135.4	1516.9
State Department for Agriculture	3.4	675.5	26.2	14.5	8.0	7.1	5.5	5.1	4.8	3.3	2,691.6	1,226.6	4671.6
State Department for Livestock	0.9	786.5	8.8	0.8	0.3	27.6	3.3	5.9	2.8	1.9	42.1	52.8	933.7
State Department for Fisheries	0.0	140.8	10.2	12.5	0.8	10.6	10.6	3.3	2.1	0.4	599.6	47.3	838.2
Ministry of Industrialization and Enterprise Development	27.4	355.7	27.5	13.7	10.0	85.1	12.5	15.5	7.7	6.7	1,048.3	112.0	1722.1
State Department for Commerce & Tourism	5.7	265.4	26.7	48.7	2.4	90.2	7.5	25.6	5.3	3.1	1,408.3	64.7	1953.6
State Department for East African Affairs	0.0	105.5	23.3	55.5	1.1	26.8	7.5	34.2	3.5	1.3	7.5	988.2	1,254.4

MINISTRY/STATE DEPARTMENT	AIA	Personnel Emoluments	Domestic Travel	Foreign Travel	Printing and Advertising	Rentals and Rates-Non Residential	Training	Hospitality	Maintenance Expenses-Motor Vehicles	Maintenance Expenses-Other Assets	Current Transfers	Other	Total
Ministry of Mining	10.8	175.5	17.9	8.8	2.1	2.0	5.9	11.9	3.9	2.9	0.0	72.3	314
Office of the Attorney General and Department of Justice	0.0	706.7	32.6	35.8	8.7	68.3	14.5	79.3	4.0	9.9	1,052.5	136.0	2,148.3
The Judiciary	0.0	4,681.3	297.4	27.0	36.6	7.6	12.0	69.3	92.6	43.5	408.4	2,642.6	8,318.2
Ethics & Anti-Corruption Commission	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	1,498.5	-0.6	1,497.9
Directorate of Public Prosecutions	0.0	832.6	27.7	6.8	3.9	27.2	44.5	35.5	2.8	0.8	0.0	12.5	994.4
Commission for Implementation of the Constitution	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	295.1	0.0	295.1
Registrar of Political Parties	2.9	35.2	2.9	0.7	0.4	12.5	0.6	2.2	0.3	0.4	275.4	12.8	346.3
Witness Protection Agency	0.0	110.9	5.1	1.0	1.0	9.6	4.9	5.6	2.9	0.8	0.0	94.4	236.2
Kenya National Commission on Human Rights	0.0	147.1	8.9	3.5	3.2	30.4	1.8	1.7	2.3	0.1	0.0	47.9	246.9
National Lands Commission	0.0	499.6	64.9	6.3	51.4	13.1	10.3	78.3	3.2	0.9	0.0	103.3	831.1
Independent Electoral and Boundaries Commission	0.4	1,671.7	127.1	13.5	4.1	356.8	13.9	89.8	6.6	1.6	0.0	510.6	2,795.2
Parliamentary Service Commission	1.1	2,806.3	605.3	274.6	33.0	186.0	153.1	185.4	8.5	7.2	10.0	1,166.4	5436.9
National Assembly	0.0	5,280.6	2,130.1	497.8	17.4	0.0	43.9	192.5	0.0	16.5	0.0	865.4	9,044.2
Judicial Service Commission	0.0	0.0	18.0	32.2	9.4	4.9	63.3	61.1	0.0	0.0	0.0	35.2	224.2

MINISTRY/STATE DEPARTMENT	AIA	Personnel Emoluments	Domestic Travel	Foreign Travel	Printing and Advertising	Rentals and Rates-Non Residential	Training	Hospitality	Maintenance Expenses-Motor Vehicles	Maintenance Expenses-Other Assets	Current Transfers	Other	Total
The Commission on Revenue Allocation	0.0	101.1	10.0	0.1	0.9	31.6	4.5	10.2	3.8	0.7	0.0	33.6	196.5
Public Service Commission	0.0	404.9	33.7	4.9	14.0	5.3	21.3	36.3	3.5	4.7	0.0	237.6	766.2
Salaries & Remuneration Commission	0.0	145.9	35.7	4.5	1.6	24.8	3.2	70.1	1.6	2.6	0.0	79.0	369.0
Teachers Service Commission	0.0	103,185.9	15.5	0.7	1.2	4.3	5.5	4.8	3.0	4.2	0.0	31,791.8	135,016.8
National Police Service Commission	0.1	121.0	14.2	0.0	0.6	42.3	1.1	12.3	3.2	0.5	0.0	54.3	249.5
Auditor General	103.3	1,052.6	150.5	29.3	6.2	100.3	49.3	7.5	8.9	0.8	0.0	353.2	1,861.9
Controller of Budget	0.0	156.4	7.8	0.5	25.0	0.2	9.7	5.7	2.2	0.2	0.0	86.5	294.3
The Commission on Administrative Justice	0.0	140.4	5.7	2.3	1.6	35.5	2.8	2.8	2.6	1.4	0.0	59.8	254.7
National Gender & Equality Commission	0.0	80.4	13.2	5.0	1.3	34.2	6.2	2.3	1.7	0.4	0.0	64.7	209.3
Independent Police Oversight Authority	0.0	94.4	4.4	0.9	0.8	20.4	2.2	15.4	1.6	0.1	0.0	52.5	192.6
Total	21,094.2	184,888.6	5,329.4	2,694.0	785.7	3,255.7	1,714.1	3,108.6	793.3	554.2	110,438.8	107,862.6	400,330.8

Source: MDAs and National Treasury

Note: Based on the expenditure reports from IFMIS, some state departments captured Appropriations in Aid which was spent among the various expenditure categories. They included the State Department for Infrastructure which reflected total A-I-A of Kshs.20.4 billion, and Ministry of Foreign Affairs & International Trade, Kshs.311.3 million. Ministry of Defence and National Intelligence Service were excluded from this analysis due to lack of sufficient IFMIS data and they had a total expenditure of Kshs.79.4 billion.

Analysis of the MDAs recurrent expenditure under various categories indicates that, personnel emoluments (PE) was the highest spending category at Kshs.184.9 billion which was equivalent to 41.8 per cent of the total recurrent expenditure for the period under review. This performance was a decline from Kshs.205.5 billion reported in the third quarter of FY 2014/15. The cumulative recurrent transfers to Semi-Autonomous State Agencies (SAGAs) was Kshs.110.4 billion, translating to 25.0 per cent of the total recurrent expenditure and a decline from Kshs.112.9 billion reported in a similar period of FY 2014/15. Further analysis of the recurrent expenditure shows that the Teachers Service Commission (TSC) had the highest expenditure on personnel emoluments at Kshs.103.2 billion which translated to 55.8 per cent of the total PE expenditure by the MDAs. The State Department for Higher Education, Science and Technology and State Department for Education had the highest transfers to their SAGAs at Kshs.25.9 billion and Kshs.20.5 billion respectively.

The National Assembly had the highest expenditure on domestic travel at Kshs.2.1billion accounting for 40.0 per cent of the total domestic travel expenditure by the MDAs, while the Ministry of Foreign Affairs and International Trade reported the highest foreign travel expenditure at Kshs.902.9 million which was equivalent to 33.5 per cent total expenditure on foreign travel.

As shown in table 3.12, other Operations and Maintenance (O&M) expenditure amounted to Kshs.107.9 billion, accounting for 26.9 per cent of the total recurrent expenditure. Some of the MDAs with significant expenditure under this category included;

Teachers Service Commission (Kshs.31.8 billion): Amount comprised of Kshs.302.7 million on insurance costs, Kshs.91.2 million on employer contributions to compulsory national social security schemes, and Kshs.56.6 million on Other Operating Expenses.

The State Department for Education (Kshs.27.7 billion): This expenditure included; Kshs.25.6 billion spent as subsidies to Non-Financial Public Enterprises (money spent on free secondary education), Kshs.862.8 million on specialized materials and supplies, Kshs.197.8 million on office and general supplies and services, and Kshs.970.2 million on other operating expenses.

The State Department for Interior (Kshs.12.2 billion): Amount included; Kshs.4.2 billion on other operating expenses, Kshs.4.0 billion on specialized materials and supplies, Kshs.1.8 billion on insurance cost, Kshs.1.2 billion, Utilities, Supplies and Services, and Kshs.549.4 million for purchase of specialized plant, equipment and machinery. The specialized materials and supplies include among others, food and rations for Administration Police Services, uniforms and clothing for police trainees, and refined fuels and lubricants.

The State Department for Planning (Kshs.6.9 billion): A breakdown of this amount included: Kshs.4.3 billion paid as group health insurance for staff, Kshs.1.0 billion for purchase of specialised plant, equipment and machinery that included, fire fighting equipment, educational aids and related materials, and ICT and networking equipment, Kshs.422.6 million on specialised materials and supplies, and Kshs.165.5 million on other operating expenses.

The National Treasury (Kshs.6.6 billion): Amount included: Kshs.5.1 billion spent on other operating expenses, Kshs.844.6 million paid as group health insurance for staff, Kshs.505.0 million on domestic loans to State Officers for house mortgage and Kshs.54.9 million on utilities, supplies and service.

The State Department for Higher Education, Science and Technology (Kshs.5.2 billion): Amount included Kshs.5.0 billion spent as domestic loans to individuals and households, Kshs.160.4 million on purchase of specialized plant, equipment and machinery, and Kshs.42.0 million as subsidies to non-financial public enterprises.

The State for Department Coordination of National Government (Kshs.3.2 billion): Includes; Kshs.2.6 billion spent on specialized materials and supplies, Kshs.431.0 million for utilities, supplies and services, Kshs.173.3 million for fuel oil and lubricants.

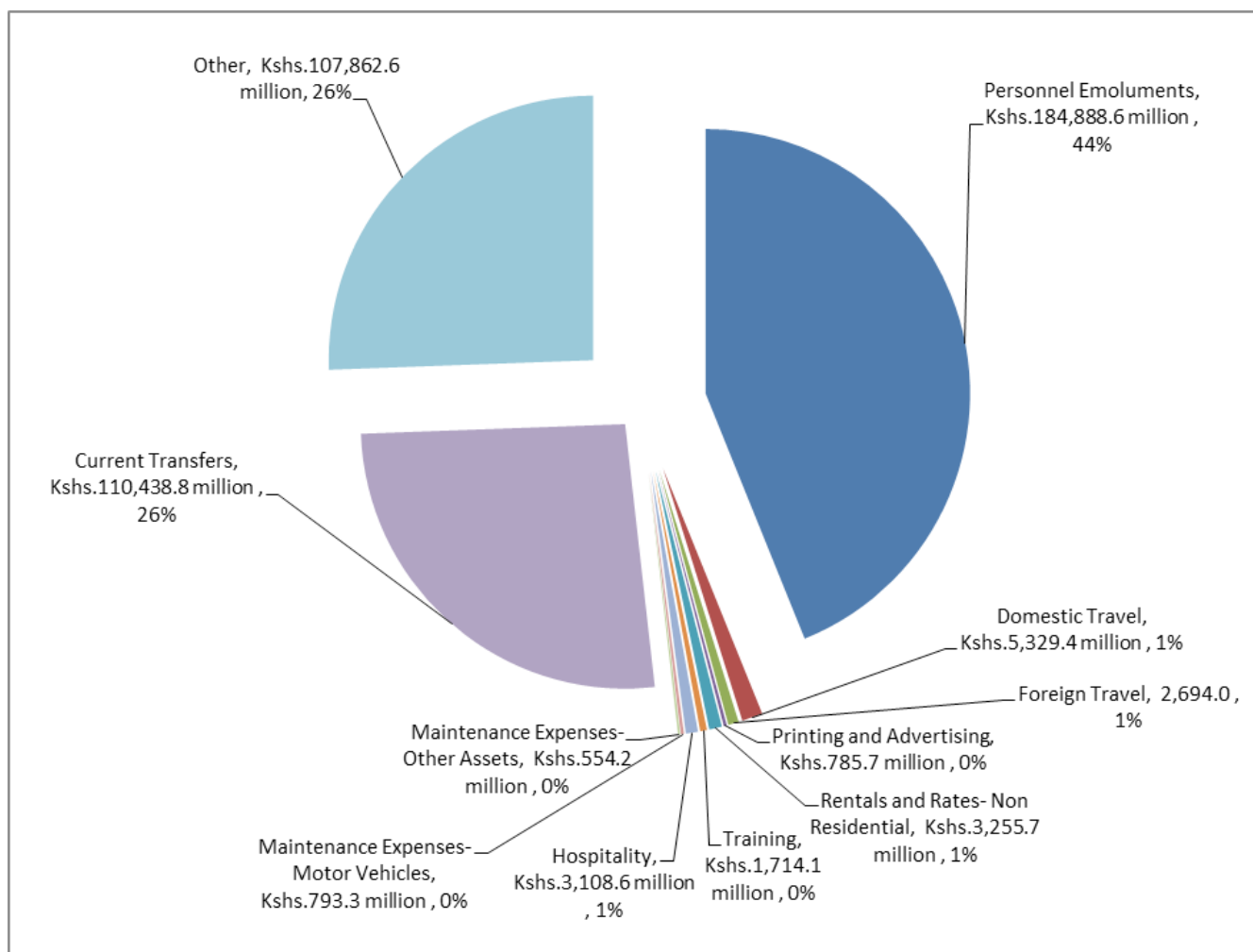
The Judiciary (Kshs.2.6 billion): Amount included expenditure of Kshs.853.9 million on loans to staff, Kshs.656.4 million on staff medical insurance, Kshs.426.9 million on domestic loans to judiciary staff, Kshs.471.7 million on staff pension and retirement benefits, and Kshs.203.9 million on other operating expenses.

The Presidency (Kshs.1.2 billion): Included; Kshs.588.2 million on other operating expenses, Kshs.139.4 million on scholarships and other educational benefits, Kshs.94.9 million on fuel oil and lubricants, Kshs.69.7 million on utilities, supplies and services, and Kshs.67.6 million on purchase of vehicles and other transport equipment.

Parliamentary Service Commission (Kshs.1.2 billion): Expenditure included: Kshs.174.0 million on use of goods and services, Kshs.503.4 million on other operating expenses, and Kshs.309.7 million on staff insurance costs.

The composition of MDAs expenditure for the period July 2015 to March 2016 is presented in Figure 4.4.

Figure 4.4: Composition of MDA Recurrent Expenditure, July 2015 to March 2016 (Kshs. Millions)



Source; MDAs and National Treasury

4.4.2 MDAs Development Expenditure Analysis

Table 4.5 shows the development expenditure breakdown by category for the MDAs in the period July 2015 to March 2016

Table 4.5: Development Expenditure by MDA Breakdown, July 2015 – March 2016 (Kshs. millions)

Ministry/State Department	Maintenance of Motor Vehicles	Maintenance of other Assets	Capital Transfers	Construction of Building	Residential (Including Hostels.)	Construction and Civil Works	Purchase of Specialized Plant, Equipment and Machinery	Pre-Feasibility and Appraisal Studies	Other Expenses	(A-I-A)	Total Expenditure
The Presidency	-	4.6	100.0	-	-	268.7	-	-	116.9	-	490.1
State Department for Interior	-	11.1	-	741.5	-	12.4	3,710.7	-	582.5	-	5,058.2
State Department for Coordination of National Government	-	-	-	41.3	-	-	105.9	-	0.0	-	147.2
State Department for Planning	-	28,166.2	-	113.0	-	1,718.7	342.5	99.6	3,615.8	245.4	34301.2
State Department for Devolution	2.4	0.2	4,890.2	3.0	-	102.5	20.0	-	927.0	2,347.5	8290.4
Ministry of Foreign Affairs and International Trade	-	-	112.9	82.6	-	-	-	-	6.0	60.5	262.0
State Department for Education	-	11.5	437.5	582.0	-	259.0	-	-	221.8	3.2	1515.0
State Department for Higher Education, Science and Technology	-	-	2,081.6	3,325.5	-	83.1	-	-	646.5	1,327.5	7464.2
The National Treasury	-	4.8	4,561.5	305.7	-	101.8	490.5	581.6	8,302.6	3,709.4	18057.9
Ministry of Health	6.8	-	3,208.6	580.4	-	-	-	-	4,445.7	20.0	8254.7
State Department for Infrastructure	-	2.8	50,249.9	3.0	-	0.8	3.6	53.5	2,549.9	14,328.6	67192.1
State Department for Transport	-	16.3	4,630.0	-	-	56,568.0	-	1.6	51,428.9	51,043.6	163688.4

Ministry/State Department	Maintenance of Motor Vehicles	Maintenance of other Assets	Capital Transfers	Construction of Building	Residential (Including Hostels,)	Construction and Civil Works	Purchase of Specialized Plant, Equipment and Machinery	Pre-Feasibility and Appraisal Studies	Other Expenditures	(A-I-A)	Total Expenditure
State Department for Environment & Natural Resources	16.4	6.4	56.2	31.4	-	82.4	299.0	135.6	697.5	-	1308.5
State Department for Water & Regional Authorities	-	-	473.4	-	-	8,572.8	-	14.8	30.0	2,485.5	11576.5
Ministry of Lands Housing, and Urban Development	-	129.4	805.3	702.0	-	7,336.9	814.3	848.4	4,080.9	1,526.7	16243.9
Ministry of Information & Communication and Technology	-	20.9	1,159.2	-	-	1.0	16.4	1,707.3	1,059.2	786.8	4750.8
Ministry of Sports Culture and Arts	-	-	219.3	-	-	819.0	32.2	4.5	-	-	1,075.0
Ministry of Labour Social Security and Services	9.4	7.9	6,240.4	87.1	-	-	16.6	0.1	389.5	-	6741.6
Ministry of Energy and Petroleum	-	-	7,677.7	-	-	14,320.2	0.4	248.8	15,920.2	15,067.3	53234.6
State Department for Agriculture	-	-	6,352.4	-	-	189.3	3.3	23.6	4,817.1	332.6	11718.3
State Department for Livestock	-	-	825.3	-	-	-	22.2	-	114.4	25.6	987.5
State Department for Fisheries	0.4	-	784.2	-	-	24.9	3.5	-	417.6	-	1,230.2
Ministry of Industrialization and Enterprise Development	-	-	4,091.9	-	-	188.3	45.4	4.6	14.3	-	4,344.5
State Department for Commerce & Tourism	-	26.8	2,854.6	-	-	-	4.8	22.6	283.3	-	3,192.1

Ministry/State Department	Maintenance of Motor Vehicles	Maintenance of other Assets	Capital Transfers	Construction of Building	Residential (Including Hostels,)	Construction and Civil Works	Purchase of Specialized Plant, Equipment and Machinery	Pre-Feasibility and Appraisal Studies	Other Expenses	(A-I-A)	Total Expenditure
State Department for East African Affairs	-	-	19.8	-	-	-	-	0.3	19.5	-	39.6
Ministry of Mining	4.1	-	-	23.2	-	-	69.4	63.2	11.7	-	167.5
Office of the Attorney General and Department of Justice	-	-	77.6	-	-	-	-	-	-	-	77.6
The Judiciary	-	-	0.0	259.4	-	-	14.4	-	705.5	-	979.3
Ethics & Anti-Corruption Commission	-	-	-	-	-	-	-	-	-	-	-
Directorate of Public Prosecutions	-	-	-	4.6	-	-	-	-	0.7	4.6	9.9
National Lands Commission	-	-	-	-	-	-	155.5	-	3.2	-	158.7
Independent Electoral and Boundaries Commission	-	-	-	-	-	-	-	-	-	-	-
Parliamentary Service Commission	-	-	-	886.6	-	-	-	-	462.4	-	1,349.0
Public Service Commission	-	-	-	27.4	-	22.4	-	-	0.0	-	49.8
Teachers Service Commission	-	-	-	-	-	-	-	-	-	-	-
Auditor General	-	-	-	24.2	-	-	-	-	-	-	24.2
Total	39.4	28,408.9	101909.5	7,823.9	-	90,672.2	6,170.7	3,810.2	101,870.6	93,314.9	247,390.50

Source: MDAs and National Treasury IFMIS Directorate

The cumulative development expenditure by MDAs for the first nine months of FY2015/16 amounted to Kshs.247.4 billion translating to an absorption rate of 34.3 per cent, a decline compared to an absorption rate of 47.0 per cent reported in the same period last FY2014/15.

During the reporting period, Capital Transfers to Semi-Autonomous Government Agencies (SAGAs) had the highest expenditure at Kshs.101.9 billion translating to 29.9 per cent of the total development expenditure. The second highest spending category was other expenses at Kshs.101.9 billion accounting for 26.6 per cent of the total development expenditure by the MDAs. Other categories with notable expenditure amounts included; maintenance of other assets at Kshs. 28.4 billion, construction of buildings at Kshs.7.8 billion, and purchase of specialised plant, equipment and machinery at Kshs.6.2 billion.

A review of the development expenditure by the MDAs for the period July 2015 to March 2016 shows that the State Department for Infrastructure had the highest capital transfers to its SAGAs at Kshs.50.2 billion accounting for 49.3 per cent of the total capital transfers followed by the Ministry of Energy and Petroleum at Kshs.7.7 billion or 7.5 per cent of the total capital transfers by the MDAs.

Equally, the State Department for Transport had the highest expenditure on construction and civil works at Kshs.56.6 billion translating to 62.4 per cent of the total MDA expenditure under this category. The Ministry of Energy and Petroleum, State Department for Water & Regional Authorities, and Ministry of Lands Housing, and Urban Development followed at Kshs.14.3 billion, Kshs.8.6 billion, and Kshs.7.3 billion in that order.

The total amount reported by MDAs as A-I-A during the period under review was Kshs.93.3 billion as shown in Table 3.13 while Kshs.50.5 billion was spent on other development activities. The MDAs with notable development expenditure under the “other” expenditure category are analysed as follows:

The National Treasury (Kshs.8.3 billion): Expenditure included; Kshs.3.2 billion on specialized material and supplies, Kshs.2.5 billion spent on civil contingency reserves, Kshs.1.7 billion on other operating expenses, Kshs.490.5 million on purchase of ICT networking and communication equipment, and Kshs.100.0 million on overhaul and refurbishment of construction and civil works.

State Department for Agriculture (Kshs.4.8 billion): This expenditure included; Kshs.4.8 billion on other operating expenses, Kshs.27.2 million on specialized materials and supplies, and Kshs. 12.3 million on insurance.

Ministry of Health (Kshs.4.4 billion): Expenditure included; Kshs.2.1 billion on rental of produced assets and Kshs.1.3 billion on purchase of medical drugs, vaccines, non-pharmaceuticals and medical items and laboratory materials for government facilities, and Kshs.244.9 million on printing and advertising.

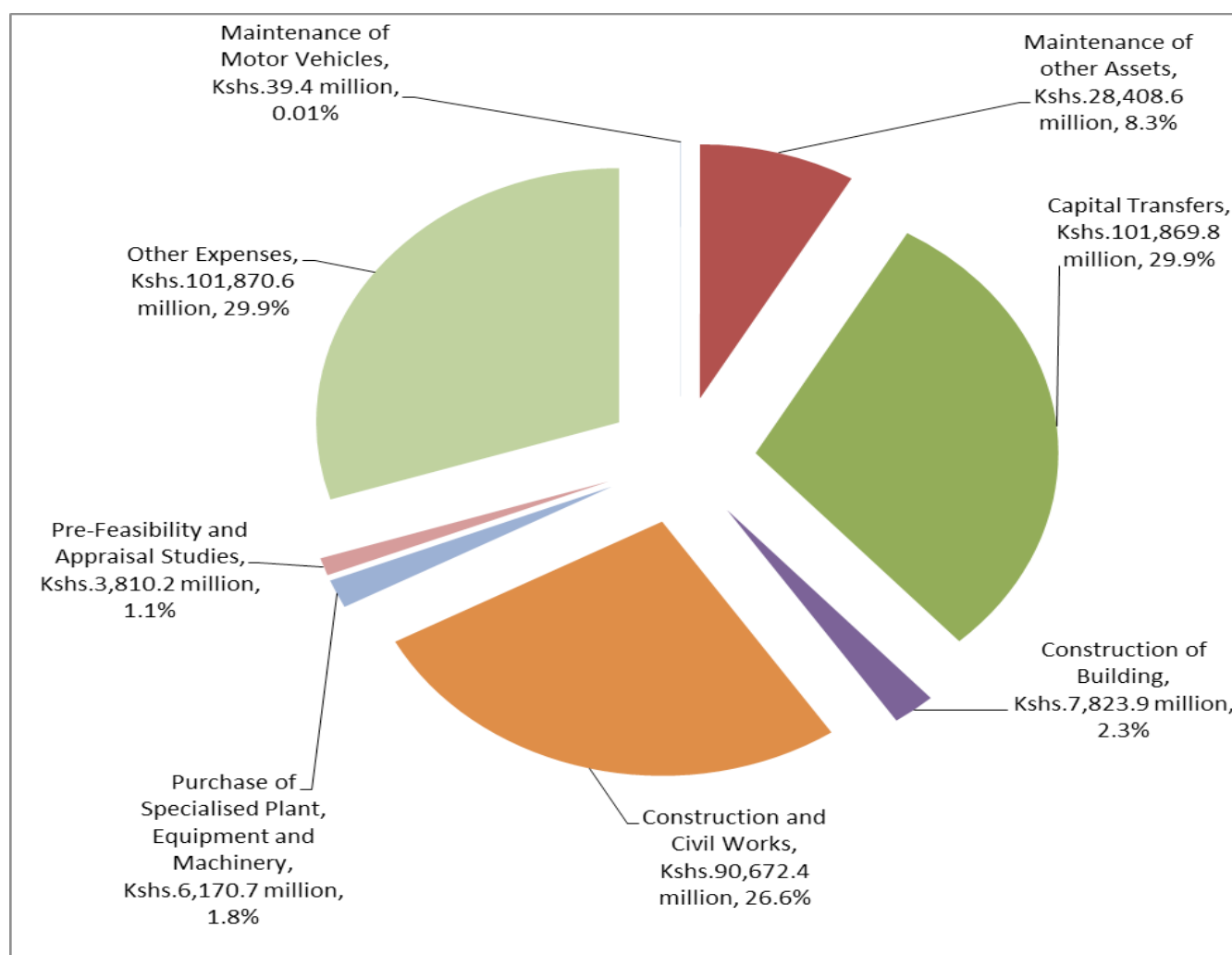
Ministry of Lands Housing and Urban Development (Kshs.4.1billion): A breakdown of this amount included; Kshs.1.3 billion on other operating expenses, Kshs.1.3 billion on acquisition of the Waitiki farm by the government, Kshs.642.7 million on specialized materials and supplies which includes the payment of legal compensation to contractors as per court ruling and payment contracted professional services in favour of Nairobi Metropolitan Services Improvement, and Kshs.375.7 million on construction of roads.

The State Department for Infrastructure (Kshs.2.5 billion): Expenditure included Kshs.2.5 billion for the construction of road, and Kshs.2.5 million on refurbishment of building.

Ministry of Information & Communication and Technology (Kshs.1.1 billion): Expenditure included Kshs. 817.5 million on Equity Participation in Domestic Public Non-Financial Enterprises towards the National Optic Fibre Backbone Infrastructure project, and Kshs.46.8 million on Purchase of Vehicles and Other Transport Equipment.

Figure 4.5 shows the composition of development expenditure for the period under review.

Figure 4.5: Composition of Development Expenditure July 2015 – March 2016 (Kshs. million)



Source; MDAs and National Treasury

5 DEVELOPMENT AND RECURRENT EXPENDITURE ANALYSIS BY SECTOR

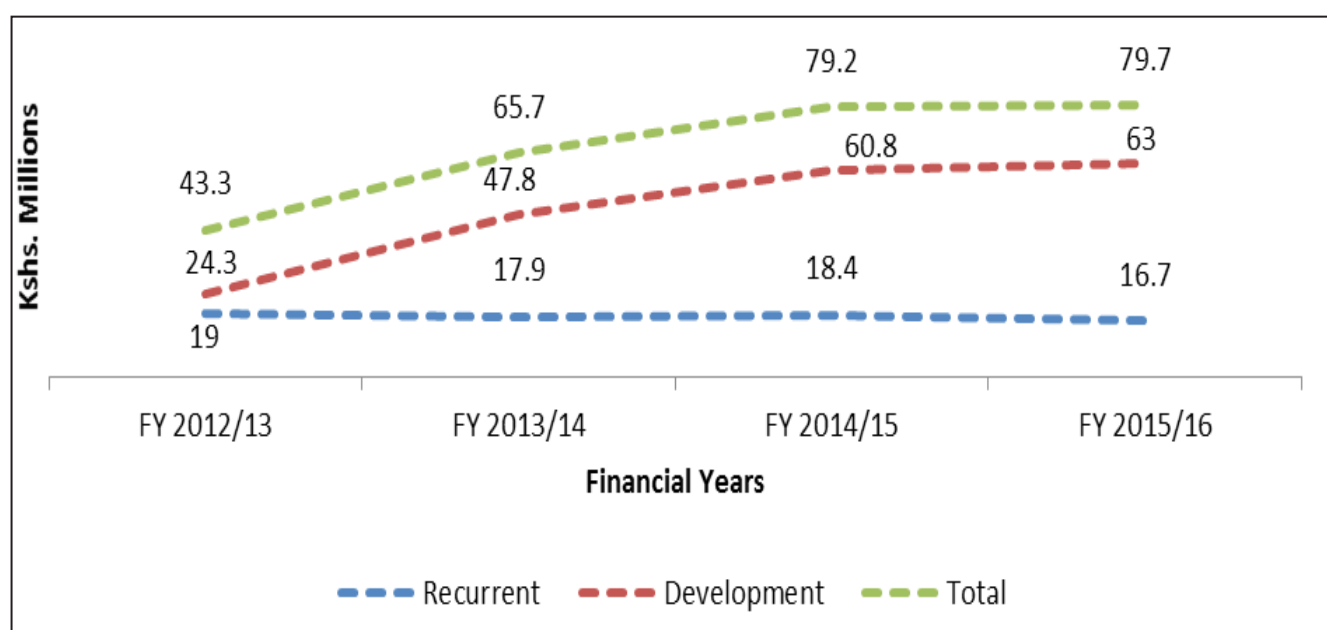
5.1 Introduction

This section presents analysis of sector performance for both recurrent and development expenditure in the first nine months of FY 2015/16. The 10 sectors are discussed in alphabetical order.

5.2 Agricultural, Rural and Urban Development (AR&UD) Sector

This sector consists of the Ministry of Land, Housing and Urban Development, State Department for Agriculture, State Department for Livestock, State Department for Fisheries, and the National Land Commission (NLC). The sector contributes to the country's economy through provision of raw materials for agro-based industries, agricultural exports as well as availing food to the Kenyan population. The goal of this sector is to attain food security, sustainable land management, affordable housing and urban infrastructure development. Figure 5.1 shows budgetary allocation trend for the AR &UD sector from FY 2012/13 to FY 2015/16.

Figure 5.1: Budgetary Allocation Trend for the AR &UD Sector from FY 2012/13 to FY 2015/16 (Kshs. Billion)



Source: National Treasury

The annual budgetary allocation to the sector in the FY 2015/16 was Kshs.79.7 billion representing 3.6 per cent of the gross national budget, a marginal increase from Kshs.79.2 billion allocated in FY 2014/15. It comprised of Kshs.63.0 billion (79.1 per cent) for development expenditure and Kshs.16.7 billion (20.9 per cent) for recurrent expenditure. The State Department for Agriculture received the highest budgetary allocation of Kshs.34.8 billion (43.7 per cent of the sector's

allocation) while the National Land Commission (NLC) had the lowest budgetary allocation of Kshs.1.5 billion (1.9 per cent of the sector's allocation). Table 5.1 shows analysis of the AR &UD sector exchequer issues and expenditure for the period July 2015 to March 2016.

Table 5.1: AR &UD Sector-Analysis of Exchequer Issues and Expenditure for the period July 2015 to March 2016 (Kshs. Billions)

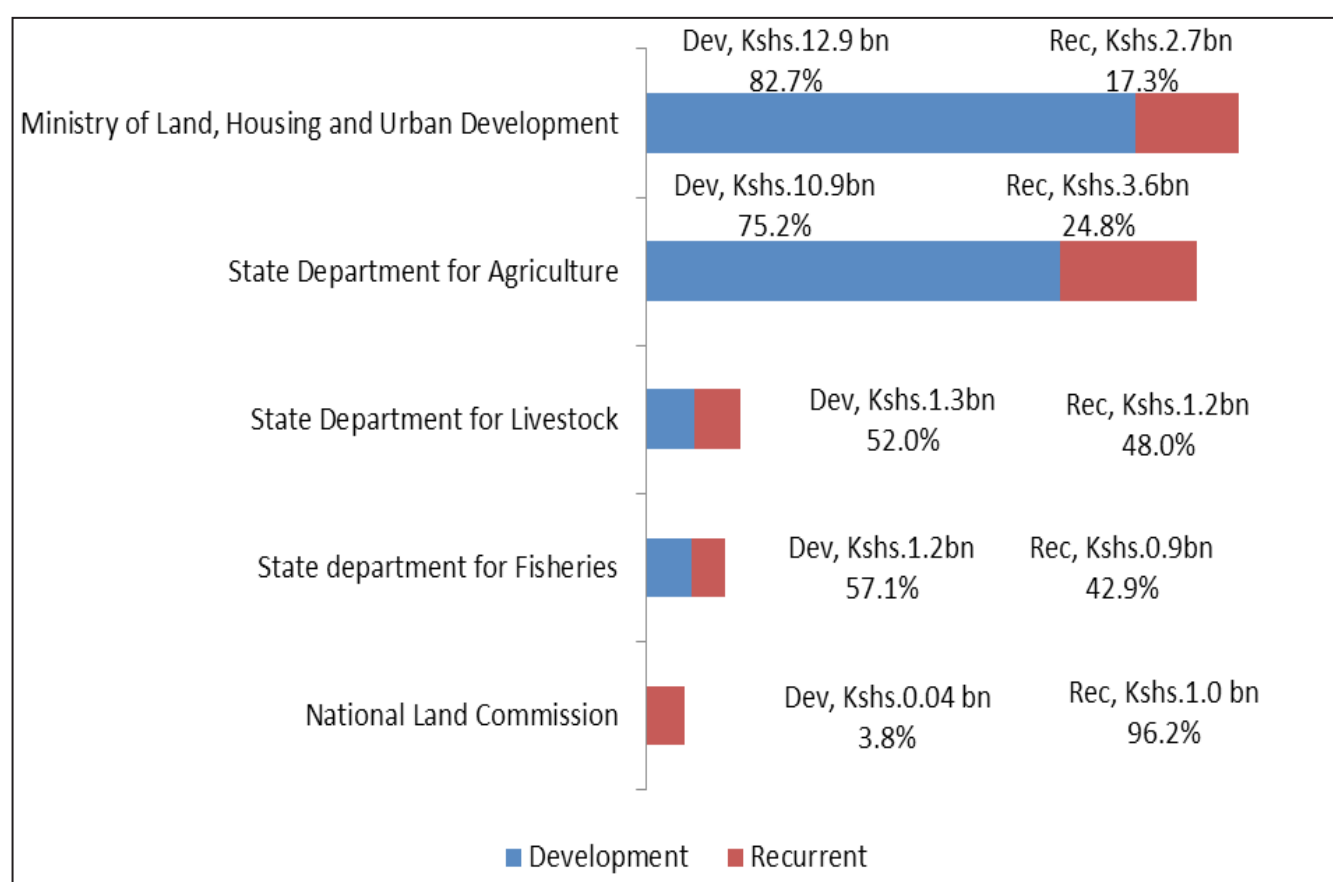
Development								Recurrent				
VOTE	Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.	Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.
Ministry of Land, Housing and Urban Development	28.1	23.6	12.9	13.2	54.6	46.9	3.9	3.9	2.7	2.5	69.2	64.1
State Department for Agriculture	26.2	20.4	10.9	11.1	53.3	42.3	8.3	7.9	3.6	4.7	45.6	56.6
State Department for Livestock	5.2	3.8	1.3	0.9	34.3	17.3	1.9	1.9	1.2	0.9	63.2	47.4
State department for Fisheries	3.1	2.1	1.2	1.2	57.1	38.7	1.4	1.4	0.9	0.8	64.3	57.1
National Land Commission	0.4	0.4	0.04	0.2	10.0	50.0	1.1	1.1	1.0	0.8	90.9	72.7
Total	63.0	50.4	26.3	26.6	52.1	42.2	16.7	16.2	9.4	9.8	58.0	58.7
Total for the Sector							Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.
Development							63.0	50.4	26.3	26.6	52.1	42.2
Recurrent							16.7	16.2	9.4	9.8	58.0	58.7
Total							79.7	66.6	35.7	36.4	53.5	45.6

Source: MDAs and National Treasury

In the first nine months period of FY 2015/16, the sector received exchequer issues of Kshs.35.7 billion, which translated to 53.5 per cent of the sector's annual net estimates. This comprised of Kshs.26.3 billion for development expenditure, representing 52.1 per cent of the annual development net estimates and Kshs.9.4 billion for recurrent expenditure, representing 58.0 per cent of the annual recurrent net estimates.

The Ministry of Land, Housing and Urban Development received the highest proportion of development exchequer issues to net estimates at 54.6 per cent while the National Lands Commission received the lowest proportion at 10.0 per cent. The National Land Commission received the highest proportion of recurrent exchequer issues at 90.9 per cent of its' recurrent net estimates while the State Department for Agriculture received the lowest proportion at 45.6 per cent. Figure 5.2 shows the exchequer issues to AR&UD sector in the nine months period of FY 2015/16.

Figure 5.2: AR&UD Sector Exchequer Issues for the Period July 2015 to March 2016 (Kshs. Billions)



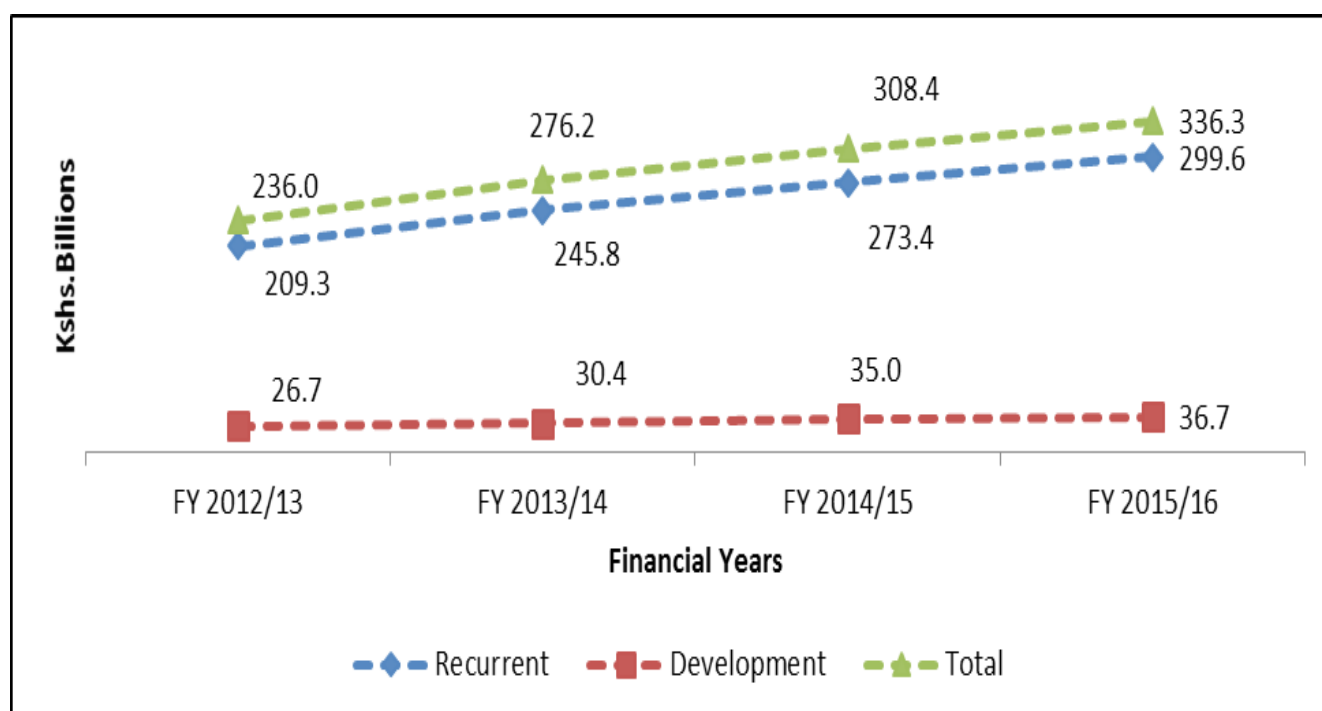
Source: National Treasury

The sector's expenditure for the first nine months of FY 2015/16 was Kshs.36.4 billion representing an absorption rate of 45.6 per cent. This consisted of Kshs.26.6 billion as development expenditure, representing an absorption rate of 42.2 per cent, and Kshs.9.8 billion as recurrent expenditure, representing 58.7 per cent of the annual recurrent estimates. The Ministry of Land, Housing and Urban Development recorded the highest absorption rate for development expenditure at 46.9 per cent while the State Department for Livestock recorded the lowest development absorption rate at 17.3 per cent. On the other hand, the National Land Commission recorded the highest percentage of expenditure to annual recurrent estimates at 72.7 per cent, while the State Department for Livestock recorded the lowest at 47.4 per cent.

5.3 Education Sector

This Sector comprises of the State Department of Education, State Department of Science and Technology, the Teachers Service Commission (TSC) and affiliated institutions. Education is a vital component in the realization of Kenya's Vision 2030 and a key economic and social right recognized by the Constitution of Kenya. As a result, the sector's goal is to increase access to education and training; improve quality and relevance of education, reduce inequality as well as exploit knowledge and skills in science, technology and innovation for global competitiveness. Figure 5.3 shows the trend in budgetary allocation to the sector from FY 2012/13 - FY 2015/16.

Figure 5.3: Budgetary Allocation Trend for the Education Sector from FY 2012/13 to FY 2015/16 (Kshs. Billion)



Source: National Treasury

The annual budgetary allocation to the sector in FY 2015/16 was Kshs. 336.3 billion or 15.1 per cent of the gross national budget, an increase compared to Kshs.308.4 billion allocated in the FY 2014/15. The allocation comprised of Kshs.36.7 billion (10.9 per cent) for development expenditure and Kshs.299.6 billion (89.1 per cent) for recurrent expenditure.

Table 5.2 presents analysis of the education sector exchequer issues and expenditure for the period from July 2015 to March 2016.

Table 5.2: Education Sector- Analysis of Exchequer Issues and Expenditure for the Period from July 2015 to March 2016(Kshs. Billions)

Development							FY 2015/16 Recurrent					
VOTE	Gross Est.	Net Estimates	Exchequer Issues	Exp.	% Exch. Issues to Net Est.	% Exp to G. Est	Gross Est.	Net Est.	Exchequer Issues	Exp.	% Exch. Issues to Net Est.	% Exp to G. Est.
State Department for Education	22.4	21.4	1.0	1.5	4.6	6.7	59.0	56.9	41.0	42.8	72.0	72.5
State Department for Higher Education, Science and Technology	14.0	11.1	2.7	4.8	24.4	34.2	59.4	42.7	31.5	31.5	73.9	53.1
Teachers Service Commission	0.2	0.2	-	-	-	-	181.2	181.0	138.1	135.0	76.3	74.5
Total	36.6	32.6	3.7	6.3	11.3	17.2	299.6	280.6	210.7	209.3	75.1	69.9

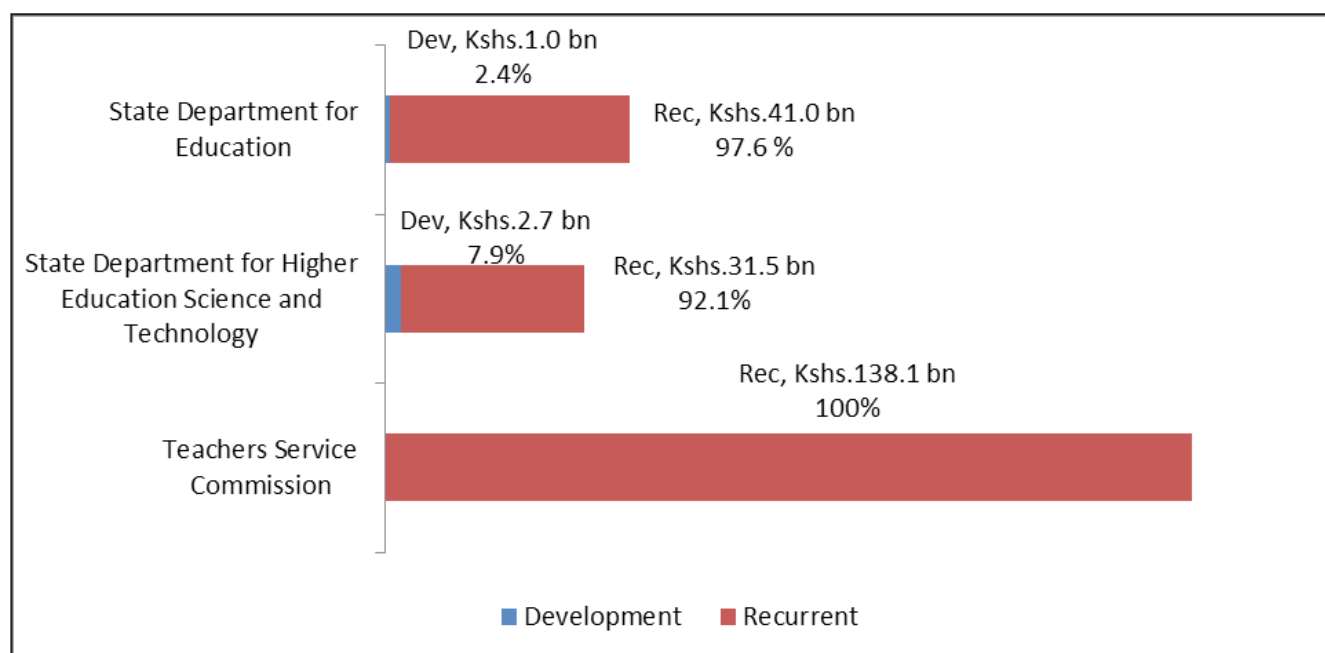
Total for the Sector	Gross Est.	Net Est .	Exch. Issues	Exp.	% Exch. Issues to Net Est.	% Exp. to G. Est.
Development	36.7	32.6	3.7	6.3	11.3	17.2
Recurrent	299.6	280.6	210.7	209.3	75.1	69.9
Total	336.3	313.2	214.3	215.6	68.4	64.1

Source: MDAs and National Treasury

In the first nine months of FY 2015/16, the total exchequer issued to the sector amounted to Kshs.214.3 billion and consisted of Kshs.3.7 billion for development expenditure and Kshs.210.7 billion for recurrent expenditure. The State Department for Higher Education, Science and Technology received Kshs.2.7 billion for development activities, representing the highest proportion of development exchequer issues to net estimates at 24.4 per cent. The TSC received Kshs.138.1 billion for recurrent activities, representing the highest proportion of recurrent exchequer issues to net estimates at 76.3 per cent while the State Department for Education received the lowest proportion at 72.0 per cent.

The breakdown of the exchequer issues for education sector for the period from July 2015 to March 2016 is shown in Figure 5.4.

Figure 5.4: Education Sector Exchequer Issues for the Period July 2015 to March 2016 (Kshs. Billions)



Source: National Treasury

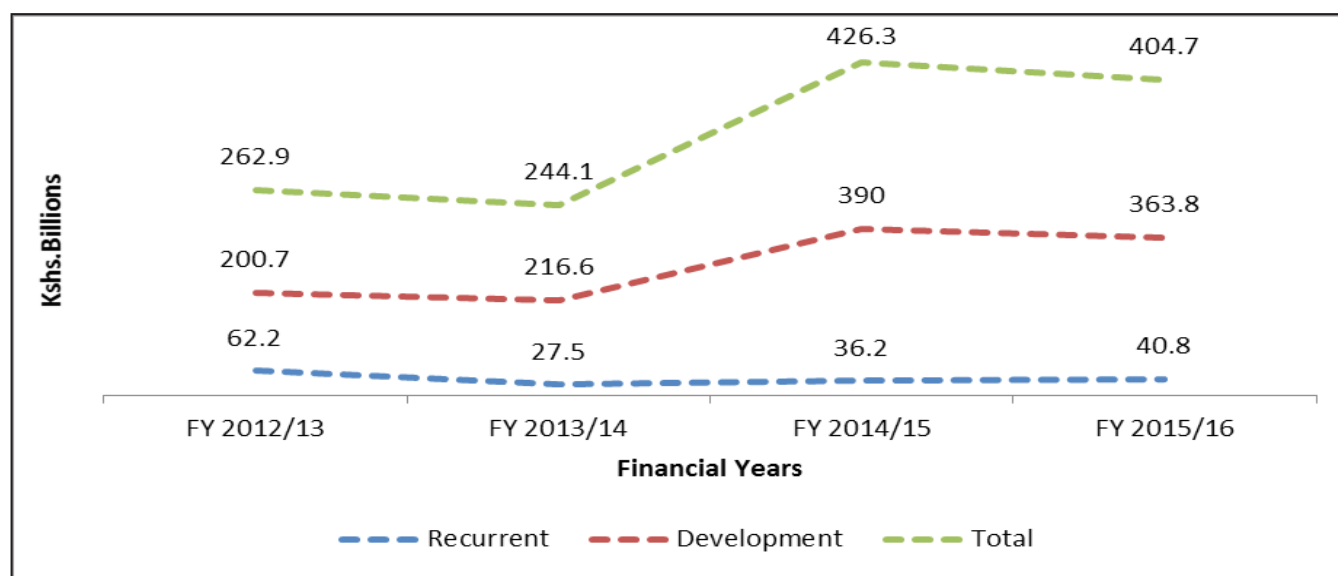
The total expenditure for the sector in the period under review amounted to Kshs.215.6 billion, representing an absorption rate of 64.1 per cent. Development expenditure was Kshs.6.3 billion, representing an absorption rate of 17.2 per cent while recurrent expenditure amounted to Kshs.209.3 billion, representing 69.9 per cent of the annual recurrent estimates.

The State Department for Higher Education, Science and Technology recorded the highest absorption of development funds at 34.2 per cent compared to 6.7 per cent achieved by the State Department for Education which was the lowest. The Teachers Service Commission (TSC) recorded the highest percentage of recurrent expenditure at 74.5 per cent to annual recurrent estimates while the State Department for Higher Education, Science and Technology recorded the lowest at 53.1 per cent. The high recurrent expenditure by the TSC is attributed to its core activity of teachers' resource management in the country.

5.4 Energy, Infrastructure and Information Communications Technology (EI & ICT) Sector

This sector consists of four departments/ministries, namely; State Department for Infrastructure, State Department for Transport, Ministry of Information Communication and Technology and Ministry of Energy and Petroleum. The sector aims at becoming a world-class provider of cost-effective public utility infrastructure facilities and services in energy, transport and ICT that meets international standards to make Kenya a globally competitive country. Figure 5.6 shows the budgetary allocation trend for the EI & ICT sector for the period FY 2012/13 to FY 2015/16.

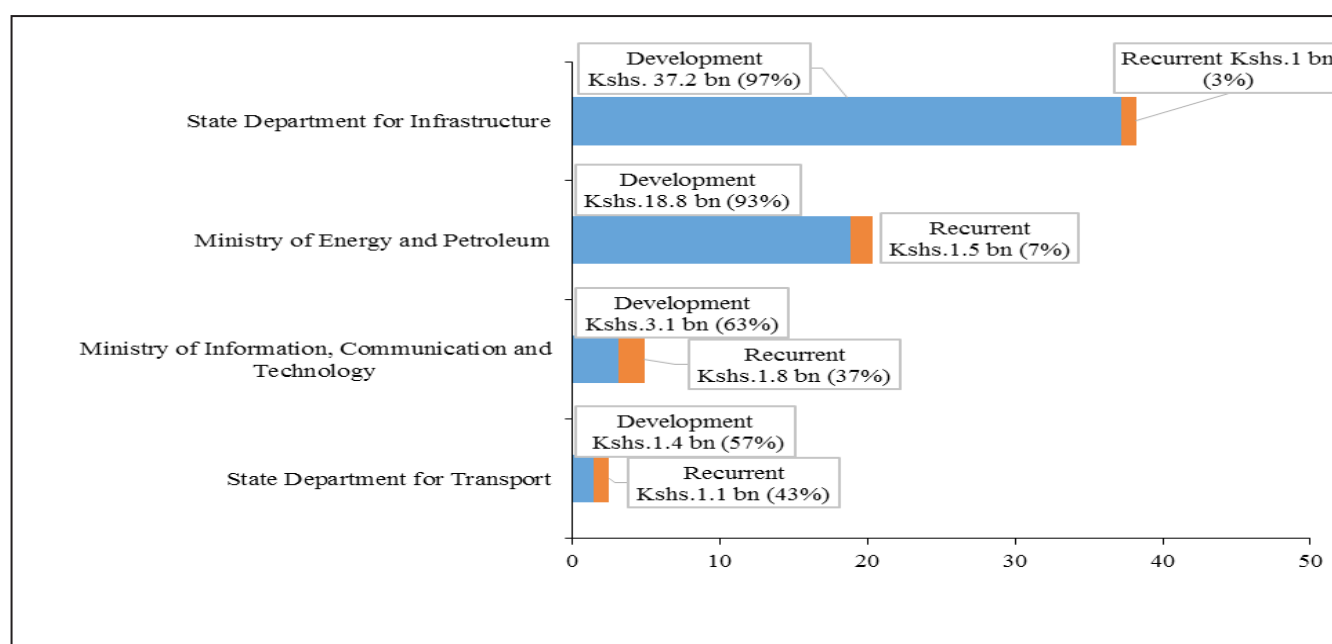
Figure 5.5: Budgetary Allocation Trend for the EI & ICT Sector for the Period FY 2012/13 to FY 2015/16 (Kshs. Billion)



Source: National Treasury

The annual budgetary allocation for the sector in the FY 2015/16 was Kshs.404.7 billion representing 18.1 per cent of the annual gross budget, a decline compared to Kshs.426.3 billion allocated in FY 2014/15. The allocation comprised of Kshs.363.8 billion (89.9 per cent) for development expenditure and Kshs.40.8 billion (10.1 per cent) for recurrent expenditure. Figure 5.6 presents analysis of the EI & ICT exchequer issues and expenditure for the period July 2015 to March 2016.

Figure 5.6: EI & ICT Sector Exchequer Issues for the Period July 2015 to March 2016 (Kshs. Billions)



Source: MDAs and National Treasury

Table 5.3 shows the analysis of EI & ICT exchequer issues and expenditure for the period July 2015 to March 2016.

Table 5.3: EI & ICT Sector - Analysis of Exchequer Issues and Expenditure for the Period July 2015 to March 2016 (Kshs. Billions)

Development							Recurrent					
VOTE	Gross Est.	Net Est.	Exch. Issues	Exp	% of Exch. to Net Est.	% of Exp. to G. Est.	Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.
State Department for Infrastructure	104.0	62.3	37.2	38.5	59.8	37.0	30.0	1.7	1.0	0.7	58.8	2.2
State Department for Transport	158.5	5.3	1.4	61.6	26.4	38.9	5.8	1.4	1.1	1.0	78.6	17.2
Ministry of Information, Communication and Technology	8.9	5.1	3.1	3.2	60.8	36.0	3.0	2.9	1.8	1.6	62.1	53.3
Ministry of Energy and Petroleum	92.4	29.0	18.8	23.1	64.8	25.0	2.0	1.8	1.5	1.3	83.3	65.0
Total	363.8	101.7	60.4	126.4	59.4	34.7	40.8	7.9	5.3	4.6	67.1	11.3
Total for the Sector							Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.
Development							363.8	101.7	60.4	126.4	59.4	34.7
Recurrent							40.8	7.9	5.3	4.6	67.1	11.3
Total							404.7	109.6	65.7	131.0	60.0	32.4

Source: MDAs and National Treasury

The total exchequer issues to the sector in the period under review amounted to Kshs.65.7 billion representing 60.0 per cent of the annual net estimates. Development exchequer issues amounted to Kshs.60.4 billion, representing 59.4 per cent of the annual development net estimates. The Ministry of Energy and Petroleum received the highest proportion of development exchequer issues to its development net estimates at 64.8 per cent while the State Department for Transport received the lowest proportion of development exchequer issues to its development net estimates at 26.4 per cent.

Recurrent exchequer issues to the sector amounted to Kshs.5.3 billion, representing 67.1 per cent of the annual recurrent net estimates while the development exchequer issues amounted to Kshs.60.4 billion, representing 59.4 per cent of the annual development net estimates. The Ministry of Energy and Petroleum received the highest proportion of recurrent exchequer issues

to its annual recurrent net estimates at 83.3 per cent while the State Department for Infrastructure received the lowest proportion of recurrent exchequer issues to its annual recurrent net estimates at 58.8per cent.

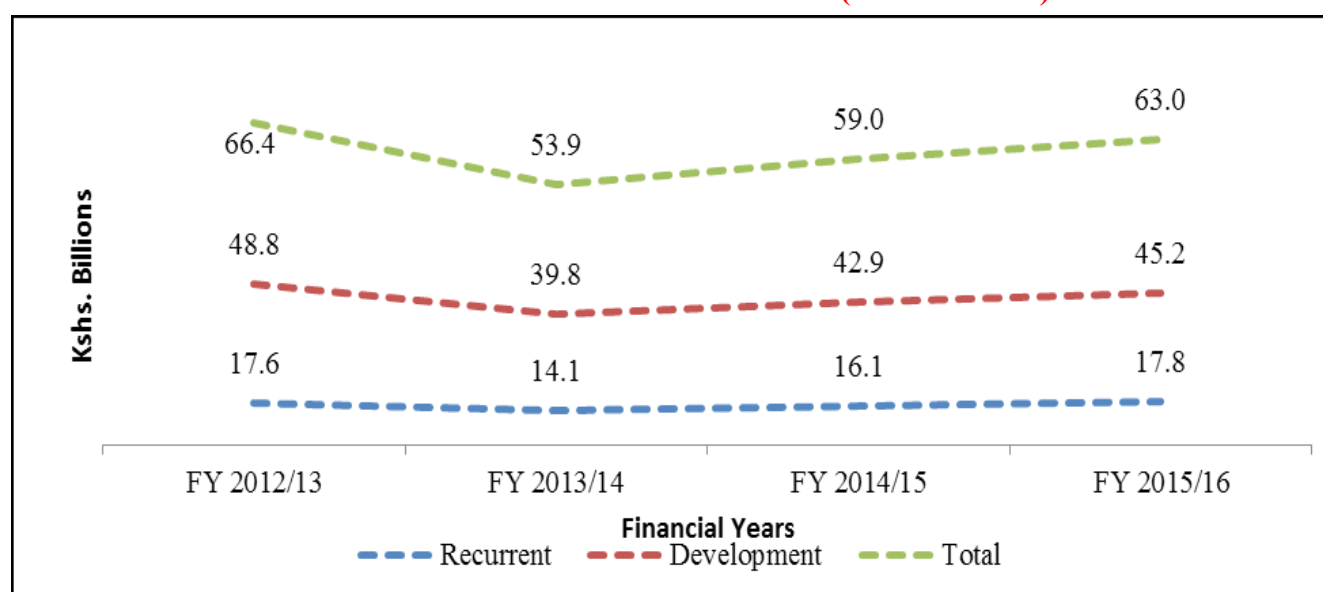
The total expenditure for the sector in the period under review amounted to Kshs.131.0 billion, representing an absorption rate of 32.4 per cent of the gross estimates. Development expenditure for the sector was to Kshs.126.4 billion, representing an absorption rate of 34.7 per cent while recurrent expenditure amounted to Kshs.4.6 billion, representing 11.3 per cent of the annual recurrent estimates.

The State Department for Transport had the highest absorption rate of its development budget at 38.9 per cent while the Ministry of Energy and Petroleum reported the lowest rate at 25.0 per cent. The Ministry of Energy and Petroleum had the highest percentage of recurrent expenditure in proportion to its gross estimates at 65.0per cent while the State Department for Infrastructure had the lowest percentage at 2.2 per cent.

5.5 Environmental Protection, Water and Natural Resource Sector

This sector consists of the State Department for Environment & Natural Resources, State Department for Water and Regional Authorities, and Ministry of Mining. The sector endeavours to provide decent, secure and habitable environment as well as access to portable water. It also promotes mineral exploration and mining management, development of mining policies, conducting inventory, and mapping of mineral resources. Figure 5.7 shows the annual budgetary allocations to the sector between FY 2012/13 to FY 2015/16.

Figure 5.7: Budgetary Allocation Trend - Environmental Protection, Water and Natural Resources Sector FY 2012/13 – FY 2015/16 (Kshs. Billion)

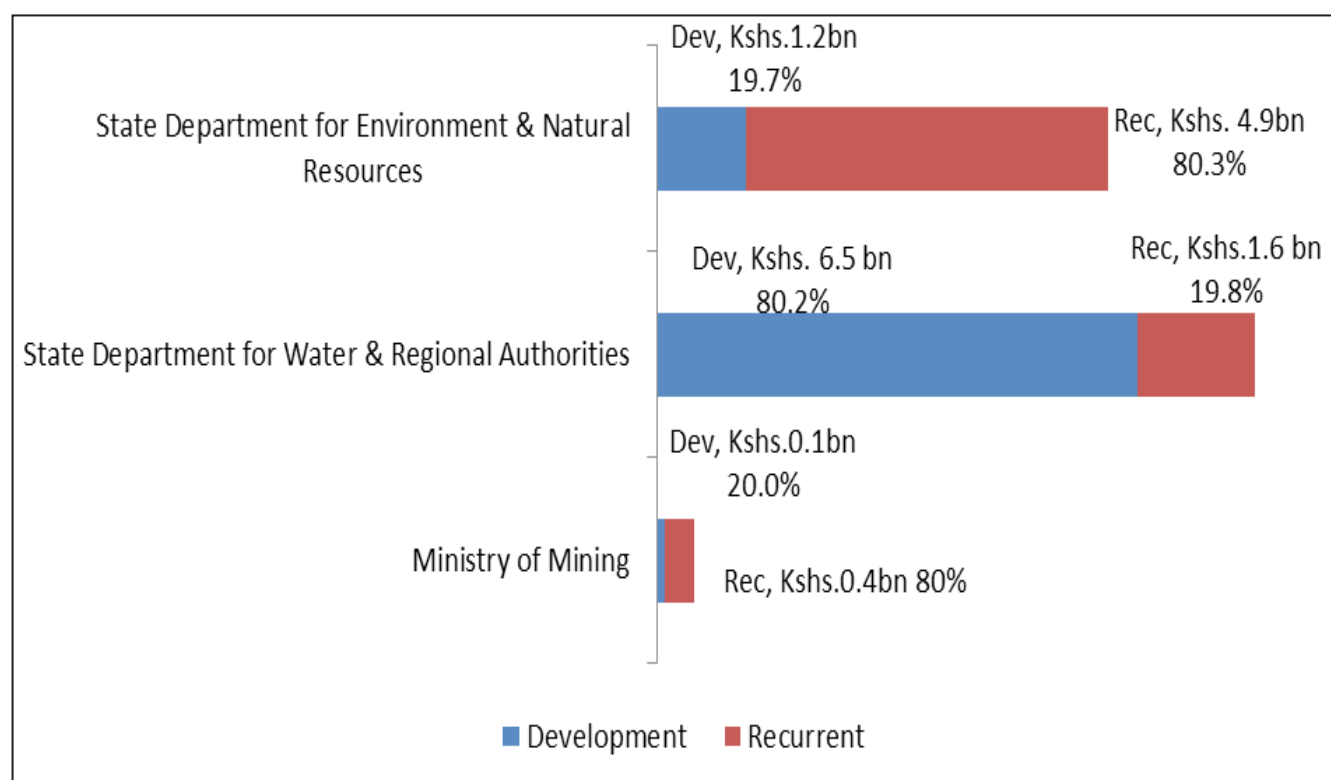


Source: National Treasury

The annual budgetary allocation for the sector in FY 2015/16 was Kshs.63.0 billion, equivalent to 2.8 per cent of the total national budget, an increase from the Kshs.59.0 billion allocated in FY 2014/15. This comprised of Kshs.45.2 billion (71.7 per cent) for development expenditure and Kshs.17.8 billion (28.3 per cent) for recurrent expenditure.

Figure 5.8 shows the environmental protection, water and natural resources sector's exchequer issues for the period July 2015 to March 2016.

Figure 5.8: Environmental Protection, Water and Natural Resources Sector Exchequer Issues for the Period July 2015 to March 2016 (Kshs. Billions)



Source: National Treasury

The State Department for Water and Regional Authorities received the highest allocation of Kshs.39.7 billion, or 63 per cent of the sector's total budget allocation while the Ministry of Mining was allocated the lowest amount of Kshs.2.2 billion, representing 3.5 per cent of the total sector budget. Table 5.4 presents the sector's analysis of exchequer issues and expenditure for the period July 2015 to March 2016.

Table 5.4: Environmental Protection, Water and Natural Resources Sector - Analysis of Exchequer Issues and Expenditure for the Period July 2015 to March 2016 (Kshs. Billions)

Development							Recurrent					
VOTE	Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.	Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.
State Department for Environment & Natural Resources	8.3	5.2	1.2	1.3	23.1	15.7	12.8	6.6	4.9	4.5	74.2	35.1
State Department for Water & Regional Authorities	35.4	18.9	6.5	6.6	34.4	18.6	4.3	2.1	1.6	1.3	76.2	30.2
Ministry of Mining	1.5	1.5	0.1	0.2	6.7	13.3	0.7	0.7	0.4	0.3	57.1	42.9
Total	45.2	25.5	7.8	8.1	30.6	17.9	17.8	9.4	6.8	6.1	72.3	34.3
Total for the Sector							Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.
Development							45.2	25.5	7.8	8.1	30.6	17.9
Recurrent							17.8	9.4	6.8	6.1	72.3	34.3
Total							63.0	34.9	14.6	14.2	41.9	22.5

Source: MDAs and National Treasury

In the period under review, the sector received exchequer issues amounting to Kshs.14.6 billion, representing 41.9 per cent of the annual net estimates. This consisted of Kshs.7.8 billion for development expenditure, representing 30.6 per cent of the annual net development estimates, and Kshs.6.8 billion for recurrent activities, representing 72.3 per cent of the annual net recurrent estimates.

The State Department for Water and Regional Authorities received the highest proportion of exchequer issues for both development and recurrent expenditure to its annual net estimates at 34.4 per cent and 76.2 per cent respectively. Conversely, the Ministry of Mining received the lowest proportion of exchequer issues for both development and recurrent expenditure at 6.7 per cent and 57.1 per cent respectively.

The total expenditure for the sector during the first nine months of FY 2015/16 amounted to Kshs.14.2 billion, translating to an absorption rate of 22.5 per cent of the gross estimates. The sector spent Kshs.8.1 billion on development activities, representing an absorption rate of 17.9

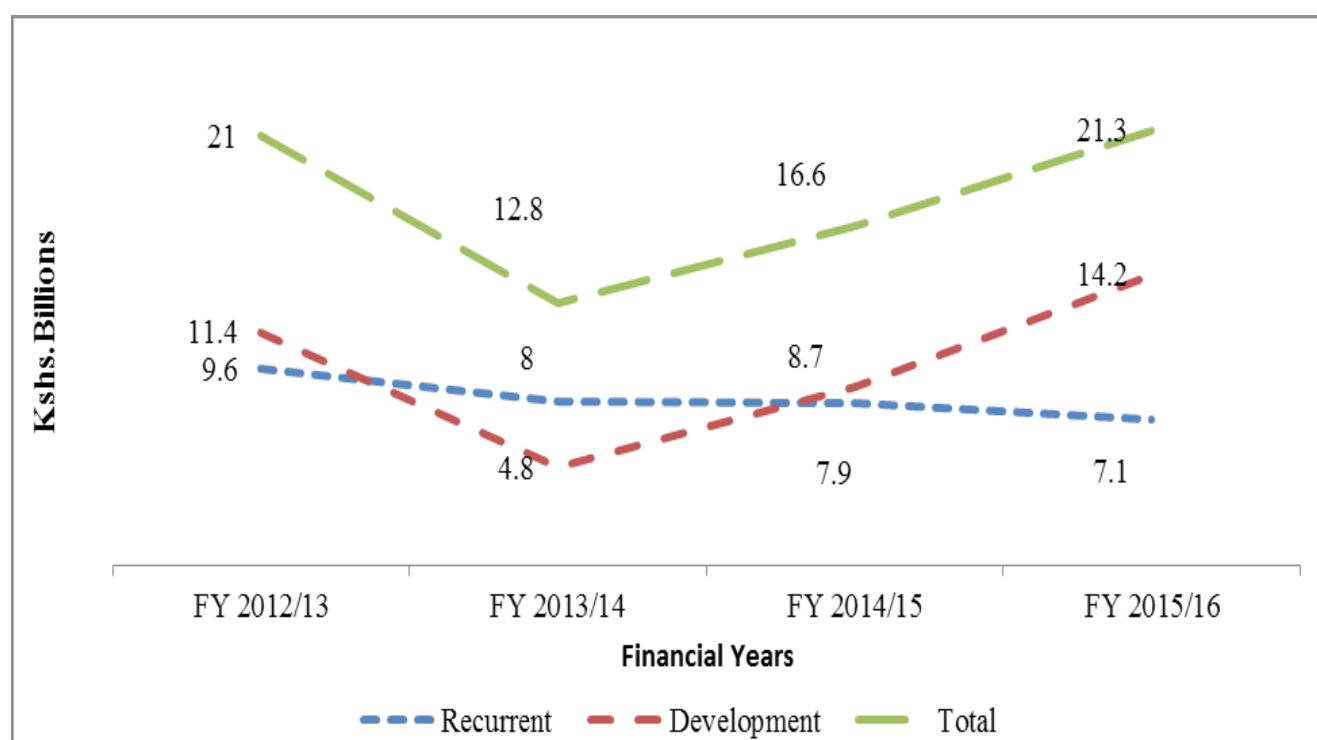
per cent, and Kshs.6.1 billion on recurrent activities, representing 34.3 per cent of the annual recurrent budget.

The State Department for Water and Regional Authorities reported the highest absorption rate of its development expenditure at 18.6 per cent while the Ministry of Mining recorded the lowest absorption for development expenditure at 13.3 per cent. On recurrent expenditure, the Ministry of Mining recorded the highest percentage of its recurrent budget at 42.9 per cent, while the State Department for Water and Regional Authorities recorded the lowest at 31.0 per cent.

5.6 General Economic and Commercial Affairs (GECA) Sector

The General Economic and Commercial Affairs (GECA) Sector comprises of the Ministry of Industrialization and Enterprise Development, State Department for East African Affairs and State Department for Commerce and Tourism. The sector aims at promoting regional integration and cooperation, growth and development of commerce, tourism promotion and development, savings and investment mobilization, employment creation, and industrial and entrepreneurship development. The sector contributes significantly to the overall national development and accounts for about 33 per cent of the overall GDP. It is also a major source of government revenue in form of taxes, duties, license fees, National Park entry fees, among others. Figure 5.9 shows the trend in budgetary allocation GECA sector trend from FY 2012/2013 to FY 2015/2016.

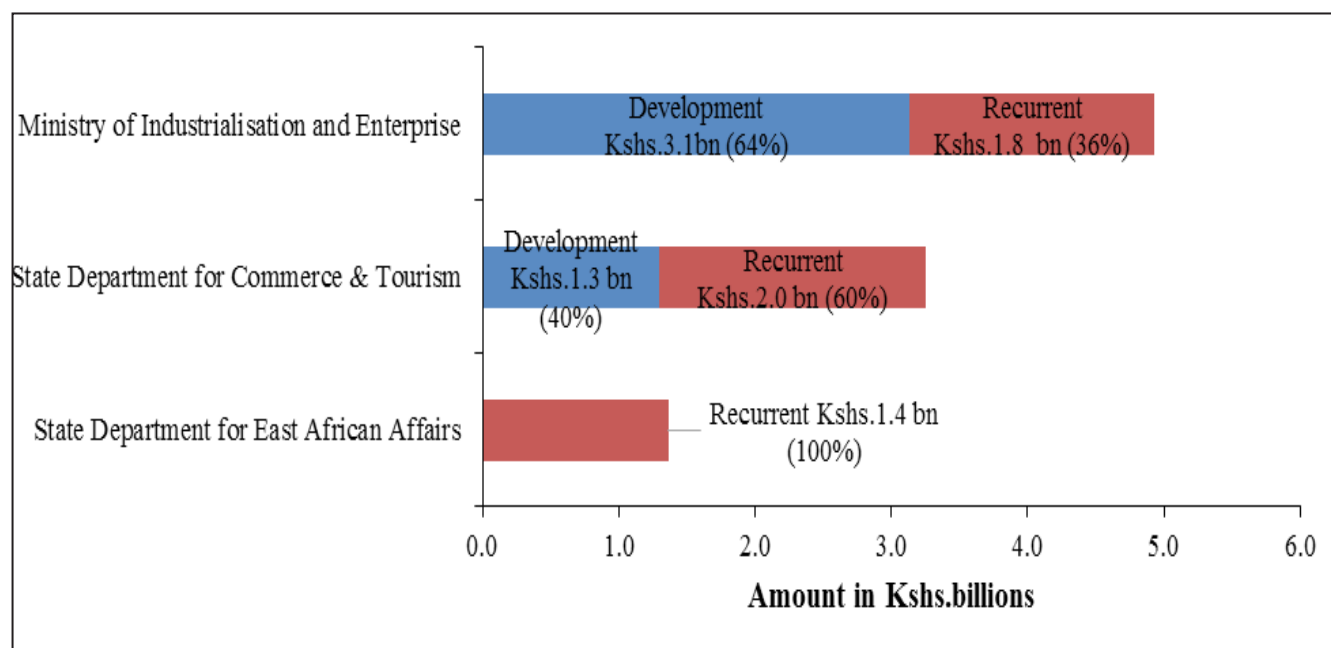
Figure 5.9: Budgetary Allocation Trend to the GECA Sector from FY 2012/13 to FY 2015/16 (Kshs. Billion)



Source: National Treasury

The annual budgetary allocation to the sector in the FY 2015/16 was Kshs.21.3 billion, representing 1 per cent of the total national budget, which is an increase from the Kshs.16.6 billion allocated in FY 2014/15. This comprises of Kshs.14.2 billion (66.7 per cent) for development expenditure and Kshs.7.1 billion (33.3 per cent) for recurrent expenditure. Figure 5.10 presents a breakdown of exchequer issues for the GECA sector for July 2015 to March 2016.

Figure 5.10: GECA Sector Exchequer Issues from July 2015 to March 2016 (Kshs. Billions)



Source: National Treasury

In the FY 2015/16, The State Department for Commerce and Tourism received the highest budgetary allocation at Kshs.7.8 billion for development expenditure, which was to be spent on tourism recovery, while the State Department for East African Affairs received the lowest at Kshs.0.1 billion. Equally, the State Department for Commerce and Tourism was allocated the highest amount for recurrent expenditure at Kshs.2.9 billion while the State Department for East African Affairs received the least at Kshs.1.7 billion.

Table 5.5 presents the analysis of exchequer issues and expenditure for GECA sector from July 2015 to March 2016.

Table 5.5: GECA Sector - Analysis of Exchequer Issues and Expenditure for the Period July 2015 to March 2016 (Kshs. Billions)

Development							Recurrent					
VOTE	Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.	Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.
Ministry of Industrialisation and Enterprise Development	6.3	5.9	3.1	4.3	52.5	68.3	2.6	2.5	1.8	1.7	72.0	65.4
State Department for East African Affairs	0.1	0.1	-	-	-	-	1.7	1.7	1.4	1.3	82.4	76.5
State Department for Commerce & Tourism	7.8	7.8	1.3	3.2	16.6	41.0	2.9	2.8	2.0	1.9	71.4	65.5
Total	14.2	13.8	4.5	7.5	32.6	53.8	7.1	7.0	5.1	4.9	72.9	69.0
Total for the Sector							Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.
Development							14.2	13.8	4.5	7.5	32.6	52.8
Recurrent							7.1	7.0	5.1	4.9	72.9	69.0
Total							21.3	20.8	9.6	12.4	46.2	58.2

Source: MDAs and National Treasury

The total exchequer issues to the sector in the reporting period amounted to Kshs.9.6 billion representing 46.2 per cent of the annual net estimates. Development exchequer issues to the sector amounted to Kshs.4.5 billion, representing 32.6 per cent of the annual development net estimates. The Ministry of Industrialisation and Enterprise received the highest proportion of development exchequer issues to its development net estimates at 52.5 per cent while the State Department for East African Affairs did not receive any development exchequer issues.

Recurrent exchequer issues to the sector amounted to Kshs.5.1 billion representing 72.9 per cent of the annual recurrent net estimates while the development exchequer issues amounted to Kshs.4.5 billion, representing 32.6 per cent of the annual development net estimates. The State Department for East African Affairs received the highest proportion of recurrent exchequer issues to its annual recurrent net estimates at 82.4 per cent while the State Department for Commerce and Tourism received the lowest proportion of recurrent exchequer issues to its annual recurrent net estimates at 71.4 per cent.

The total expenditure for the sector was to Kshs.12.4 billion, representing an absorption rate of 58.2 per cent of the gross estimates. The expenditure consisted of recurrent expenditure amounting to Kshs.4.9 billion, or equivalent to 69.0 per cent of the annual recurrent estimates while development expenditure was Kshs.7.5 billion, representing an absorption rate of 52.8 per cent.

The Ministry of Industrialisation and Enterprise had the highest absorption rate of its development budget at 68.3 per cent while the State Department for East African Affairs did not incur any development expenditure in the period under review. On the other hand, the State Department for East African Affairs had the highest percentage of recurrent expenditure in proportion to its gross estimates at 76.5 per cent while the Ministry of Industrialisation and Enterprise had the lowest at 65.4 per cent.

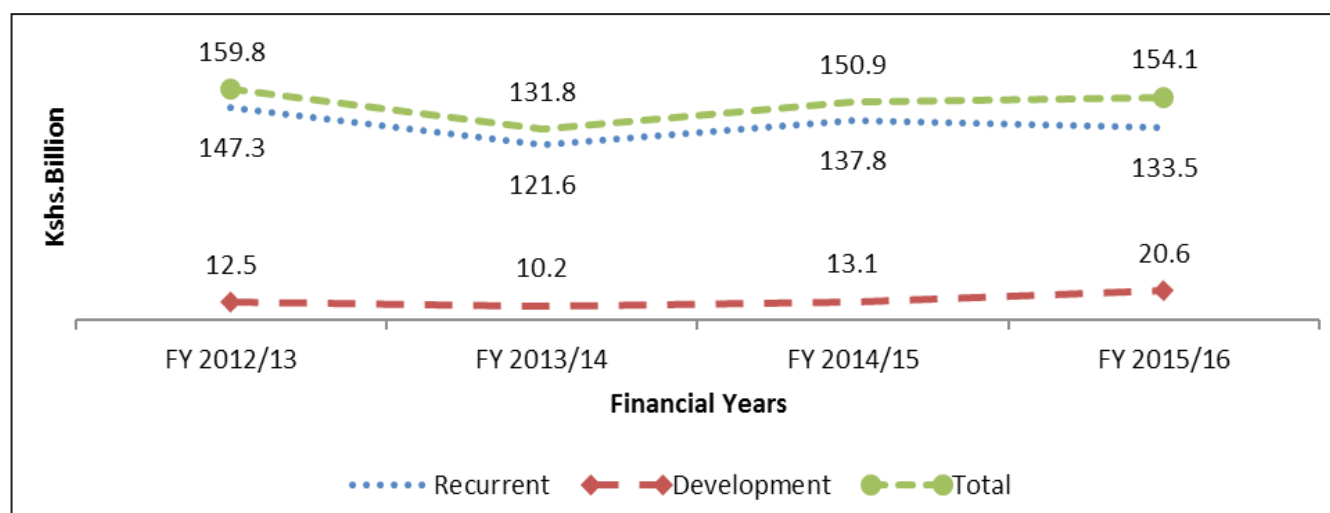
5.7 Governance, Justice, Law and Order Sector (GJLOS)

The GJLOS sector comprises of 14 departments/ministries which include; Ministry of Interior and Coordination of National Government, Office of the Attorney General and Department of Justice, Directorate of Public Prosecution (DPP), The Judiciary, Judicial Service Commission (JSC), Ethics and Anti-Corruption Commission (EACC), Kenya National Commission for Human Rights (KNCHR), Registrar of Political Parties (RPP), Witness Protection Agency (WPA), National Police Service Commission (NPSC), Independent Electoral and Boundaries Commission (IEBC), National Gender and Equality Commission (NGEC), Commission for Implementation of the Constitution (CIC) and Independent Police Oversight Authority (IPOA).

The role of the sector includes provision of security, prosecution services, management of elections and electoral boundaries, ensuring good governance and accountability of public resources, registration and regulation of political parties, facilitating and overseeing implementation of the Constitution. The sector also aims at protecting and promoting human rights, rehabilitation, re-integration and resettlement of custodial and non-custodial offenders, providing migration services, maintaining law and order, judicial and legal services, and promotion of cohesion, transparency and integrity.

Figure 5.11 shows the budgetary allocation trend for the sector for the period FY 2012/13 to FY 2015/16.

Figure 5.11: Budgetary Allocation Trend -- GJLOS Sector for FY 2012/13 to FY 2015/16 (Kshs. Billion)



Source: National Treasury

The annual budgetary allocation to the sector in the FY 2015/16 was Kshs.154.1 billion or 6.9 per cent of the total national budget, an increase compared to Kshs.150.9 billion allocated in FY 2014/15. The allocation comprised of Kshs. 20.6 billion (13.4 per cent) for development expenditure and Kshs.133.5 billion (86.6 per cent) for recurrent expenditure. Table 5.6 shows the GJLOS sector analysis of exchequer issues and expenditure, for the period July 2015 to March 2016.

Table 5.6: GJLOS – Analysis of Exchequer Issues and Expenditure, for the Period July 2015 to March 2016 (Kshs. Billions)

Development							Recurrent					
VOTE	Gross Est.	Net Estimates	Exchequer Issues	Exp.	% Exch. Issues to Net Est.	% Exp to G. Est	Gross Est.	Net Est.	Exchequer Issues	Exp	% Exch. Issues to Net Est.	% Exp to G. Est.
State Department for Interior	14.3	14.2	8.3	5.1	58.5	35.7	88.0	87.7	59.6	51.8	67.9	58.9
State Department for Coordination of National Government	1.0	1.0	0.4	0.1	40.0	10.0	17.0	17.0	13.7	10.7	80.5	62.9
Office of the Attorney General and Department of Justice	0.5	0.2	0.1	0.1	50.0	20.0	4.1	3.7	2.1	2.1	56.8	51.2
The Judiciary	4.1	4.1	0.9	1.0	22.0	24.4	12.6	12.6	8.7	8.3	68.9	65.9
Ethics and Anti-Corruption Commission	0.3	0.3	-	-	-	-	2.3	2.3	1.6	1.5	68.6	65.2
Directorate of Public Prosecutions	0.3	0.3	0.005	0.0007	1.7	0.2	2.0	2.0	1.2	1.0	60.0	50.0

Commission for the Implementation of the Constitution	-	-	-	-			0.3	0.3	0.3	0.30	100.0	100.0
Registrar of Political Parties	-	-	-	-			0.5	0.5	0.4	0.3	80.0	60.0
Witness Protection Authority	-	-	-	-			0.4	0.4	0.3	0.2	75.0	50.0
Kenya National Commission of Human Rights	-	-	-	-			0.5	0.5	0.3	0.2	60.0	40.0
Independent Electoral and Boundaries Commission	0.1	0.1	-	-	-	-	4.2	4.2	2.9	2.8	69.0	66.7
Judicial Service Commission	-	-	-	-			0.5	0.5	0.3	0.22	60.0	44.0
National Police Service Commission	-	-	-	-			0.4	0.4	0.3	0.2	75.0	50.0
National Gender and Equality Commission	-	-	-	-			0.3	0.3	0.2	0.21	66.7	70.0
Independent Police Oversight Authority	-	-	-	-			0.4	0.4	0.3	0.2	75.0	60.0
Total	20.6	20.2	9.7	6.3	48.0	30.6	133.5	132.7	92.0	80.3	69.3	60.1
Total for the Sector							Gross Est.	Net Est.	Exch. Issues	Exp.	% Exch. Issues to Net Est.	% Exp. to G. Est.
Development							20.6	20.2	9.7	6.3	48.0	30.6
Recurrent							133.5	132.7	92.0	80.3	69.3	60.2
Total							154.0	152.9	101.7	86.6	66.5	56.2

Source: MDAs and National Treasury

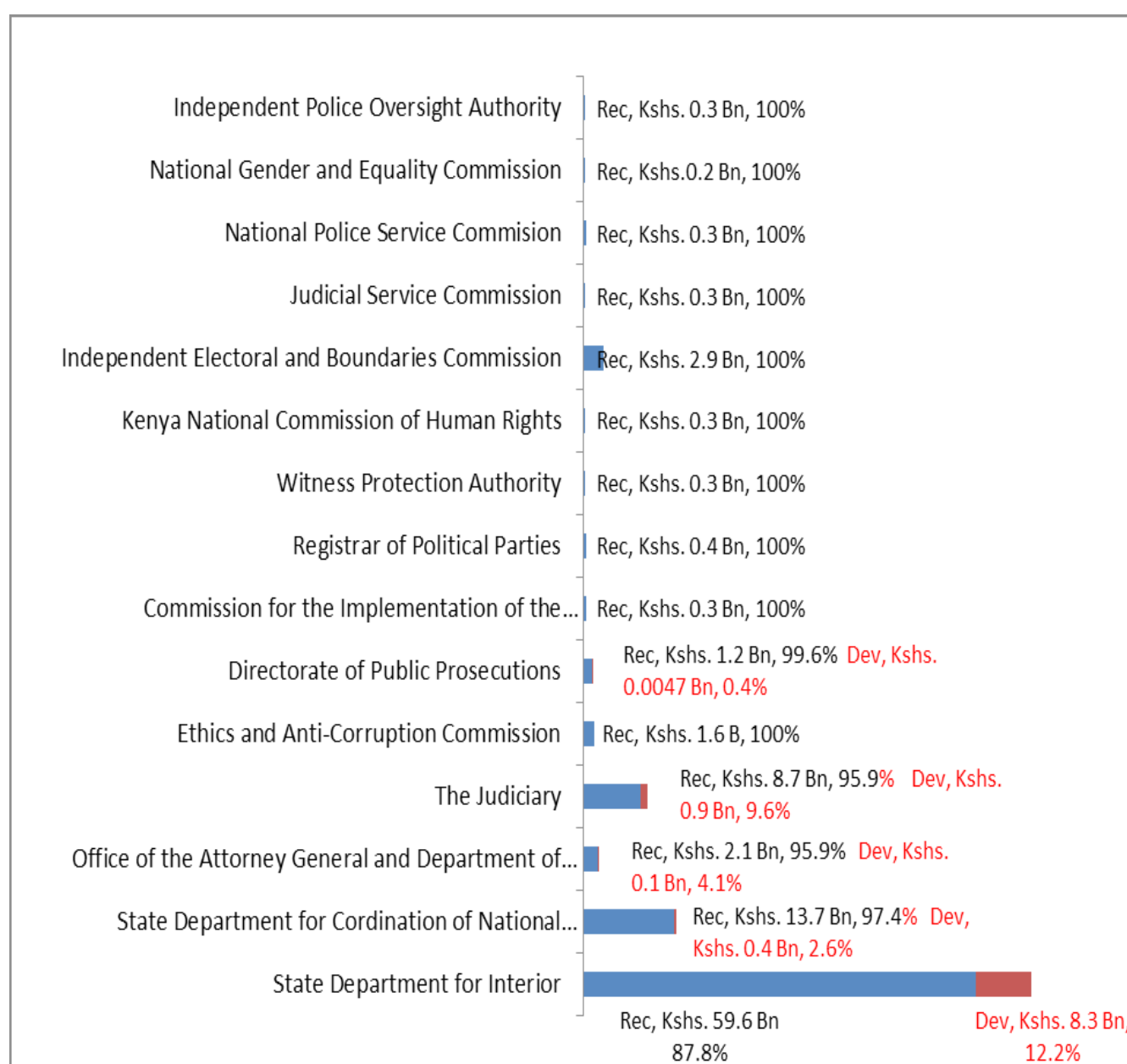
During the period under review, the total exchequer issues to the sector amounted to Kshs. 101.7 billion representing 66.5 per cent of the annual net estimates. The development exchequer issues were Kshs.9.7 billion, representing 48.0 per cent of the development net estimates while recurrent exchequer issues to the sector amounted to Kshs.92.0 billion, representing 69.3 per cent of the recurrent net estimates. The State Department for Interior received the highest proportion of exchequer issues to the development net estimates at 8.3 per cent while the Directorate of Public Prosecutions, Judiciary, Office of the Attorney General, and State Department for Coordination of National Government received less than 1 per cent of exchequer issues to net recurrent estimates.

The Commission for the Implementation of the Constitution received the highest proportion of exchequer issues to the recurrent net estimate at 100 per cent while the Judicial Service Commission received the lowest exchequer issues to net recurrent estimates at 60.0 per cent.

The total expenditure for the sector during the first nine months of FY 2015/16 was Kshs.86.6 billion, representing an absorption rate of 56.2 per cent of the gross estimates. The development expenditure was Kshs.6.3 billion, representing an absorption rate of 30.6 per cent while total recurrent expenditure was Kshs.80.3 billion, representing 60.2 per cent of the annual gross recurrent estimates. The State Department for Interior recorded the highest absorption rate of development expenditure at 35.4 per cent while the Commission for the Implementation of the Constitution, whose term ended in December 2016 recorded the highest proportion of recurrent expenditure to annual estimates at 100.0 per cent.

Figure 5.12 shows the sector's exchequer issues for the period July 2015 to March 2016.

Figure 5.12: Governance, Justice, Law and Order Sector (GJLOS) Exchequer Issues for the period July 2015 to March 2016 (Kshs. Billions)



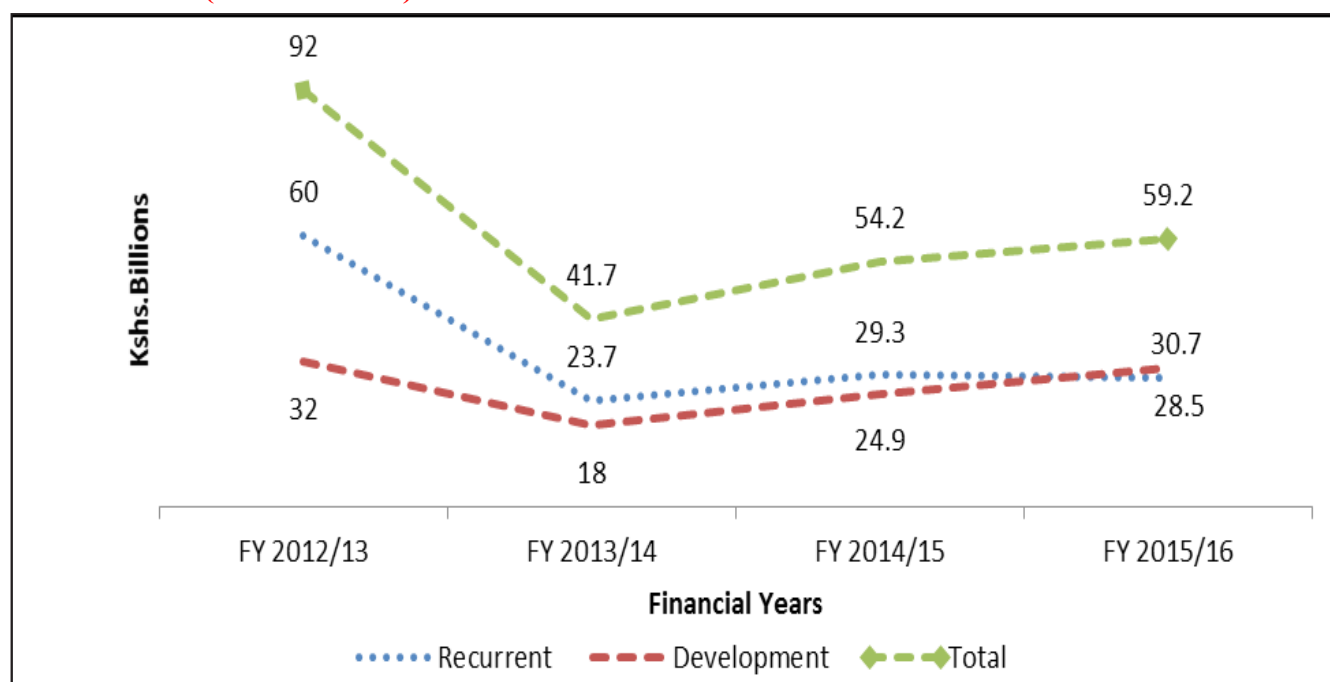
Source: National Treasury & OCOB

5.8 Health Sector

The Health sector has one ministry, namely, Ministry of Health which discharges its function through eight Semi-Autonomous Government Agencies (SAGAs) namely; Kenyatta National Hospital (KNH), Moi Teaching and Referral Hospital, Kenya Medical Research Institute (KEMRI), Kenya Medical Supplies Agency (KEMSA), Kenya Medical Training College (KEMTC), National Health Insurance Fund (NHIF), National AIDS Control Council (NACC) and HIV & AIDS Equity Tribunal. The SAGAs are specialized in health service delivery; medical research and training; procurement and distribution of drugs; and financing through health insurance. The mandate of the sector is to promote and participate in the provision of integrated and high quality curative, preventive and rehabilitative services that are equitable, responsive and accessible to all Kenyans.

Figure 5.13 shows budgetary allocation trend for the Health Sector for the period FY 2012/13 to FY 2015/16

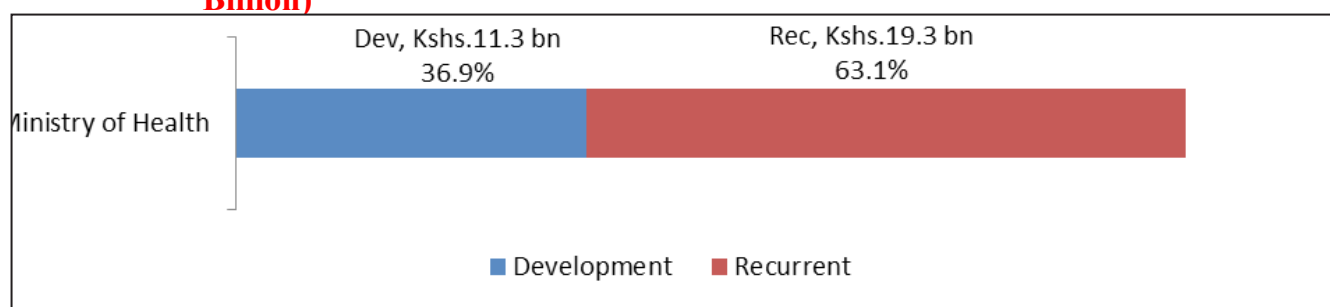
Figure 5.13: Budgetary Allocation Trend for the Health Sector for FY 2012/13 to FY 2015/16 (Kshs. Billion)



Source: National Treasury

The annual budgetary allocation to the sector in the FY 2015/16 was Kshs.59.2 billion representing 2.7 per cent of the total national budget, which is an increase compared to Kshs.54.2 billion allocated in FY 2014/15. The FY 2015/16 allocation comprised of Kshs.30.7 billion (51.8 per cent) for development expenditure and Kshs.28.5 billion (48.2 per cent) for recurrent expenditure. Figure 5.14 shows the health sector exchequer issues for the period July 2015 to March 2016.

Figure 5.14: Health Sector Exchequer Issues for the period July 2015 to March 2016 (Kshs. Billion)



Source: National Treasury

Table 5.7 presents the analysis of exchequer issues and expenditure for the period under review for the health sector

Table 5.7: Health Sector - Analysis of Exchequer Issues and Expenditure for the Period July 2015 to March 2016 (Kshs. Billions)

Development							Recurrent					
VOTE	Gross Est.	Net Est.	Excheq. Issues	Exp.	% Exch. Issues to Net Est.	% Exp to G. Est.	Gross Est.	Net Est.	Excheq. Issues	Exp.	% Exch. Issues to Net Est.	% Exp to G. Est.
Ministry of Health	30.7	19.6	11.3	8.2	57.7	26.8	28.5	24.5	19.3	17.9	78.7	62.7
Total	30.7	19.6	11.3	8.2	57.7	26.8	28.5	24.5	19.3	17.9	78.7	62.7
Total for the Sector							Gross Est.	Net Est.	Excheq. Issues	Exp.	% Exch. Issues to Net Est.	% Exp. to G. Est.
Development							30.7	19.6	11.3	8.2	57.7	26.8
Recurrent							28.5	24.5	19.3	17.9	78.7	62.7
Total							59.2	44.2	30.6	26.1	69.2	44.1

Source: MDAs and National Treasury

In the period under review, the sector received exchequer issues amounting to Kshs.30.6 billion or 69.2 per cent of its annual net estimate. This comprised of development exchequer issues amounting to Kshs.11.3 billion representing 57.7 per cent of the annual net development estimates and recurrent exchequer issues of Kshs.24.5 billion representing 78.7 per cent of the annual net recurrent estimates.

The total expenditure for the sector in the period under review was Kshs.26.1 billion representing

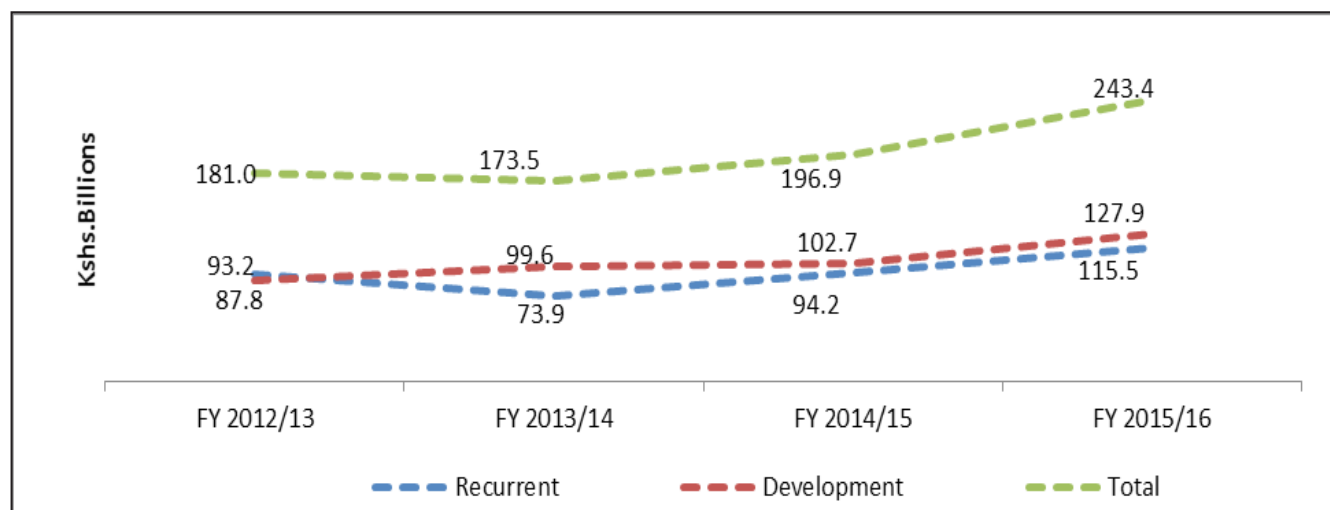
an absorption rate of 44.1 per cent. Development expenditure was Kshs.8.2 billion representing an absorption rate of 26.8 per while recurrent expenditure was Kshs. 17.9 billion, representing 62.7 per cent of the annual recurrent estimates.

5.9 The Public Administration and International Relations (PAIR) Sector

The Public Administration and International Relations (PAIR) sector comprises of the following Ministries/Departments; The Presidency, Ministry of Devolution and Planning, Ministry of Foreign Affairs and International Trade, The National Treasury, Parliamentary Service Commission, Commission on Revenue Allocation, Public Service Commission, Salaries and Remuneration Commission, Auditor General, Controller of Budget and the Commission on Administrative Justice. The sector plays a significant role in national policy formulation and implementation, and monitoring and evaluation of government projects. In addition, it links all other sectors with the rest of the world on matters of international treaties, agreements, co-operation and resource mobilization.

Figure 5.15 presents the budgetary allocation trend for the PAIR Sector for the period FY 2012/13 to FY 2015/16

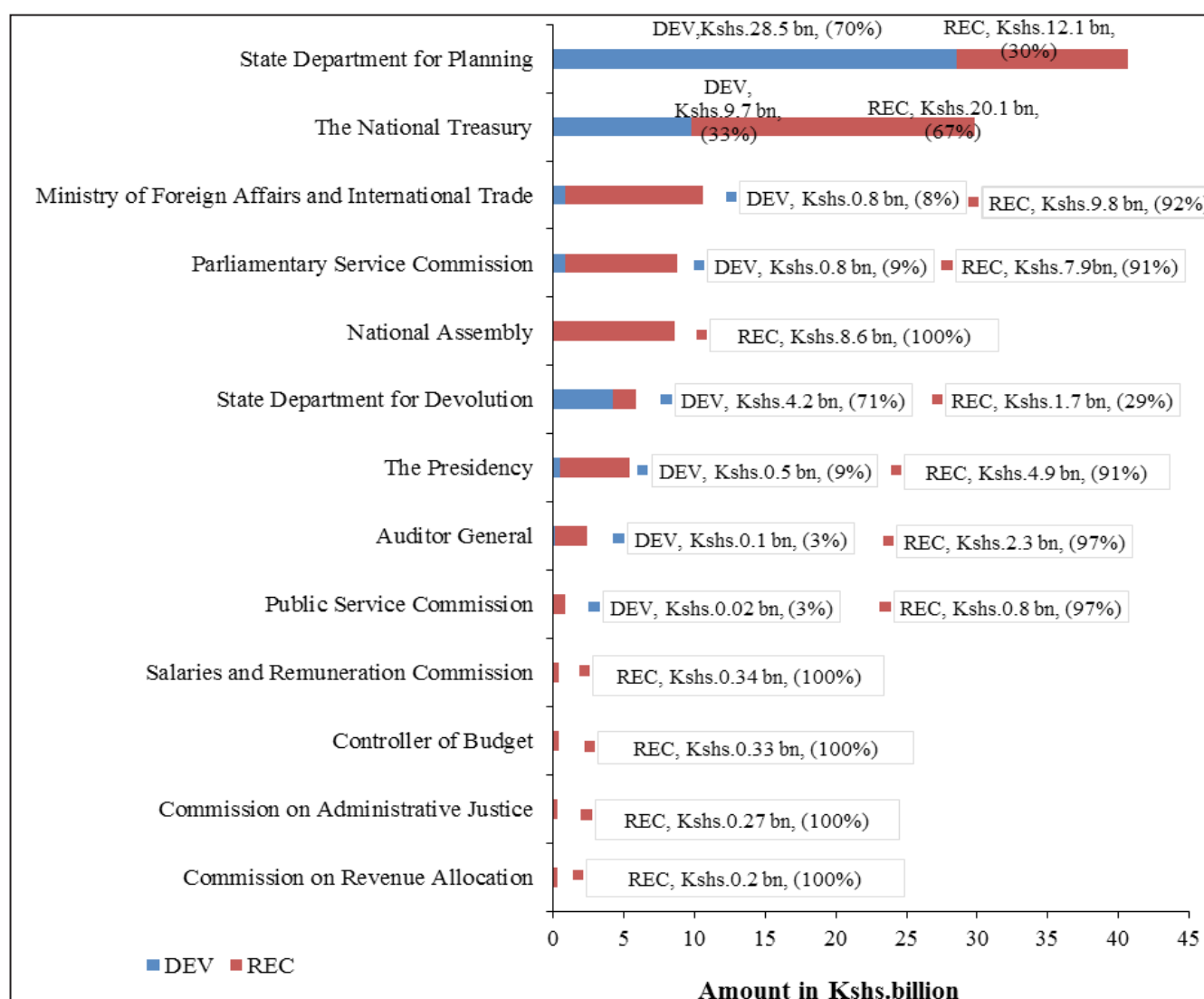
Figure 5.15: Trend in Budgetary Allocation for the PAIR Sector for the period FY 2012/13 to FY 2015/16 (Kshs. Billions)



Source: National Treasury

The annual budgetary allocation for the sector in FY 2015/16 was Kshs.243.4 billion and represents 10.9 per cent of national total budget, an increase from Kshs.196.9 billion allocated in FY 2014/15. This amount consists of development expenditure of Kshs.127.9 billion which represented 52.5 per cent while recurrent expenditure is Kshs.115.5 billion, or 47.5 per cent of the sectors budget. Figure 5.17 shows the PAIR sector exchequer issues for the period July 2015 to March 2016.

Figure 5.16: The PAIR Sector Exchequer Issues – July 2015 to March 2016 (Kshs. Billions)



Source: National Treasury

The State Department for Planning had the highest allocation for development expenditure at Kshs.61.7 billion while the Public Service Commission had the lowest allocation of Kshs.0.2 billion. On recurrent expenditure allocations, the National Treasury had the highest allocation at Kshs.43.2 billion while the Commission on Revenue Allocation (CRA) had the lowest allocation at Kshs.0.3 billion.

The State Department for Devolution received the highest proportion of development exchequer issues to the annual development net estimates at 78.3 per cent while the Public Service Commission had the lowest proportion at 1.0 per cent. The Parliamentary Service Commission had the highest proportion of Exchequer issues to recurrent net estimates at 88.8 per cent, while the Salaries and Remuneration Commission had the lowest proportion at 47.5 per cent.

Table 5.8 shows the analysis of exchequer issues and expenditure for the PAIR sector for the period July 2015 to March 2016.

Table 5.8: PAIR Sector - Analysis of Exchequer Issues and Expenditure for the Period July 2015 to March 2016 (Kshs. Billions)

Development							Recurrent					
Name of the Sub Sector	Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.	Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.
The Presidency	1.8	1.8	0.5	0.5	27.8	27.8	6.0	5.9	4.9	4.5	83.1	75.0
State Department for Planning	61.7	60.2	28.5	33.8	47.4	54.8	19.8	19.6	12.1	11.6	61.8	58.6
State Department for Devolution	9.4	5.3	4.2	3.6	79.2	38.3	2.3	2.3	1.7	1.5	73.9	65.2
Ministry of Foreign Affairs and International Trade	1.4	1.3	0.8	0.1	61.5	7.1	13.1	12.1	9.8	4.0	80.9	30.6
The National Treasury	49.8	33.6	9.7	10.6	29.0	21.4	43.2	43.2	20.1	21.1	46.4	48.8
Parliamentary Service Commission	3.2	3.2	0.8	1.3	25.0	40.6	8.9	8.9	7.9	5.4	88.8	60.7
National Assembly							15.2	15.2	8.6	9.0	56.6	59.2
Commission on Revenue Allocation	-	-	-	-			0.3	0.3	0.2	0.2	66.7	66.7
Public Service Commission	0.2	0.2	0.021	0.05	10.5	25.0	1.1	1.1	0.8	0.8	72.7	72.7
Salaries and Remuneration Commission	-	-	-	-			0.7	0.7	0.34	0.4	48.6	57.1
Auditor General	0.4	0.4	0.1	0.02	25.0	5.0	3.7	3.6	2.3	1.7	62.8	45.9
Controller of Budget	-	-	-	-			0.6	0.6	0.33	0.3	55.0	50.0
Commission on Administrative Justice	-	-	-	-			0.5	0.5	0.27	0.3	54.0	60.0
Total	127.9	106.1	44.6	50.1	42.1	39.2	115.5	114.1	69.3	60.7	60.7	52.6
Total for the Sector							Gross Est.	Net Est.	Exch. Issues	Exp.	% of Exch. to Net Est.	% of Exp. to G. Est.
Development							127.9	106.1	44.6	50.1	42.1	39.2
Recurrent							115.5	114.1	69.3	60.7	60.7	52.6
Total							243.4	220.1	113.9	110.8	51.7	45.5

Source: MDAs and National Treasury

In the period under review, the exchequer issues to the sector amounted to Kshs.113.9 billion which represented 51.7 per cent of the sector's annual net estimates. The development exchequer issues were Kshs.44.6 billion, equivalent to 42.1 per cent of the annual net development estimates while the recurrent exchequer issues were Kshs.69.3 billion representing 60.7 per cent of the annual net recurrent estimates.

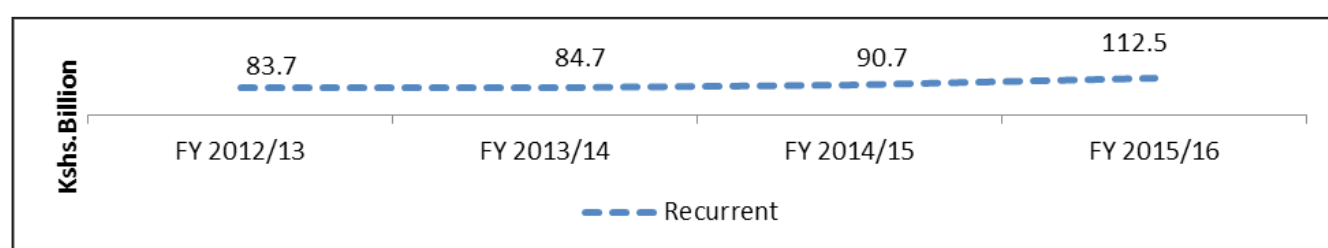
The total expenditure for the sector in the period under review was at Kshs.110.8 billion representing an absorption rate of 45.5 per cent. The development expenditure was Kshs.50.1 billion representing an absorption rate of 39.2 per cent while recurrent expenditure was Kshs.60.7 billion representing 52.6 per cent of the annual recurrent budget.

The State Department for Planning had the highest absorption rate of development expenditure at 54.8 per cent while the Office of the Auditor General had the lowest rate of 5.0 per cent. The Presidency recorded the highest recurrent expenditure as a proportion to its gross annual estimates at 75 per cent while the Ministry of Foreign Affairs and International Trade had the lowest proportion at 30.6 per cent.

5.10 National Security Sector

This sector comprises of the Ministry of Defence and the National Intelligence Services (NIS). The mandate of the sector is to safeguard the security of the country against any threats emanating both from within and outside the borders, defend the country and provide support to civil power in maintaining peace and order. Figure 5.17 shows the budgetary allocation trend for the National Security sector for the period FY 2012/13 – FY 2015/16.

Figure 5.17: Budgetary Allocation Trend of the National Security Sector from FY 2012/13 to FY 2015/16 (Kshs. Billion)



Source: National Treasury

The annual budgetary allocation for the sector in the FY 2015/16 was Kshs.112.5 billion representing 5 per cent of the total national budget an increase compared to 90.7 billion allocated in FY 2014/15. The allocation comprised of Kshs.92.3 billion (82.1 per cent) to the Ministry of Defence and Kshs.20.1 billion (17.9 per cent) to the National Intelligence Services (NIS).

Table 5.9 shows the analysis of exchequer issues and expenditure for the National Security sector for the period July 2015 to March 2016.

Table 5.9: National Security Sector - Analysis of Exchequer Issues and Expenditure for the Period July 2015 to March 2016 (Kshs. Billions)

Recurrent Budget						
VOTE	Gross Est.	Net Estimates	Exchequer Issues	Exp.	% Exch. Issues to Net Est.	% Exp to Gross Est
Ministry of Defence	92.3	92.3	61.0	64.4	66.0	69.7
National Intelligence Services	20.1	20.1	14.7	14.7	72.9	73.1
Total	112.5	112.5	75.7	79.1	67.3	70.4

Source: MDAs and National Treasury

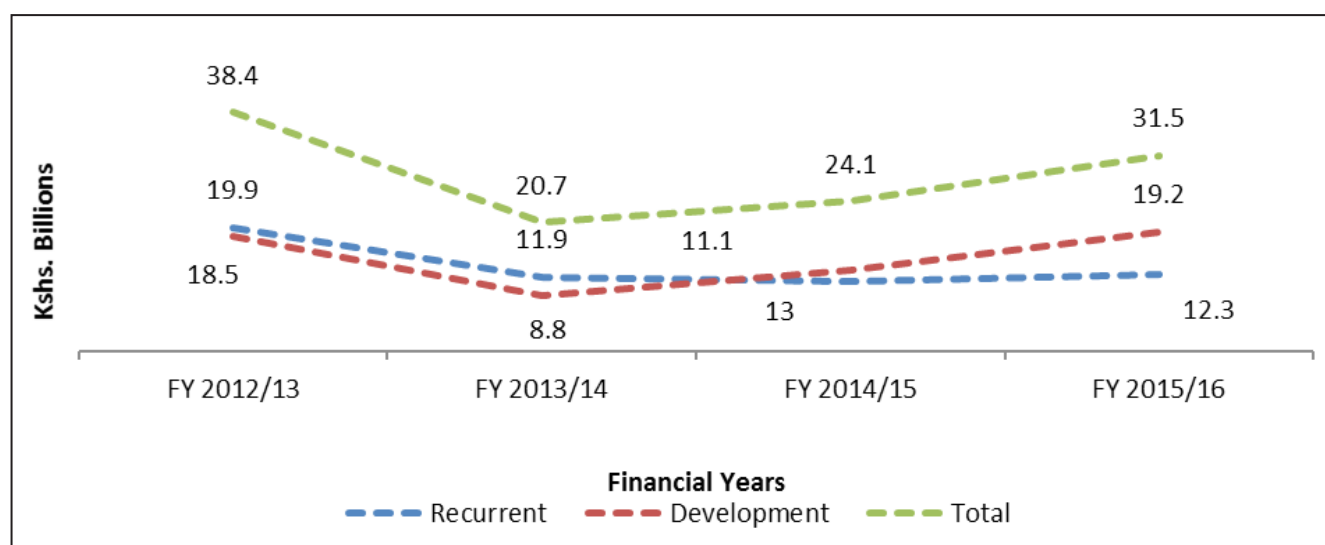
In the first nine months of FY 2015/16, the total exchequer issues to the sector amounted to Kshs.75.7 billion, translating to 67.3 per cent of the annual net estimates. The recurrent exchequer issues to the Ministry of Defence amounted to Kshs.61.0 million representing 66.0 per cent of the recurrent net estimates. The National Intelligence Services (NIS) received Kshs.14.7 billion during the reporting period which translated to 72.9 per cent of the net estimates.

The cumulative expenditure for the sector during the reporting period was Kshs79.1 billion translating to an absorption rate of 70.4 per cent of the net annual budget. The expenditure for the Ministry of Defence was Kshs.64.4 billion translating to 69.7 per cent of the annual net estimates and that for the NIS was Kshs.14.7 billion representing 70.4 per cent of the annual net estimates.

5.11 Social Protection, Culture and Recreation Sector

This sector comprises of the Ministry of Sports, Culture and Arts, and the Ministry of Labour Social Security and Services. The sector contributes to Kenya's development through promotion of harmonious industrial relations, safety and health at workplaces, employment promotion, industrial training, productivity management, national human resource planning and development, social security and children welfare and social development. Figure 5.18 shows the budgetary allocation trend for the Social Protection, Culture and Recreation sector for the period FY 2012/13 – FY 2015/16.

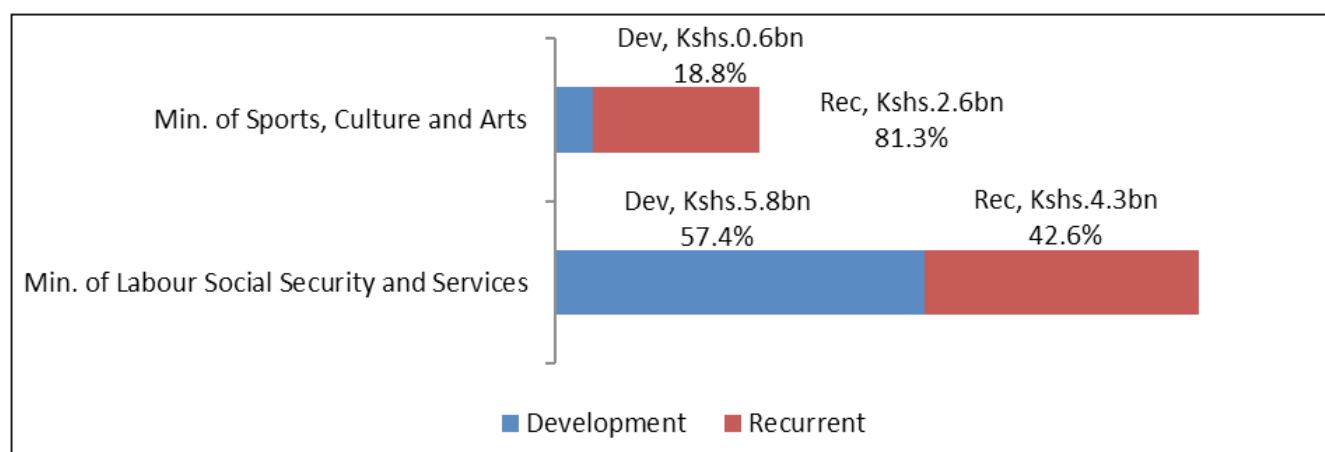
Figure 5.18: Budgetary Allocation Trend for the Social Protection, Culture and Recreation Sector from FY 2012/13 to FY 2015/16 (Kshs. Billion)



Source: National Treasury

The annual budgetary allocation for the sector in the FY 2015/16 was Kshs.31.5 billion representing 1.4 per cent of the gross national budget, an increase compared to Kshs.24.1 billion allocated in FY 2014/15 . The allocation comprised of Kshs.19.2 billion (61.0 per cent) for development expenditure and Kshs.12.3 billion (39.0 per cent) for recurrent expenditure. Figure 5.19 shows the exchequer issues for the period July 2015 to March 2016.

Figure 5.19: Social Protection, Culture and Recreation Sector Exchequer Issues for the period July 2015 to March 2016 (Kshs. Billions)



Source: National Treasury

The Ministry of Labour Social Security and Services received the highest proportion of development exchequer issues to annual net development estimates at 37.4 per cent while the Ministry of Sports, Culture and Arts received 16.3 per cent of development exchequer issues to annual net development estimates. On the other hand, the Ministry of Sports, Culture and Arts received the highest proportion of recurrent exchequer issues to recurrent net estimates at 90.2

per cent followed by the Ministry of Labour Social Security and Services at 47.2 per cent. Table 5.10 shows the analysis of exchequer issues and expenditure for the Social Protection, Culture and Recreation sector for the period July 2015 to March 2016

Table 5.10: Social Protection, Culture and Recreation Sector - Analysis of Exchequer Issues and Expenditure for the Period July 2015 to March 2016 (Kshs. Billions)

Development							Recurrent						
VOTE	Gross Est.	Net Estimates	Exchequer Issues	Exp.	% Exch. Issues to Net Est.	% Exp to G. Est	Gross Est.	Net Est.	Exchequer Issues	Exp.	% Exch. Issues to Net Est.	% Exp to G. Est.	
Min. of Sports, Culture and Arts	3.6	3.6	0.6	1.1	16.7	30.6	2.9	2.9	2.6	2.4	89.7	82.8	
Min. of Labour Social Security and Services	15.6	15.6	5.8	6.8	37.4	43.6	9.3	9.2	4.3	4.5	46.7	48.3	
Total	19.2	19.1	6.4	7.8	33.5	40.7	12.3	12.1	7.0	6.9	57.6	55.9	
Total for the Sector							Gross Est.	Net Est.	Exch. Issues	Exp.	% Exch. Issues to Net Est.	% Exp. to G. Est.	
Development							19.2	19.1	6.4	7.8	33.5	40.7	
Recurrent							12.3	12.1	7.0	6.9	57.9	55.9	
Total							31.5	31.2	13.4	14.7	42.8	46.6	

Source: MDAs and National Treasury

In the period under review, the sector received Kshs.13.4 billion in exchequer issues. This comprised of Kshs.6.4 billion for development expenditure, which represented 33.5 per cent of the annual net development estimates, and Kshs.7.0 billion for recurrent expenditure that represented 57.9 per cent of the annual net recurrent estimates.

The total expenditure for the sector in the period under review was Kshs.14.7 billion, representing an absorption rate of 46.6 per cent. This consisted of Kshs.7.8 billion for development activities with an absorption rate of 40.7 per cent and Kshs.6.9 billion for recurrent activities representing 55.9 per cent of the annual net recurrent estimates.

The Ministry of Labour Social Security and Services recorded the highest absorption rate of its annual development budget at 43.6 per cent and the Ministry of Sports, Culture and Arts recorded a rate of 30.6 per cent. On recurrent activities, the Ministry of Sports, Culture and Arts recorded the highest percentage of expenditure to its annual recurrent budget at 82.8 per cent while the Ministry of Labour Social Security and Services recorded 48.3 per cent.

6 BUDGET PERFORMANCE BY PROGRAMMES FOR THE FIRST NINE MONTHS OF FY 2015/16

6.1 Introduction

This chapter presents analysis of the MDAs' budget performance based on programmes to be implemented in FY 2015/16. The chapter also provides information on how funds were allocated to the various programmes within the ministries/departments for both recurrent and development expenditure. It also provides the implementation status of the programmes under each MDA. The sectors are presented in an alphabetical order.

6.2 Agricultural, Rural and Urban Development (AR&UD) Sector

Table 6.1 presents the performance of the AR & UD sector's programmes for the period under review.

Table 6.1: AR & UD Sector's Programme Performance for July 2015 to March 2016 (Kshs. Billions)

VOTE	Programme	Dev. Est. FY 2015/16	Rec. Est FY 2015/16	Total Gross Est. FY 2015/16	Dev. Exp Third Quarter FY 2015/16	Rec. Exp Third Quarter FY 2015/16	Total Exp Third Quarter FY 2015/16	Programme Absorption Rate (%)
Ministry of Land Housing and Urban development	Land Policy and Planning	4.6	2.1	6.8	3.2	1.5	4.77	70.1
	Housing Development and Human Settlement	7.2	0.5	7.6	4.0	0.31	4.3	56.0
	Government Buildings	1.3	0.3	1.5	0.7	0.22	0.9	57.5
	Coastline Infrastructure and Pedestrian Access	0.4	0.05	0.45	0.14	0.04	0.18	40.0
	Urban and Metropolitan Development	14.0	0.3	14.3	5.0	0.16	5.2	36.1
	General Administration Planning and Support Services	0.5	0.5	1.1	0.12	0.27	0.4	39.0
State Department for Agriculture	General Administration Planning and Support Services	0.5	1.1	1.6	0.17	0.87	0.9	54.4
	Crop Development and Management	6.6	6.2	12.8	1.2	3.7	4.81	38.3
	Agribusiness and Information Management	3.4	0.2	3.6	4.8	0.11	4.9	136.4
	Irrigation and Drainage Infrastructure	15.7	0.8	16.5	4.9	0.17	5.1	30.7

VOTE	Programme	Dev. Est. FY 2015/16	Rec. Est FY 2015/16	Total Gross Est. FY 2015/16	Dev. Exp Third Quarter FY 2015/16	Rec. Exp Third Quarter FY 2015/16	Total Exp Third Quarter FY 2015/16	Programme Absorption Rate (%)
State Department for Livestock	Livestock Resources Management and Development	5.2	1.9	7.1	0.9	0.9	1.9	25.4
State Department for Fisheries	Fisheries Development and Management	3.1	1.4	4.5	1.2	0.84	2.1	45.3
National Land commission	Land Administration and Management	0.4	1.1	1.5	0.16	0.83	1.0	66.0
Total		63.0	16.7	79.7	26.6	9.8	36.4	45.6

Source: MDAs and National Treasury

In the FY 2015/16, the AR&UD sector was allocated Kshs.79.7 billion comprised of Kshs.63.0 billion (79.1 per cent) for development activities and Kshs.16.7 billion (20.9 per cent) for recurrent expenditure to fund 14 programmes.

The Irrigation and Drainage Infrastructure programme under the State Department for Agriculture received the highest budgetary allocation at Kshs.16.5 billion, which accounted for 20.8 per cent of the total budgetary allocation to the sector while the Coastline, Infrastructure and Pedestrian Access under the Ministry of Land Housing and Urban Development received the lowest allocation at Kshs.0.45 billion, which accounted for 0.006 per cent of the total budgetary allocation for the sector.

The total expenditure for the sector's programmes in the first nine months of FY 2015/16 amounted to Kshs.36.4 billion representing 45.6 per cent of the gross estimates. It comprised of Kshs.9.8 billion as recurrent expenditure, which accounted for 58.7 per cent of the annual budget estimates for recurrent programmes. Development expenditure was Kshs.26.6 billion, representing an absorption rate of 42.2 per cent of annual estimates for the development programmes.

Analysis of the performance of programmes shows that the Agribusiness and Information Management programme under the State Department for Agriculture registered the highest proportion of programme expenditure to its annual budget estimates at 136.4 per cent while the Livestock Resources Management and Development programme under the State Department for Livestock registered the lowest proportion of its programme expenditure to the annual budget estimates at 25.4 per cent.

6.3 Education Sector

Analysis of the Education sector's programmes for the period under review is presented in table 6.2.

Table 6.2: Education Sector's Programme Performance for July 2015 to March 2016 (Kshs. Billions)

VOTE	Programme	Dev. Est. FY 2015/16	Rec. Est FY 2015/16	Total Gross Est. FY 2015/16	Dev. Exp Third Quarter FY 2015/16	Rec. Exp Third Quarter FY 2015/16	Total Exp Third Quarter FY 2015/16	Programme Absorption Rate (%)
State Department for Education	Primary Education	18.9	16.9	35.8	0.34	12.8	13.1	36.7
	Secondary Education	1.3	33.5	34.8	0.35	27.3	27.3	78.6
	Quality Assurance and Standards	0.9	4.8	5.7	0.5	1.4	2.0	33.3
	General Administration, Planning and Support Services	1.3	4.0	5.4	0.31	1.6	1.9	36.0
State Department for Science and Technology	University Education	8.0	54.5	62.5	2.4	29.4	31.8	51.0
	Technical Vocational Education and Training	5.6	2.5	8.1	2.1	1.0	3.2	38.3
	Research, Science, Technology and Innovation	0.4	1.0	1.4	0.2	0.6	0.8	57.1
	General Administration, Planning and Support Services		1.4	1.4		0.5	0.5	35.7
Teachers Service Commission	Teacher Resource Management		174.3	174.3		130.9	130.9	75.1
	Governance and Standards		0.2	0.2		0.1	0.1	50.0
	General Administration, Planning and Support Services	0.2	6.7	6.9		3.9	3.9	56.7
Total		36.7	299.6	336.3	6.3	209.3	215.6	64.1

Source: MDAs and National Treasury

The Education sector was allocated Kshs.336.3 billion comprising of Kshs.36.7 billion (10.9 per cent) for development programmes and Kshs.299.6 billion (89.1 per cent) for recurrent programmes in FY 2015/16 to fund 12 programmes

The Teacher Resource Management programme under the Teachers Service Commission received the highest budgetary allocation at Kshs.174.3 billion (51.9 per cent of the total budget allocation for the sector) while the Governance and Standards Programme received the lowest allocation at

Kshs.0.2 Billion (0.0006 per cent of the total budget allocation for the sector).

The total expenditure for the sector's programmes during the reporting period amounted to Kshs.215.6 billion representing an absorption rate of 64.1 per cent. This expenditure comprised of Kshs.209.3 billion in recurrent expenditure, which represented 69.9 per cent of the annual budget estimates for recurrent programmes while development expenditure amounted to Kshs.6.3 billion, accounting for an absorption rate of 17.2 per cent of annual budget estimates for the development programmes.

Analysis of the performance of programmes shows that the Secondary Education programme and Quality Assurance and Standards both under the State Department for Education recorded the highest and the lowest proportions of programme expenditure to annual budget estimates at 78.6 per cent and 33.3 per cent respectively.

6.4 The Energy, Infrastructure and Information Communications Technology (EI & ICT) Sector

The analysis of the Energy, Infrastructure and Information Communications Technology sector's programme performance for the period under review is presented in table 6.3.

Table 6.3: EI & ICT Sector's Programme Performance for July to March 2016 (Kshs. Billions)

VOTE	Programme	Dev. Est. FY 2015/16	Rec. Est FY 2015/16	Total Gross Est. FY 2015/16	Dev. Exp Third Quarter FY 2015/16	Rec. Exp Third Quarter FY 2015/16	Total Exp Third Quarter FY 2015/16	Programme Absorption Rate (%)
State Department of Transport	General Administration, Planning and Support Services	0.4	0.3	0.7	0.09	0.12	0.2	30.0
	Rail Transport	147.0	-	147.0	56.6	0.0	56.6	38.5
	Marine Transport	8.2	0.6	8.8	0.7	0.4	1.1	12.3
	Air Transport	2.6	4.4	7.0	1.3	0.1	1.4	19.9
	Government Clearing Services	0.1	-	0.1	0.00	0.02	0.02	20.0
	Road Safety	0.3	0.5	0.8	0.2	0.3	0.5	62.5
State Department of Infrastructure	Road Transport	104.0	30.0	134.0	38.5	0.7	39.2	29.3

Ministry of Information, Communication and Technology	General Administration Planning and Support Services	0.6	1.0	1.6	0.12	0.4	0.52	32.5
	Information And Communication Services	1.7	1.8	3.5	0.37	1.0	1.37	39.1
	Mass Media Skills Development	0.1	0.2	0.4	0.07	0.15	0.22	73.3
	ICT Infrastructure Development	6.5	0.1	6.6	2.6	0.07	2.7	40.5
Ministry of Energy and Petroleum	General Administration Planning and Support Services	0.3	0.3	0.6	0.06	0.19	0.24	41.7
	Power Generation	27.3	0.7	28.1	7.6	0.5	8.1	28.9
	Power Transmission & Distribution	62.0	0.8	62.9	14.7	0.6	15.3	24.3
	Alternative Energy Technologies	0.1	0.8	0.9	0.3	0.02	0.32	35.6
	Exploration and Distribution of Oil and Gas	2.0	0.0	2.0	0.42	0.00	0.4	21.4
Total		363.8	40.8	404.7	126.4	4.6	131.0	32.4

Source: MDAs and National Treasury

In FY 2015/16, the EI & ICT sector was allocated Kshs.404.7 billion to implement 16 programmes. The allocation comprised of Kshs.363.8 billion (89.9 per cent) for development expenditure and Kshs.40.8 billion (10.1 per cent) as allocation to recurrent expenditure.

The Rail Transport programme had the highest allocation of Kshs.147.0 billion (36.3 per cent of the total budget allocation to the sector) while the Government Clearing Services programmes, had the lowest allocation at Kshs.0.1 billion (0.002 per cent of the total budget allocation to the sector).

The total expenditure for the sector's programmes in the first nine months of FY 2015/16 amounted to Kshs.131.0 billion, representing 32.4 per cent of the gross estimates. It comprised of Kshs.4.6 billion in recurrent expenditure which accounted for 11.3 per cent of the annual budget estimates for recurrent programmes while development expenditure amounted to Kshs.126.4 billion representing an absorption rate of 34.7 per cent of the annual budget estimates for the development programmes.

Analysis of the sector's programme performance shows that Mass Media Skills Development Programme under the Ministry of Information, Communication and Technology registered the highest proportion of programme expenditure to its annual budget estimates at 73.3 per cent while the Marine Transport programme under the State Department of Transport had the lowest rate of 12.3 per cent.

6.5 Environment Protection, Water and Natural Resources Sector

The analysis of the Environment Protection, Water and Natural Resources sector's programme performance for the period under review is presented in table 6.4.

Table 6.4: Environmental Protection, Water and Natural Resources Sector's Programme Performance for July 2015 to March 2016 (Kshs. Billions)

VOTE	Programme	Dev. Est. FY 2015/16	Rec. Est FY 2015/16	Total Gross Est. FY 2015/16	Dev. Exp Third Quarter FY 2015/16	Rec. Exp Third Quarter FY 2015/16	Total Exp Third Quarter FY 2015/16	Programme Absorption Rate (%)
State Department for Environment and Natural Resources	General Administration, Planning and Support Services	0.0	0.6	0.6	0.0	0.4	0.4	66.7
	Environment and Natural Resources Management and protection	7.2	11.1	18.4	1.0	3.4	4.4	24.0
	Meteorological Services	1.0	1.1	2.1	0.3	0.7	1.0	47.6
State Department for Water and Regional Services	General Administration , Planning and Support Services	0.2	0.7	0.9	0.08	0.37	0.45	50.0
	Water Resources Management	34.9	3.0	37.9	5.8	0.6	6.4	16.9
	Integrated Regional Development	3.4	0.6	4.0	0.7	0.3	1.0	25.0
Ministry of Mining	General Administration Planning and Support Services	0.1	0.3	0.4	0.03	0.14	0.17	42.5
	Resources Surveys and Remote Sensing	0.7	0.2	0.9	0.02	0.07	0.1	10.0
	Mineral Resources Management	0.7	0.2	0.9	0.12	0.08	0.2	22.2
Total		45.2	17.8	63.0	8.1	6.1	14.2	22.5

Source: The National Treasury and MDAs

In the FY 2015/16, the budgetary allocation to the sector was Kshs.63.0 billion for implementing 10 programmes. This comprised of Kshs.45.2 billion (71.8 per cent) for development programmes and Kshs.17.8 billion (28.2 per cent) for recurrent expenditure.

The Water Resources Management programme under the State Department for Water and Regional Services received the highest budgetary allocation at Kshs.37.9 billion (60.2 per cent of the total budget allocation for the sector) while the General Administration, Planning and Support Services programme under the Ministry of Mining received the lowest at Kshs.0.4billion (0.006 per cent of the total budget allocation for the sector).

The total expenditure for the sector's programmes in the period July 2015 to March 2016 amounted to Kshs.14.2 billion representing an absorption rate of 22.5 per cent. This expenditure comprised of Kshs.6.1 billion as recurrent expenditure, which accounted for 34.3 per cent of the

annual budget estimates for recurrent programmes while development expenditure was Kshs.8.1 billion, accounting for an absorption rate of 17.9 per cent of annual budget estimates for the development programmes.

The General Administration Planning and Support Services programme under the State Department for Environment and Natural Resources registered the highest proportion of programme expenditure to its annual budget estimates at 66.7 per cent while the Resources Surveys and Remote Sensing programme under the Ministry of Mining registered the lowest at 10.0 per cent.

6.6 General Economic and Commercial Affairs (GECA) Sector

Analysis of the General Economic and Commercial Affairs sector's programme performance for the period under review is presented in table 6.5.

Table 6.5: GECA Sector's Programme Performance for July 2015 to March 2016 (Kshs. Billions)

VOTE	Programme	Dev. Est. FY 2015/16	Rec. Est FY 2015/16	Total Gross Est. FY 2015/16	Dev. Exp Third Quarter FY 2015/16	Rec. Exp Third Quarter FY 2015/16	Total Exp Third Quarter FY 2015/16	Programme Absorption Rate (%)
Ministry of Industrialization and Enterprise Development	General Administration Planning and Support Services	0.01	0.3	0.3	0.004	0.3	0.3	98.1
	Industrial Development and Investments	3.9	0.8	4.7	2.86	0.37	3.2	68.7
	Standards and Business Incubation	1.1	2.1	3.3	1.45	0.8	2.3	70.5
	Cooperative Development and Management	0.8	0.2	1.0	0.02	0.1	0.1	10.0
State Department for East African Affairs	East African Affairs and Regional Integration	0.1	1.7	1.8	0.0	1.3	1.3	70.4
State Department for Commerce and Tourism	Tourism Development and Promotion	7.3	1.3	8.6	3.04	0.9	3.9	45.8
	Trade Development and Promotion	0.4	1.0	1.4	0.11	0.7	0.8	57.9
	General Administration, Planning and Support Services	0.1	0.6	0.7	0.037	0.36	0.4	56.7
Total		14.2	7.1	21.3	7.5	4.9	12.4	58.2

Source: MDAs and National Treasury

In the FY 2015/16, the sector was allocated Kshs.21.3 billion to implement 9 programmes. This allocation comprised of Kshs.14.2 billion (66.5 per cent) for development programmes and Kshs.7.1 billion (33.5 per cent) for recurrent programmes. The Tourism Development and Promotion programme under the State Department for Commerce and Tourism received the highest budget allocation at Kshs.8.6 billion (40.4 per cent of the total budget allocation for the sector) while the General Administration, Planning and Support under the Ministry of Industrialization and Enterprise Development received the lowest allocation at Kshs.0.3 billion (0.01 per cent of the total budget allocation for the sector).

The total expenditure for the sector's programmes in the first nine months of FY 2015/16 amounted to Kshs.12.4 billion translating to an absorption rate of 58.2 per cent. This expenditure comprised of Kshs.4.9 billion incurred on recurrent activities representing 68.3 per cent of the total recurrent budget estimates while Kshs.7.4 billion was incurred on development activities, translating to an absorption rate of 53.2 per cent.

The General Administration Planning and Support Services under the Ministry of Industrialization and Enterprise Development recorded the highest proportion of programme expenditure to its annual budget estimates at 98.1 per cent while the Cooperative Development and Management under the Ministry of Industrialization and Enterprise Development registered the lowest proportion of programme expenditure to its annual budget estimates at 10.0 per cent.

6.7 Governance, Justice, Law and Order (GJLOS) Sector

The analysis of Governance, Justice, Law and Order sector's programme performance for the period under review is presented in table 6.6.

Table 6.6: GJLOs Sector's Programme Performance for July 2015 to March 2016 (Kshs. Billions)

VOTE	Programme	Dev. Est. FY 2015/16	Rec. Est FY 2015/16	Total Gross Est. FY 2015/16	Dev. Exp Third Quarter FY 2015/16	Rec. Exp Third Quarter FY 2015/16	Total Exp Third Quarter FY 2015/16	Programme Absorption Rate (%)
State Department for Interior	Policing services	11.9	69.8	81.7	4.1	41.8	45.9	56.1
	Planning, policy Coordination and Support Services	0.6	13.1	13.7	0.01	7.3	7.3	53.1
	Government Printing Services	0.1	0.7	0.8	0.03	0.17	0.21	25.0
	Population Management Services	1.7	4.4	6.1	0.96	2.6	3.5	105.3

VOTE	Programme	Dev. Est. FY 2015/16	Rec. Est FY 2015/16	Total Gross Est. FY 2015/16	Dev. Exp Third Quarter FY 2015/16	Rec. Exp Third Quarter FY 2015/16	Total Exp Third Quarter FY 2015/16	Programme Absorption Rate (%)
State Department for Coordination of National Government	Correctional services	0.5	9.7	10.2	0.14	10.6	10.74	60.8
	General Administration, Planning and Support Services	0.02	0.2	0.2	-	0.07	0.07	31.8
	Betting Control, Licensing and regulation Services	0.002	0.03	0.04	0.0	0.03	0.03	93.8
Office of the Attorney General and Department of Justice	Legal Services	0.04	1.6	1.6	-0.0005	0.7	0.7	42.7
	Governance, Legal Training And Constitutional Affairs	0.2	1.8	2.0	0.08	1.02	1.1	55.0
	General Administration, Planning and Support Services	0.4	0.7	1.1	-	0.4	0.4	36.4
The Judiciary	Dispensation of Justice	4.1	12.6	16.7	0.98	8.3	9.3	55.7
Ethics and Anti-Corruption Commission	Ethics and Anti- Corruption	0.3	2.3	2.6	-	1.5	1.5	57.4
Office of Director of Public Prosecutions	Public Prosecution Services	0.3	2.0	2.2	0.001	0.99	1.0	43.1
Commissions for the Implementation of the Constitution	Implementation of the Constitution	-	0.3	0.3	-	0.3	0.3	100.0
Office of the Registrar of Political Parties	Registration, Regulation and Funding of Political Parties	-	0.5	0.5	-	0.34	0.34	68.0
Witness Protection Authority	Witness Protection	-	0.4	0.4	-	0.24	0.24	60.0
Kenya National Commission of Human Rights	Protection and Promotion of Human Rights	-	0.5	0.5	-	0.25	0.25	50.0
Independent Electoral and Boundaries Commission	Management of Electoral Processes	0.1	4.2	4.3	0.1	2.8	2.9	67.4
Judicial Service Commission	Dispensation of Justice	-	0.5	0.5	-	0.22	0.22	44.0
National Police Service Commission	National Police Service Human Resource Management	-	0.4	0.4	-	0.25	0.25	62.5
National Gender and Equality Commission	Promotion of Gender Equality and Freedom from Discrimination	-	0.3	0.3	-	0.21	0.21	70.0
Independent Police Oversight Authority	Policing Oversight Services	-	0.4	0.4	-	0.19	0.19	47.5
Total		20.6	133.5	154.0	6.3	80.3	86.6	56.2

Source: MDAs and National Treasury

The GJLOS sector was allocated Kshs.154.0 billion in FY 2015/16 to implement 22 programmes. The allocation comprised of Kshs.20.6 billion (13.4 per cent) for development expenditure and Kshs.133.5 billion (86.6 per cent) for recurrent activities

The Policing Services programme under the State Department of Interior received the highest allocation at Kshs.81.7 billion which accounted for 53.1 per cent of the total annual budget for the sector while the Betting Control, Licencing and Regulation Services programme under the State Department for Coordination of National Government received the lowest allocation at Kshs.0.04 billion, translating to 0.0003 per cent.

The total expenditure for the sector programmes in the reporting period amounted to Kshs.86.6 billion, comprising of Kshs.80.3 billion as recurrent expenditure which accounted for 60.2 per cent of the total annual budget for recurrent programmes while development expenditure amounted to Kshs.6.3 billion, accounting for an absorption rate of 30.7 per cent of the total annual budget for development programmes in the sector.

Analysis of the programme of the performance shows that the Population Management Services under the State Department for Interior recorded the highest proportion of programme expenditure to its annual budget estimates at 105.3 per cent while the Government Printing Services programme under the State Department for Interior represented the lowest proportion of the programme expenditure to its annual budget estimates at 25.0 per cent.

6.8 Health Sector

Table 6.7 presents an analysis of the health sector's programme performance for the period July 2015 to March 2016.

Table 6.7: Health Sector's Programme Performance for July 2015 to March 2016 (Kshs. Billions)

VOTE	Programme	Dev. Est. FY 2015/16	Rec. Est FY 2015/16	Total Gross Est. FY 2015/16	Dev. Exp Third Quarter FY 2015/16	Rec. Exp Third Quarter FY 2015/16	Total Exp Third Quarter FY 2015/16	Programme Absorption Rate (%)
Ministry of Health	Preventive & Promotive Health Services	5.9	1.3	7.2	0.7	0.7	1.4	19.4
	Curative Health Services	7.2	16.3	23.5	2.4	10.3	12.7	54.0
	Health Research and Development	0.3	5.2	5.5	0.1	3.4	3.6	64.6
	General Administration, Planning & Support Services	9.5	5.7	15.1	2.36	3.4	5.8	37.8
	Maternal and Child Health	7.9	0.0	8.0	2.7	0.01	2.7	34.3
Total		30.7	28.5	59.2	8.2	17.9	26.1	44.1

Source: MDAs and National Treasury

The sector was allocated Kshs.59.2 billion to fund 5 programmes in FY 2015/16. This allocation comprised of Kshs.30.7 billion (51.9 per cent) for development programmes and Kshs.28.5 billion (48.1 per cent) for recurrent programmes.

The Curative Health Services programme received the highest allocation at Kshs.23.5 billion (39.7 per cent of the total annual allocation for the sector) while the Health Research and Development programme had the lowest allocation at Kshs.5.5 billion (9.2 per cent of the sector's total annual allocation).

The total expenditure for the sector's programmes in the period July 2015 to March 2016 amounted to Kshs.26.1 billion and comprised of Kshs.17.9 billion as recurrent expenditure which accounted for 62.7 per cent of the annual budget estimates for recurrent programmes while development expenditure was Kshs.8.2 billion, accounting for an absorption rate of 26.8 per cent of the annual budget estimates for development programmes.

Analysis of the performance of programmes shows that the Health Research and Development programme registered the highest proportion of programme expenditure to its annual budget estimates at 64.6 per cent while the Preventive and Promotive Health Services registered the lowest proportion of programme expenditure to its annual budget estimates at 19.4 per cent.

6.9 Public Administration and International Relations (PAIR) Sector

Table 6.8 presents the analysis of the Public Administration and International Relations sector's programme performance for the period under review.

Table 6.8: PAIR Sector's Programme Performance for July 2015 to March 2016 (Kshs. Billions)

VOTE	Programme	Dev. Est. FY 2015/16	Rec. Est FY 2015/16	Total Gross Est. FY 2015/16	Dev. Exp Third Quarter FY 2015/16	Rec. Exp Third Quarter FY 2015/16	Total Exp Third Quarter FY 2015/16	Programme Absorption Rate (%)
The Presidency	Cabinet Affairs	1.2	1.3	2.5	0.11	0.8	0.9	36.4
	Government Advisory Services	-	0.5	0.5	0.3	0.3	0.6	120.0
	State House Affairs	0.5	2.5	3.0	0.0	1.9	1.9	63.3
	Deputy President Services	0.2	1.8	2.0	0.05	1.5	1.5	77.5

VOTE	Programme	Dev. Est. FY 2015/16	Rec. Est FY 2015/16	Total Gross Est. FY 2015/16	Dev. Exp Third Quarter FY 2015/16	Rec. Exp Third Quarter FY 2015/16	Total Exp Third Quarter FY 2015/16	Programme Absorption Rate (%)
State Department for Planning	Economic Policy and National Planning	39.6	1.1	40.7	26.4	0.7	27.2	66.8
	National Statistical Information Services	1.5	1.8	3.3	0.6	1.8	2.3	72.7
	Monitoring and Evaluation Services	0.2	0.0	0.2	0.06	0.03	0.09	45.0
	General Administration Planning and Support Services	0.1	0.7	0.8	0.06	0.39	0.4	48.8
	Public Service Transformation	0.6	7.7	8.3	0.4	6.8	7.1	86.1
	Gender & Youth Empowerment	19.8	8.4	28.2	6.3	2.0	8.4	29.6
State Department for Devolution	Devolution Services	-	0.9	0.9	0.11	0.8	0.9	101.2
	Special Initiatives	3.1	0.6	3.7	2.13	0.29	2.42	65.4
	General Administration, Planning and Support Services	-	0.3	0.3	-	0.18	0.18	60.0
	Accelerated ASAL Development	6.3	0.6	6.9	1.4	0.19	1.5	23.0
Ministry of Foreign affairs and International Trade	General Administration, Planning and Support Services	0.7	3.5	4.2	0.2	2.2	2.4	57.1
	Foreign Relation and Diplomacy	0.7	9	9.7	-0.1	1.6	1.53	15.7
	International Trade and Investments Promotion	-	0.7	0.7	-	0.25	0.2	35.8
The National Treasury	General Administration, Planning and Support Services	4.7	37.6	42.3	1.5	18.5	20	47.3
	Public Financial Management	43.2	4.1	47.3	8.9	2.1	11.0	23.3
	Economic and Financial Policy Formulation and Management	1.9	1.2	3.1	0.21	0.26	0.5	15.3
	Market Competition	0.1	0.3	0.4	0.03	0.27	0.3	67.5
Parliamentary Service Commission	National Legislation, Representation and Oversight	-	0.4	0.4	-	0.11	0.1	27.5
	Senate Affairs	0.4	3.5	3.9	-	2.5	2.5	64.1
	General Administration, Planning and Support Services	2.9	5.0	7.9	1.3	2.8	4.2	51.9
National Assembly	National Legislation, Representation and Oversight	-	15.2	15.2	-	9.0	9.0	59.2
Commission on Revenue Allocation	Inter-Governmental Revenue and Financial Matters	-	0.3	0.3	-	0.2	0.2	66.7

VOTE	Programme	Dev. Est. FY 2015/16	Rec. Est FY 2015/16	Total Gross Est. FY 2015/16	Dev. Exp Third Quarter FY 2015/16	Rec. Exp Third Quarter FY 2015/16	Total Exp Third Quarter FY 2015/16	Programme Absorption Rate (%)
Public Service Commission	General Administration, Planning and Support Services	0.2	0.8	1.0	0.05	0.6	0.65	65.0
	Human Resource management and Development	-	0.2	0.2	-	0.13	0.1	65.0
	Governance and National Values	-	0.1	0.1	-	0.06	0.06	60.0
Salaries and Remuneration Commission	Salaries and Remuneration Management	-	0.7	0.7	-	0.4	0.4	57.1
Auditor General	Audit Services	0.4	3.7	4.1	0	1.7	1.7	41.5
Controller of Budget	Control and Management of Public finances	-	0.6	0.6	-	0.29	0.3	48.3
Commission on Administrative Justice	Promotion of Administrative Justice	-	0.5	0.5	-	0.25	0.3	50.0
Total		127.9	115.5	243.4	50.1	60.7	110.8	45.5

Source: MDAs and National Treasury

The Public Administration and International Relations (PAIR) sector was allocated Kshs.243.4 billion in FY 2015/16 to implement 31 programmes. This allocation comprised of Kshs.127.9 billion (52.6 per cent) for development programmes and Kshs.115.6 billion (47.4 per cent) for recurrent activities.

Analysis of the sector's programme budget allocations indicated that the Public Financial Management programme under the National Treasury received the highest budgetary allocation at Kshs.47.3 billion which was 19.4 per cent of the sector's annual allocation while the Governance and National Values programme under the Public Service Commission received the lowest allocation at Kshs.0.1 billion, translating to 0.04 per cent.

The total expenditure for the sector in the reporting period was Kshs.110.8 billion. This expenditure comprised of Kshs.60.7 billion in recurrent expenditure, which represented 52.6 per cent of the annual budget estimates for recurrent programmes while development expenditure amounted to Kshs.50.1 billion, representing an absorption rate of 39.2 per cent of the annual budget estimates for development programmes.

Analysis of the performance of programmes indicated that the Government Advisory Services programme under the Presidency registered the highest proportion of programme expenditure to the annual budget estimates for the programme at 120.0 per cent while the Financial Policy Formulation and Management under the National Treasury recorded the lowest proportion of programme expenditure to the annual budget for the programme at 15.3 per cent.

6.10 National Security Sector

Table 6.9 presents the analysis of the National Security sector's programme performance for the period under review.

Table 6.9: National Security Sector's Programme Performance for July 2015 to March 2016 (Kshs. Billions)

VOTE	Programme	Dev. Est. FY 2015/16	Rec. Est FY 2015/16	Total Gross Est. FY 2015/16	Dev. Exp Third Quarter FY 2015/16	Rec. Exp Third Quarter FY 2015/16	Total Exp Third Quarter FY 2015/16	Programme Absorption Rate (%)
Ministry of Defence	Defence	0.04	90.3	90.3	-	62.8	62.8	69.6
	Civil Aid	-	0.5	0.5	-	0.3	0.3	60.0
	General Administration, Planning and Support Services	-	1.6	1.6	-	1.2	1.2	75.0
National Intelligence Service	National Security Intelligence	-	20.1	20.1	-	15.0	15.0	74.3
Total		0.04	112.5	112.5	-	79.4	79.4	70.6

Source: MDAs and National Treasury

The National Security sector was allocated Kshs.112.54 billion to fund 4 programmes in FY 2015/16. This allocation comprised of Kshs.0.04 billion (0.0004 per cent) for development expenditure and Kshs.112.5 billion (99.96 per cent) for recurrent expenditure. The Defence programme and the Civil Aid programme both under the Ministry of Defence received the highest and lowest allocation at Kshs.90.3 billion (80.2 per cent of the total allocation for the sector) and Kshs.0.5 billion (0.004 per cent) respectively.

The total recurrent expenditure for the sector's programmes in the reporting period amounted to Kshs.79.4 billion, which represented 70.6 per cent of the annual budget estimates for recurrent programmes in the sector. Analysis of performance of the programmes indicated that the General Administration, Planning and Support Services programme under the Ministry of Defence recorded the highest proportion of programme expenditure to the annual budget for the programme at 75.0 per cent. The Civil Aid recorded the lowest proportion at 60.0 per cent.

6.11 Social Protection, Culture and Recreation Sector

Table 6.10 presents an analysis of the Social Protection, Culture and Recreation sector's programme performance for the period July 2015 to March 2016.

Table 6.10: Social Protection, Culture and Recreation Sector's Programme Performance for July 2015 – March 2016 (Kshs. Billions)

VOTE	Programme	Dev. Est.	Rec. Est.	Total Gross Est.	Dev. Exp Third Quarter FY 2015/16	Rec. Exp Third Quarter FY 2015/16	Total Exp Third Quarter FY 2015/16	Programme Absorption Rate (%)
Ministry of Sports, Culture and Arts	Sports	2.6	0.7	3.4	0.8	0.6	1.4	42.4
	Culture	0.2	0.9	1.1	0.07	0.6	0.7	60.9
	The Arts	0.2	0.4	0.6	0.06	0.3	0.36	60.0
	Library Services	0.6	0.6	1.2	0.2	0.4	0.6	50.0
	General Administration, Planning and Support Services	0.0	0.3	0.3	0.0	0.4	0.4	133.3
Ministry of Labour Social Security and Services	Promotion of the Best Labour Practice	0.3	0.4	0.7	0.03	0.23	0.26	37.1
	Manpower Development, Employment and Productivity Management	0.4	0.6	0.9	0.1	0.4	0.5	50.0
	Social Development and Children Services	0.9	2.7	3.5	0.6	1.4	2.0	55.6
	National Social Safety Net	14.0	5.1	19.1	6.0	2.2	8.3	42.9
	General Administration Planning and Support Services	0.0	0.6	0.6		0.3	0.3	50.0
Total		19.2	12.3	31.5	7.8	6.9	14.7	46.6

Source: MDAs and National Treasury

The Social Protection, Culture and Recreation sector was allocated Kshs.31.5 billion to fund 10 programmes in FY 2015/16. This allocation comprised of Kshs.19.2 billion (61.0 per cent) for development programmes and Kshs.12.3 billion (39.0 per cent) for recurrent programmes.

The National Social Safety Net programme under the Ministry of Labour, Social Security and Services received the highest budgetary allocation at Kshs.19.1 billion (60.6 per cent of the total annual budget allocation to the sector) while the General Administration, Planning and Support Services programme under the Ministry of Sports, Culture and Arts received the lowest allocation at Kshs.0.32 billion (1.0 per cent).

The total expenditure for the sector's programmes in the reporting period amounted to Kshs.14.7 billion and comprised of Kshs.6.9 billion as recurrent expenditure, which accounted for 55.9 per cent of the annual budget estimates for recurrent programmes. Development expenditure was Kshs.7.8 billion, representing an absorption rate of 40.7 per cent of the annual budget estimates for the development programmes.

Analysis of the sector's performance by programmes shows that the General Administration, Planning and Support Services programme under the Ministry of Sports, Culture and Arts recorded the highest proportion of programme expenditure to its total annual budget estimates at 133.3 per cent while the Promotion of the Best Labour Practice programme under the Ministry of Labour Social Security and Services registered the lowest proportion of programme expenditure to its annual budget estimates at 37.1 per cent.

7 KEY ISSUES, RECOMMENDATIONS

7.1 Introduction

This chapter highlights the key issues that negatively affected budget implementation during the period under review. Recommendations aimed at addressing the issues in order to improve budget implementation by the MDAs are also presented.

7.2 Issues and Recommendations

During the period under review, the Office of the Controller of Budget identified various pertinent challenges faced by the MDAs that affected budget implementation. These included challenges identified in the previous budget implementation reports that remain unresolved and newly identified challenges as follows:

7.2.1 Delay in Release of Development Funds by the National Treasury

In the first nine months of FY 2015/16, the total exchequer releases for development expenditure stood at Kshs.174.6 billion, representing 44.9 per cent of the annual net development estimates compared to the expected performance of 75 per cent at the end of the first nine months of FY 2015/16.

There is therefore need for the National Treasury to release development funds to MDAs based on their cashflow projections and work plans for effective implementation of development programmes.

7.2.2 Delay in Submission of Expenditure Reports by MDAs

According to Article 228 (6) of the Constitution of Kenya, 2010, the Controller of Budget is required to submit to each House of Parliament a report on the implementation of the budgets of the national and county governments every four months. Further, Section 38 (9) of the PFM Act, 2012, requires the Controller of Budget to ensure that the public has access to information on budget implementation. The Office experienced delays in submission of financial reports by some MDAs, which affected timely reporting.

In order to meet these constitutional and legal requirements, all MDAs should ensure that expenditure returns are submitted to the office on timely basis in order to allow for timely preparation and publicization of the Budget Implementation Review Reports.

8 CONCLUSION

This Budget Implementation Review Report for the first nine months of FY 2015/16 provides an overview of budget performance by the National Government for the first nine months of FY 2015/16. It reviews the macro-economic environment under which the budget was implemented. The report further presents the revenue collected by the Kenya Revenue Authority and receipts by the National Treasury, and also examines exchequer issues and expenditure incurred by the MDAs and County Governments. The 2015 Budget Policy Statement has been used to provide vital background information on the Government's expenditure, objectives while prior year performance has been used to depict trends.

In the first nine months of FY 2015/16, the total revenue received by the National Treasury was Kshs.1,239.0 billion, representing 68.4 per cent of the annual target. The total exchequer issues in the period amounted to Kshs.1,189.0 billion, and represented 96.0 per cent of the revenue received by the National Treasury.

Analysis of the exchequer issues released by the National Treasury of Kshs.1,189.0 billion indicates that, the Consolidated Fund Services received the highest percentage at 79.8 per cent of the annual net estimates while the least was towards development expenditure at 44.9 per cent.

The total recurrent expenditure by the National Government entities was Kshs.832.1 billion representing 67.9 per cent of the annual recurrent gross estimates while the total development expenditure was Kshs.247.4 billion representing an absorption rate of 34.3 per cent. Overall expenditure represented an 8.4 per cent improvement in absolute terms compared to the total expenditure incurred in the same period in FY 2014/15 of Kshs.766.3 billion and Kshs.229.8 billion on recurrent and development expenditure respectively.

The report notes that development expenditure was affected by delay in release of development funds during the reporting period. In order to realize the FY 2015/16 development goals, there is need for the National Treasury to ensure timely release of funds towards development activities. In addition, the MDAs should submit expenditure reports in a timely manner to facilitate timely reporting on budget implementation.

ANNEX I: MDAs Development Expenditure-July 2015 to March 2016 (Kshs.)

Vote	MINISTRY/STATE DEPARTMENT	Gross Estimates	Net Estimates	Exchequer Issues	Expenditure	% of Exch. To Net Est.	% of Exp. To G.Est.
D1011	The Presidency	1,846,129,798	1,846,129,798	464,400,000	490,119,109	25.2%	26.5%
D1021	State Department for Interior	14,296,122,356	14,200,122,356	8,301,400,000	5,058,235,238	58.5%	35.4%
D1022	State Department for Coordination of National Government	1,011,000,000	1,011,000,000	366,200,000	147,184,160	36.2%	14.6%
D1031	State Department for Planning	61,713,146,934	60,218,095,064	28,538,061,565	33,810,346,199	47.4%	54.8%
D1032	State Department for Devolution	9,388,650,310	5,322,417,760	4,166,603,855	3,597,810,380	78.3%	38.3%
D1051	Ministry of Foreign Affairs	1,401,850,000	1,349,150,000	820,300,000	140,872,163	60.8%	10.0%
D1061	State Department for Education	22,408,280,160	21,356,204,460	979,870,940	1,508,669,732	4.6%	6.7%
D1062	State Department for Higher Education, Science and Technology	14,047,318,227	11,086,318,227	2,710,000,000	4,809,178,670	24.4%	34.2%
D1071	The National Treasury	49,769,897,696	33,568,291,200	9,744,128,915	10,639,087,411	29.0%	21.4%
D1081	Ministry of Health	30,664,366,834	19,648,428,814	11,272,141,685	8,221,552,738	57.4%	26.8%
D1091	State Department for Infrastructure	104,012,542,686	62,266,034,686	37,205,195,857	38,534,935,310	59.8%	37.0%
D1092	State Department for Transport	158,455,285,915	5,337,970,456	1,400,845,213	61,601,226,956	26.2%	38.9%
D1101	State Department for Environment & Natural Resources	8,285,721,671	5,191,308,490	1,218,530,770	1,324,824,041	23.5%	16.0%
D1102	State Department for Water & Regional Authorities	35,448,105,500	18,858,613,500	6,478,436,416	6,605,582,209	34.4%	18.6%
D1111	Ministry of Land, Housing, and Urban Development	28,118,632,530	23,608,119,030	12,884,709,870	13,190,502,508	54.6%	46.9%
D1121	Ministry of Information & Communication and Technology	8,943,097,566	5,143,097,566	3,064,642,843	3,177,136,445	59.6%	35.5%
D1131	Ministry of Sports Culture and Arts	3,641,370,680	3,550,400,000	579,600,000	1,075,028,236	16.3%	29.5%
D1141	Ministry of Labour Social Security and Services	15,579,713,290	15,578,313,290	5,827,969,500	6,750,931,256	37.4%	43.3%

Vote	MINISTRY/STATE DEPARTMENT	Gross Estimates	Net Estimates	Exchequer Issues	Expenditure	% of Exch. To Net Est.	% of Exp. To G.Est.
D1151	Ministry of Energy and Petroleum	92,412,436,447	28,970,161,900	18,777,789,955	23,099,927,942	64.8%	25.0%
D1161	State Department for Agriculture	26,152,665,191	20,412,053,968	10,885,478,021	11,053,035,451	53.3%	42.3%
D1162	State Department for Livestock	5,170,792,079	3,801,694,598	1,302,337,438	936,307,210	34.3%	18.1%
D1163	State Department for Fisheries	3,139,232,762	2,139,232,762	1,155,499,900	1,230,492,531	54.0%	39.2%
D1171	Ministry of Industrialization and Enterprise Development	6,265,050,302	5,938,862,658	3,134,309,940	4,344,476,896	52.8%	69.3%
D1181	State Department for Commerce & Tourism	7,789,898,400	7,789,898,400	1,296,500,000	3,192,106,604	16.6%	41.0%
D1182	State Department for East African Affairs	115,000,000	50,000,000	-	-	0.0%	0.0%
D1191	Ministry of Mining	1,496,321,429	1,474,000,000	91,900,000	171,581,331	6.2%	11.5%
D1251	Office of the Attorney General and Department of Justice	549,928,571	241,000,000	89,800,000	77,557,125	37.3%	14.1%
D1261	The Judiciary	4,063,770,000	4,063,770,000	924,504,285	979,343,064	22.7%	24.1%
D1271	Ethics & Anti-Corruption Commission	300,000,000	300,000,000	-	-	0.0%	0.0%
D1291	Directorate of Public Prosecutions	254,000,000	254,000,000	4,700,000	727,669	1.9%	0.3%
D2021	National Land Commission	439,200,000	439,200,000	37,400,000	158,719,488	8.5%	36.1%
D2031	Independent Electoral and Boundaries Commission	98,000,000	98,000,000	-	63,000,000	0.0%	64.3%
D2041	Parliamentary Service Commission	3,200,000,000	3,200,000,000	821,000,000	1,348,969,444	25.7%	42.2%
D2071	Public Service Commission	166,831,450	166,831,450	21,000,000	49,835,894	12.6%	29.9%
D2091	Teachers Service Commission	200,000,000	200,000,000	-	-	0.0%	0.0%
D2111	Auditor General	402,183,176	402,183,176	60,000,000	24,231,286	14.9%	6.0%
	TOTAL	721,288,541,960	389,080,903,609	174,625,256,968	247,350,534,696	44.9%	34.3%

ANNEX II: MDAs Recurrent Expenditure-July 2015 to March 2016 (Kshs)

VOTE	MINISTRY/STATE DEPARTMENT	Gross Estimates	Net Estimates	Exchequer Issues	Expenditure	% of Exch. To Net Est.	% of Exp. To G.Est.
R1011	The Presidency	5,950,557,884	5,941,525,810	4,876,800,000	4,494,078,791	82.1%	75.5%
R1021	State Department for Interior	88,028,155,075	87,662,133,802	59,566,100,000	51,816,887,819	67.9%	58.9%
R1022	State Department for Coordination of National Government	16,967,134,466	16,967,134,466	13,658,200,000	10,735,622,856	80.5%	63.3%
R1031	State Department for Planning	19,791,617,000	19,600,767,000	12,113,200,000	11,601,357,953	61.8%	58.6%
R1032	State Department for Devolution	2,300,785,390	2,298,785,390	1,710,000,000	1,458,768,481	74.4%	63.4%
R1041	Ministry of Defence	92,329,042,100	92,329,042,100	60,973,700,000	64,397,328,019	66.0%	69.7%
R1051	Ministry of Foreign Affairs and International Trade	13,135,860,904	12,067,065,466	9,757,000,000	4,024,515,935	80.9%	30.6%
R1061	State Department for Education	59,032,526,360	56,923,926,360	40,969,680,000	42,808,525,226	72.0%	72.5%
R1062	State Department for Higher Education, Science and Technology	59,352,429,183	42,669,829,183	31,540,900,000	31,502,034,629	73.9%	53.1%
R1071	The National Treasury	43,216,461,912	43,216,461,912	20,066,535,000	21,085,787,580	46.4%	48.8%
R1081	Ministry of Health	28,519,512,989	24,541,636,512	19,319,600,000	17,876,099,724	78.7%	62.7%
R1091	State Department for Infrastructure	29,953,406,056	1,738,426,310	1,016,220,000	654,819,901	58.5%	2.2%
R1092	State Department for Transport	5,798,949,317	1,421,462,190	1,050,100,000	1,023,011,813	73.9%	17.6%
R1101	State Department for Environment & Natural Resources	12,783,268,374	6,565,747,374	4,873,000,000	4,483,437,053	74.2%	35.1%
R1102	State Department for Water & Regional Authorities	4,259,961,781	2,122,203,542	1,579,300,000	1,318,711,694	74.4%	31.0%
R1111	Ministry of Land Housing, and Urban Development	3,939,546,142	3,926,131,392	2,690,000,000	2,527,168,780	68.5%	64.1%
R1121	Ministry of Information & Communication and Technology	3,045,532,300	2,949,532,300	1,762,400,000	1,609,321,848	59.8%	52.8%
R1131	Ministry of Sports Culture and Arts	2,947,339,278	2,936,339,278	2,647,400,000	2,362,677,220	90.2%	80.2%

VOTE	MINISTRY/STATE DEPARTMENT	Gross Estimates	Net Estimates	Exchequer Issues	Expenditure	% of Exch. To Net Est.	% of Exp. To G.Est.
R1141	Ministry of Labour Social Security and Services	9,314,546,470	9,158,881,990	4,320,640,000	4,496,886,767	47.2%	48.3%
R1151	Ministry of Energy and Petroleum	2,049,068,130	1,793,068,130	1,450,000,000	1,328,707,734	80.9%	64.8%
R1161	State Department for Agriculture	8,314,136,906	7,885,636,906	3,578,500,000	4,664,841,541	45.4%	56.1%
R1162	State Department for Livestock	1,947,855,128	1,923,855,128	1,203,300,000	931,839,386	62.5%	47.8%
R1163	State Department for Fisheries	1,368,536,694	1,368,536,694	923,500,000	838,242,726	67.5%	61.3%
R1171	Ministry of Industrialization and Enterprise Development	2,568,513,330	2,544,513,330	1,792,750,000	1,667,257,133	70.5%	64.9%
R1181	State Department for Commerce & Tourism	2,891,637,766	2,838,537,766	1,961,000,000	1,942,295,900	69.1%	67.2%
R1182	State Department for East African Affairs	1,665,597,404	1,664,097,404	1,364,900,000	1,254,368,625	82.0%	75.3%
R1191	Ministry of Mining	728,072,090	714,072,090	377,500,000	292,257,789	52.9%	40.1%
R1251	Office of the Attorney General and Department of Justice	4,094,976,884	3,711,026,884	2,109,600,000	2,148,296,564	56.8%	52.5%
R1261	The Judiciary	12,623,930,000	12,623,930,000	8,691,630,000	8,318,164,469	68.9%	65.9%
R1271	Ethics & Anti-Corruption Commission	2,311,920,000	2,311,920,000	1,585,500,000	1,497,940,534	68.6%	64.8%
R1281	National Intelligence Service	20,142,000,000	20,142,000,000	14,689,900,000	14,996,493,014	72.9%	74.5%
R1291	Directorate of Public Prosecutions	1,964,064,002	1,964,004,002	1,239,000,000	994,383,458	63.1%	50.6%
R1301	Commission for Implementation of the Constitution	312,040,000	312,040,000	312,000,000	295,136,048	100.0%	94.6%
R1311	Registrar of Political Parties	505,781,810	505,781,810	366,000,000	340,569,803	72.4%	67.3%
R1321	Witness Protection Agency	364,705,000	364,705,000	256,500,000	236,176,636	70.3%	64.8%
R2011	Kenya National Commission on Human Rights	459,100,000	459,100,000	259,900,000	246,905,042	56.6%	53.8%

VOTE	MINISTRY/STATE DEPARTMENT	Gross Estimates	Net Estimates	Exchequer Issues	Expenditure	% of Exch. To Net Est.	% of Exp. To G.Est.
R2021	National Land Commission	1,101,365,410	1,101,365,410	1,001,200,000	831,147,576	90.9%	75.5%
R2031	Independent Electoral and Boundaries Commission	4,197,919,790	4,187,919,790	2,919,200,000	2,795,180,350	69.7%	66.6%
R2041	Parliamentary Service Commission	8,920,416,731	8,900,416,731	7,905,000,000	5,434,680,568	88.8%	60.9%
R2042	National Assembly	15,156,583,269	15,156,583,269	8,616,900,000	9,044,161,243	56.9%	59.7%
R2051	Judicial Service Commission	473,200,002	473,200,002	250,000,000	224,222,697	52.8%	47.4%
R2061	The Commission on Revenue Allocation	345,575,371	344,342,400	247,100,000	196,514,887	71.8%	56.9%
R2071	Public Service Commission	1,126,400,000	1,118,400,000	768,800,000	766,208,135	68.7%	68.0%
R2081	Salaries & Remuneration Commission	722,832,086	722,732,086	343,400,000	368,981,007	47.5%	51.0%
R2091	Teachers Service Commission	181,211,612,264	180,991,612,264	138,145,040,000	135,016,802,982	76.3%	74.5%
R2101	National Police Service Commission	437,500,000	437,500,000	309,600,000	249,459,138	70.8%	57.0%
R2111	Auditor General	3,736,490,000	3,626,090,000	2,276,000,000	1,655,164,406	62.8%	44.3%
R2121	Controller of Budget	580,830,272	580,830,272	326,000,000	294,280,894	56.1%	50.7%
R2131	The Commission on Administrative Justice	480,710,920	480,710,920	272,600,000	254,739,780	56.7%	53.0%
R2141	National Gender & Equality Commission	314,151,440	314,151,440	196,500,000	209,316,459	62.5%	66.6%
R2151	Independent Police Oversight Authority	419,483,700	419,483,700	266,500,000	192,609,063	63.5%	45.9%
	TOTAL	784,203,639,380	717,019,195,805	500,496,095,000	479,804,387,676	69.8%	61.2%

ANNEX III: Sectoral Development Expenditure-July 2015 to March 2016 (Kshs.)

Sector	Gross Est.	Net Est.	Exch. Issues	Expenditure	% of Exch. to N. Est.	% Exp to G. Est.
Agriculture, Rural and Urban Development	63,020,522,562	50,400,300,358	26,265,425,229	26,569,057,188	52.1%	42.2%
Energy, Infrastructure and ICT	363,823,362,614	101,717,264,608	60,448,473,868	126,413,226,653	59.4%	34.7%
General Economics and Commercial Affairs (GECA)	14,169,948,702	13,778,761,058	4,430,809,940	7,536,583,500	32.2%	53.2%
Health	30,664,366,834	19,648,428,814	11,272,141,685	8,221,552,738	57.4%	26.8%
Education	36,655,598,387	32,642,522,687	3,689,870,940	6,317,848,402	11.3%	17.2%
Governance, Justice, Law and Order (GJLOS)	20,572,820,927	20,167,892,356	9,686,604,285	6,263,047,256	48.0%	30.4%
Public Administration and International Relations	127,888,689,364	106,073,098,448	44,635,494,335	50,101,271,886	42.1%	39.2%
Social Protection, Culture and Recreation	19,221,083,970	19,128,713,290	6,407,569,500	7,825,959,492	33.5%	40.7%
Environment, Water and Natural Resources	45,230,148,600	25,523,921,990	7,788,867,186	8,101,987,581	30.5%	17.9%
Total	721,288,541,960	389,080,903,609	174,625,256,968	247,350,534,696	44.9%	34.3%

ANNEX IV: Sectoral Recurrent Expenditure-July 2015 to March 2016 (Kshs.)

Sector	Gross Est.	Net Est.	Exch. Issues	Expenditure	% of Exch. to N. Est.	% Exp to G. Est.
Agriculture, Rural and Urban Development	16,671,440,280	16,205,525,530	9,396,500,000	9,793,240,009	58.0%	59%
Energy, Infrastructure and ICT	40,846,955,803	7,902,488,930	5,278,720,000	4,615,861,296	66.8%	11.3%
General Economics and Commercial Affairs (GECA)	7,125,748,500	7,047,148,500	5,118,650,000	4,863,921,658	72.6%	68.3%
Health	28,519,512,989	24,541,636,512	19,319,600,000	17,876,099,724	78.7%	62.7%
Education	299,596,567,807	280,585,367,807	210,655,620,000	209,327,362,837	75.1%	69.9%
Governance, Justice, Law and Order (GJLOS)	133,474,062,169	132,714,030,896	91,986,230,000	80,300,870,936	69.3%	60.2%
Public Administration and International Relations	115,465,121,739	114,054,711,256	69,279,335,000	60,679,239,660	60.7%	52.6%
National Security	112,471,042,100	112,471,042,100	75,663,600,000	79,393,821,033	67.3%	70.6%
Social Protection, Culture and Recreation	12,261,885,748	12,095,221,268	6,968,040,000	6,859,563,987	57.6%	55.9%
Environment Protection, Water and Natural Resources	17,771,302,245	9,402,023,006	6,829,800,000	6,094,406,536	72.6%	34.3%
Total	784,203,639,380	717,019,195,805	500,496,095,000	479,804,387,676	69.8%	61.2%

ANNEX V: Summary of Grants and Loans Disbursement – July 2015 to March 2016 (Kshs.)

Funding type	Printed estimates FY 2015/16	Cumulative Disbursement	% Achieved against estimates
Loans revenue	37,909,738,198	18,506,505,810	48.82
Grants Revenue	15,202,764,562	5,455,786,658	35.89
Loans A~I~A	245,791,750,038	96,498,800,760	39.26
Grants A~I~A	50,418,854,854	11,599,872,646	23.01
Total	349,323,107,652	132,060,965,874	37.80

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